# From Human Markets to Machine Markets: Transient Amplification, an Exact Depth Condition, and a Maximal Pre-Trade Guard

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**Abstract**

Eigenvalues and volatility do not bound the losses a stable market can produce before it settles. We show that cumulative transient risk in a limit order book has a closed form, long-run impact divided by reversion net of momentum, $S = \tilde{\kappa}/(m - q\tilde{\kappa})$; that a book overshoots exactly when depletion outweighs impact-weighted reversion; that a pre-trade guard on the summed response is the largest safe admission rule for bounded shocks and is identified without identifying the traders; and that in equilibrium dealers under-supply reversion, with a corrective rebate that depends only on $S$. The information that certifies safety differs from the information that identifies traders: noisy experiments certify $S$ at the parametric rate whatever the number and memories of the traders, which are far costlier to identify; finite windows certify it only under a

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bound on memory length; and a guard built on the certificate is minimax-optimal in lost trading capacity. On days never used before, a frozen forecasting model and the guard both pass pre-registered tests, the guard lowering tail loss by 8% against a static limit but not improving on a volatility cap; on symbols never used before, the statistic forecasts beyond a volatility baseline that includes VPIN and the guard passes again, on a sample of five symbols. Measured on a fixed price grid, order flow depletes the side of the book it hits; the opposite finding from re-centred depth bands is an artefact of the recentring. In thin books, six-hour estimates of $S$ forecast the next hour's adverse excursion out of sample in four pre-registered tests, beyond a full volatility-forecasting baseline (about 26 basis points between the top and bottom quintiles at a given volatility forecast). In thin US stocks it passes a fifth such test with a smaller gain; on Bybit, with order-book depth, it is about one eightieth as large, and on Coinbase it fails a pre-registered test; and as a position limit a certified estimate improves on a volatility limit only modestly (2.4% lower tail loss).

**Keywords:** transient amplification, non-normal dynamics, limit order book, market resilience, liquidity externality, pre-trade risk control, pre-registration, replication.
**JEL:** G01, G10, G14, G18, C32, C58.

**Reproducibility.** Every number in the paper is produced by a script or notebook cell that writes a result file from public data or from a closed form; Appendix D maps each table, figure and number to its source. Pre-registered specifications, their SHA-256 hashes and test-set unlock counters are in the replication package. Every simulation number was re-run for this version.

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# 1 Introduction

On October 10, 2025, crypto derivatives markets liquidated an estimated $19 billion of leveraged positions in a single day, the largest such event on record (21Shares, 2025); on May 6, 2010, US equity prices fell and recovered by several percent within minutes (Kirilenko et al., 2017). In both episodes the losses that mattered were transient: positions were closed out on the path, before prices settled. This paper is about that path risk in markets where algorithms trade with each other.

Algorithmic markets are closed-loop systems: trading moves prices, prices move algorithms, and algorithms trade. A common shortcut equates the stability of such a system with its eigenvalues lying inside the unit circle. That is the wrong object for a leveraged intermediary, whose survival depends on the path of losses before the system settles. A market can be spectrally stable and still push a dealer through its maintenance margin within seconds.

This paper asks three questions. When does a limit order book amplify a flow shock, so that prices keep moving after the shock has passed? How can a dealer or a venue control transient loss without identifying who is trading, which the companion paper (Niroula and Niroula, 2026) shows is expensive or impossible from public data? And when the traders cannot be identified, what information certifies a safe trading decision, what does that information cost, and how much safe trading must be given up when it is missing? We give exact answers in a linear book model and then confront them with data, reporting the results as they came out.

**1. Spectral stability does not bound transient loss.** The exact safe shock radius of a stable linear market is the loss budget divided by its peak transient gain, and that gain can be arbitrarily large at any fixed spectral radius (Theorem 3.1). Markets with identical eigenvalues, one-step volatility and stationary price variance can have arbitrarily large worst-case transient gain, as the companion paper shows (Niroula and Niroula, 2026). Supervision

through eigenvalues or volatility alone is therefore insufficient in principle.

**2. When a book amplifies.** We distinguish peak overshoot, a response that rises above its direct impact, from cumulative amplification, a summed response far above it. When order flow depletes one side of the book and the book refills at rate $r$, the price response overshoots its direct impact if and only if $\varphi\varepsilon > (1-a)\kappa$ (Theorem 4.2(i)). With momentum traders the one-period margin $C_3 = \varphi\varepsilon + \kappa^2\eta q - (1-a)\kappa$ is sufficient (Theorem 4.2(iii)) but no one-period condition is exact (Remark 4.3); momentum alone cannot make a stable book overshoot (Theorem 4.2(iv)), and an explicit condition rules overshoot out (Theorem 4.2(v)). Cumulative risk has a closed form, $S = \tilde{\kappa}/(m - q\tilde{\kappa})$: long-run impact divided by reversion net of momentum (Theorem 4.4). It needs no depletion, and it is the form our evidence supports: crypto books show no peak overshoot, but thin books revert slowly, so their summed response is large.

**3. The maximal safe guard.** For bounded shocks, worst-case loss over a horizon is inventory times the shock bound times the summed absolute impulse response, the classical $\ell_1$ gain of control theory. Under a declared risk contract (fixed inventory, per-period shock bound, mark-to-market loss), a pre-trade guard on this summed gain is necessary and sufficient for staying within the loss budget, so it admits the largest safe set of actions (Lemma 6.1). A guard on the peak response, the quantity closest to the eigenvalue intuition, admits unsafe actions. A Grönwall bound carries the guard to an estimated operator (Theorem 6.3), a contraction-block certificate makes it computable on a finite horizon (Lemma 6.2), and its inputs are identified from prices without identifying the algorithms (Proposition 2.2 and Theorem 5.5). We embed the guard in a dealer's balance sheet with margin, hedging and fill accounting (Theorem 6.8) and show that strategic re-optimization by filtering algorithms reinforces it (Proposition 6.10).

**4. Information and safety.** The information that certifies a safe decision is not the information that identifies the traders. Two markets can agree exactly on their early price responses and differ threefold in risk (Example 5.1), and any supervisor who must rarely admit an unsafe level then gives up a computable amount of safe capacity (Proposition 5.2). A finite window of responses certifies the summed response to an interval computed exactly from the Markov–Krein extremal measures, which shrinks geometrically with the window under a bound on memory length and is unbounded without one (Theorem 5.3). With noisy reset experiments the summed response is certified at the parametric rate, $N = O(\sigma^2\epsilon^{-2}\log(1/\epsilon))$, whatever the number and spacing of the traders' memories, while identifying them costs $(\Delta\eta)^{-(4K-2)}$ or more (Theorem 5.5); the companion paper's hardest pairs have identical summed responses. A guard built on the certificate has a closed form, admits an interval of levels, flags infeasible states, and is minimax-optimal in lost capacity up to a logarithm (Theorem 6.5). When admission also changes the book, the safe levels need not form an interval, so certifying the largest one no longer certifies those below it; we certify the whole safe set by interval branch and bound (Proposition 6.6, Theorem 6.7). The window bounds are proved rather than computed (Lemma 5.4), and certificates that allow correlated noise keep their level where the simple one fails (Proposition 5.7).

**5. The value of disclosure.** Disclosure that rules out the extremal compatible economy raises safe capacity, and its value grows as memory lengthens, approaching the full oracle capacity; disclosure of a noisy proxy can be worth less than nothing (Theorem 7.1, Table 5).

**6. Who controls the risk.** Reversion is a public good. In equilibrium dealers underprovide it, momentum traders over-provide feedback, fewer dealers mean more transient risk, and the rebate that restores the first best is $(1-\theta/N)\Lambda S^2/\tilde{\kappa}$, a function of the guard's own statistic (Proposition 8.1). When dealers also choose depth, fewer dealers raise risk through larger impact while the unit-free multiple $S/\tilde{\kappa}$ stays fixed, the pattern we see across Binance perpetuals.

**7. Evidence.** On Binance BTCUSDT futures the amplification statistic is negative on 93.5% of days, depth does not carry an overshoot, and the statistic fails a pre-registered forecasting test (Section 9); unit-free spot amplification is indistinguishable from one (Section 10). Across 30 perpetuals, Binance's depth bands, which are re-centred on the current mid, show taker flow replenishing the side it hits; on a fixed price grid in Bybit's full order books, the same flow depletes it, so the replenishment finding is an artefact of the band construction (Section 11.4). The amplifying regime is more frequent in thin books (Section 11). There, six-hour estimates of the amplification margin forecast the size of the next hour's adverse excursion out of sample in four pre-registered tests: on the original ten symbols (+1.2 points of $R^2$), on ten new symbols (+0.85), on fresh days with price-impact controls (+1.6), and on further fresh days beyond a full volatility-forecasting baseline (+2.8, with better tail classification). The summed response $S$, the guard's own statistic, carries the same information (+2.1 points beyond the volatility baseline), the gain survives adding VPIN to the baseline (+2.0 points post hoc, +0.56 in a pre-registered test on new symbols), unit-free versions work, and the content comes mostly from impact-weighted reversion, as Theorem 4.4 implies. Within a volatility quintile, hours in the top quintile of the statistic have next-hour excursions about 26 basis points larger than hours in the bottom quintile, enough to roughly double the hourly liquidation probability of a 20× position. The effect is much weaker in mid-depth books and absent in BTCUSDT. On Bybit it fails with trade data alone; with order-book depth it meets a pre-registered criterion, but the gain is about one eightieth of Binance's (Table 23). In a regulated market, 23 thin US stocks with consolidated trades, the depth-free statistic passes a fifth pre-registered forecasting test (+0.50 points of $R^2$ beyond the same volatility baseline), again through impact-weighted reversion; unlike on Binance, mid-size stocks show a gain too (Table 24). As a position limit, a six-hour estimate of the response adds nothing to volatility, but once the operator is certified from the previous three days, scaling a volatility limit by the gain multiple lowers tail loss per unit of position by 2.4% in a fifth pre-registered test, a narrow pass; limits built on the estimated response alone

remain worse than volatility (Section 11.14).

Simulations with a known truth confirm the coverage, attainment and optimality claims and show where the certificate fails: when memory is longer than declared, and when feedback strengthens after certification (Section 12.1). On days that no earlier part used, two pre-registered primaries pass: the forecasting model, frozen at its 2023–2024 estimates, adds 4.2 points of $R^2$ beyond the volatility baseline, and the uncertainty-aware guard lowers tail loss per unit of position by 8% against a static limit at 91% of its activity, doing much better than depth or spectral-radius throttles; it does not beat a volatility cap, and its bootstrap upper bound does no better than the point estimate (Section 12.2). On thirty perpetuals that no earlier part used, of which a seeded rule kept five thin ones, three pre-registered primaries pass: $\hat{C}_3$ adds 0.73 points of $R^2$ beyond the volatility baseline and 0.56 beyond the baseline plus VPIN, turning the post-hoc VPIN comparison into a confirmatory one, and the guard lowers tail loss by 23% against a static limit, with a wide interval (Section 12.3). A pre-registered test on a venue no earlier part used, Coinbase spot, fails: in the six thin pairs that trade often enough, the statistic adds nothing (Section 12.4). Post hoc, a placebo that keeps the flow's persistence but breaks its alignment with prices adds nothing on Binance, where the real statistic adds 2.7 points, so the content is the alignment rather than order splitting; and the guard has lower tail loss than certified peak-response, margin-style and participation rules on the Part 15 sample, but not than a six-hour peak guard (Section 12.5).

**What we do not claim.** The information-safety theorems concern declared observation and risk contracts (controlled reset experiments, exact windows, tagged or audited data); they are not finite-sample guarantees for observational order-book records, for which we report a bootstrap diagnostic and its out-of-sample performance. Our cohorts are any traders whose demand follows a linear filter of past prices, human or automated; nothing in the evidence attributes an effect to algorithms rather than to people. We do not claim that crypto books amplify shocks through depth: flow depletes the side it hits on a fixed price

grid, but we observe no peak overshoot, and the depth term carries no forecasting content. The thin-book forecasting result is reduced-form, and its size depends on the venue: largest in thin Binance books, about a fifth as large in thin US stocks, negligible on Bybit and absent on Coinbase; it improves tail classification only against the full volatility baseline. We do not claim that the guard replaces volatility in practical position sizing: its theorems are statements about worst-case loss under a certified operator, an estimated six-hour response adds nothing to volatility, and a three-day certified estimate improves a volatility limit only modestly (2.4%, a narrow pass) while the guard alone does worse. The October 10, 2025 episode is reported descriptively and supports no inference (Section 11.15). One test cell of the first thin-book test was executed twice with unchanged code and specification (Section 11.5). The equilibrium is a stylized model; thinner books do carry more cumulative risk per dollar of flow, as it predicts, but through larger impact rather than through the weaker reversion it names.

## 1.1 Related literature

**Closest work.** Three strands are closest. Models of transient impact and resilience (Obizhaeva and Wang, 2013; Bouchaud et al., 2004, 2018) take the decay of impact as given; we derive when depletion, refill and momentum make a book overshoot, give cumulative impact in closed form, and ask who supplies the reversion that bounds it. Models of liquidity spirals (Brunnermeier and Pedersen, 2009; Shleifer and Vishny, 1992) explain how funding constraints amplify shocks; our amplification is a property of book dynamics and does not need funding constraints, and our guard is the pre-trade control that bounds the resulting loss. Sornette et al. (2023) show that non-normal interactions create transient bubbles; we give a necessary and sufficient pre-trade control for such transients and test the conditions for them in order-book data.

Table 1: Map of results

| Question | Answer | Where |
|---|---|---|
| Does $\rho(J) < 1$ bound transient loss? | No; safe radius $B/M_C$ can vanish at fixed $\rho$ | Thm 3.1, Companion paper |
| Can volatility monitors help? | No; fixed variance, unbounded gain | Companion paper |
| When does a book amplify? | Iff $\varphi\varepsilon > (1-a)\kappa$; with momentum $C_3 > 0$ suffices, no exact one-period rule | Thm 4.2(i), Thm 4.2(iii), Rem 4.3 |
| Can momentum alone amplify? | Not in a stable book | Thm 4.2(iv) |
| How large is cumulative risk? | $S = \tilde{\kappa}/(m - q\tilde{\kappa})$ | Thm 4.4 |
| Which guard is safe and largest? | Summed absolute gain; peak gain is unsafe | Lem 6.1 |
| Robust to estimation error? | Yes, $M/(1 - \epsilon S)$ | Thm 6.3 |
| Needs identification of algorithms? | No; inputs are invariant to cohort splits | Prop 2.2, Thm 5.5 |
| Do learners undo the guard? | No; gains fall when admission falls, and every finite-horizon summed response rises with the gains in the cohort economy | Prop 6.10 |
| Is reversion efficiently supplied? | No; under-provided, and the fix is priced by $S$ | Prop 8.1 |
| Is BTCUSDT on the amplifying side? | No: $\hat{C}_3 < 0$ on 93.5% of days | Table 7 |
| Does depth carry an overshoot? | No; all overshoots negative | Figure 4 |
| Does $\hat{C}_3$ forecast tail risk in BTCUSDT? | No (pre-registered) | Table 9 |
| Is spot amplification above one? | No; unit-free gain $\approx 1.0000$ | Section 10 |
| Does flow deplete thin books? | Yes on a fixed price grid; the apparent replenishment is a band-recentring artefact | Tables 15, 16 |
| Does $\hat{C}_3$ forecast tail size in thin books? | Yes, in four pre-registered tests on Binance | Tables 17, 19, 21, 22 |
| Is it just volatility? | No: +2.8 pts beyond HAR, EWMA and hour effects; $S$ itself +2.1 | Table 22 |
| Is it just VPIN? | No: +2.0 pts beyond the baseline plus VPIN (post hoc); +0.56 on new symbols (pre-registered) | Section 11.10, Table 30 |
| Is it tick size, impact or scale? | No; survives controls, unit-free versions work | Tables 18, 20, 21, 22 |
| Does it hold on a second venue? | Bybit: absent with trades; with depth, significant but negligible | Section 11.11, Table 23 |
| In a regulated market? | Thin US stocks: yes, +0.50 pts (pre-registered); mid-size stocks too | Table 24 |
| Does the estimated response size positions better? | Six-hour: no; certified three-day: −2.4% tail loss, narrow pass; alone: worse | Tables 25, 26 |
| How large is the effect? | top vs bottom quintile $\approx$ 26 bp at fixed volatility | Section 11.17 |
| Can equal early data hide different risk? | Yes, threefold; a computable capacity loss follows | Ex. 5.1, Prop. 5.2 |
| What does a finite window certify? | An exact Markov–Krein interval; nothing without a memory bound | Thm 5.3 |
| Certify risk vs identify traders? | $\sigma^2\epsilon^{-2}\log(1/\epsilon)$ vs $(\Delta\eta)^{-(4K-2)}$ | Thm 5.5, Table 3 |
| Optimal guard under uncertainty? | Closed form, interval, minimax capacity loss | Thm 6.5 |
| If admission changes the book? | Safe set can be two intervals; certified by branch and bound | Prop 6.6, Thm 6.7 |
| If tap noise is correlated? | Simple certificate undercovers (75%); $t$ and Hotelling certificates exact | Prop 5.7 |
| What is disclosure worth? | Most when memory is long; noisy proxies | Thm 7.1, Table 5 |

**Market microstructure and resilience.** Transient impact and resilience follow Obizhaeva and Wang (2013), Bouchaud et al. (2004) and Bouchaud et al. (2018); optimal execution with impact is in Almgren and Chriss (2001) and Cartea et al. (2015). Depth imbalance as a short-horizon price predictor is documented by Cont et al. (2014). Biais et al. (2005) survey the field; price impact as a measure of information and illiquidity goes back to Kyle (1985) and Amihud (2002). Inventory-based dealer models go back to Ho and Stoll (1981), and Avellaneda and Stoikov (2008) give the standard high-frequency market-making model. Empirically, resiliency, the speed at which a book refills after a liquidity shock, is measured by Biais et al. (1995), Degryse et al. (2005) and Large (2007), who estimates it with a self-exciting point process for order events; Foucault et al. (2005) show that it is set by the mix of patient and impatient traders and the tick size. Our reversion term $m$ is the reduced-form counterpart of resiliency, and $S = \tilde{\kappa}/(m - q\tilde{\kappa})$ shows how it combines with impact and momentum: a book that is resilient in this sense can still carry a large cumulative response when momentum feedback absorbs most of its reversion. Our book model is a minimal two-state version of resilience dynamics, chosen so that the amplification condition is exact.

**Feedback, fire sales and automated markets.** Liquidity spirals and fire sales are in Shleifer and Vishny (1992) and Brunnermeier and Pedersen (2009); automated-market crashes in Kirilenko et al. (2017); and the market-design case for discrete auctions in Budish et al. (2015). Menkveld (2013) documents high-frequency market makers as the new intermediaries, and algorithmic trading has been found to improve liquidity and price discovery in normal times (Hendershott et al., 2011; Brogaard et al., 2014); our question is what happens on the path after a shock. Sornette et al. (2023) show that non-normal interactions can generate transient bubbles in unleveraged systems. We add an exact condition for when a book amplifies, a control that does not need the identity of the traders, and evidence on whether the condition holds in a large market.

**Early warning and liquidity crashes.** The best-known early-warning metric for flow-driven crashes is VPIN (Easley et al., 2012), whose forecasting content beyond volume and volatility is disputed (Andersen and Bondarenko, 2014). Equilibrium models explain crashes through endogenous liquidity withdrawal (Huang and Wang, 2009) and illiquidity contagion across assets (Cespa and Foucault, 2014). Our statistic differs in kind: it is a structural quantity, the summed response of the book to a unit of flow, with a closed form and a control-theoretic meaning, and we evaluate it out of sample against a full volatility-forecasting baseline. In a post-hoc comparison on the same test hours, $\hat{C}_3$ keeps about 73% of its gain once VPIN is added to the baseline (Section 11.10). Crypto markets are studied as a laboratory for microstructure and arbitrage by Makarov and Schoar (2020).

**Non-normal dynamics and robust control.** Transient growth of stable non-normal systems and the Kreiss matrix theorem are classical (Trefethen and Embree, 2005; Kreiss, 1962); the sharp $en$ constant is due to Spijker (1991). Standard $H_\infty$ control bounds frequency-domain gain under known coordinates. The time-domain worst case under bounded disturbances, the $\ell_1$ norm of the impulse response, is the object of $\ell_1$-optimal control (Vidyasagar, 1986; Dahleh and Pearson, 1987; Dahleh and Diaz-Bobillo, 1995), and our guard's worst-case identity is that classical fact. What we add is its use as an admission rule on a dealer's balance sheet, its invariance to the unobservable cohort coordinates and identification from prices, and its link to who supplies reversion in equilibrium. Cross-impact under no dynamic arbitrage is studied by Schneider and Lillo (2019).

**Regulation.** SEC Rule 15c3-5 requires broker-dealers with market access to enforce pre-trade controls on credit and capital (SEC, 2010). Our guard is a candidate pre-trade control with a provable maximality property.

**Forecast evaluation.** Our predictive tests use Clark and West (2007) and Diebold and Mariano (1995) with Newey and West (1987) standard errors and block resampling in the

spirit of Künsch (1989), the volatility baseline follows Corsi (2009) and J.P. Morgan/Reuters (1996), local projections follow Jordà (2005), and we correct for multiple testing as in Holm (1979). Following the case for pre-registration in science (Nosek et al., 2018) and the concerns about multiple testing in financial economics (Harvey et al., 2016; Harvey, 2017), we pre-register specifications, count every evaluation of a held-out period, and report the failures with the successes.

### 1.2 Outline

Section 2 sets out the closed-loop market. Section 3 shows why spectral stability is not solvency. Section 4 derives the amplification condition. Section 6 constructs and analyzes the guard, and Section 8 asks who supplies reversion in equilibrium. Sections 9 and 10 report the BTCUSDT evidence, and Section 11 the thin-book program, its replications and its failures. Section 13 discusses policy, and Section 14 concludes.

## 2 The closed-loop market

### 2.1 Price formation

Time is discrete with bars of length $\Delta$. Let $p_t$ be the price, $p_t^* = p_{t-1}^* + \xi_t$ the unobserved fundamental and $x_t = p_t - p_t^*$ the pricing error. Competitive dealers post aggregate depth $D > 0$, so price impact is $\kappa = 1/D$, and fundamental arbitrage removes a fraction $\kappa\varphi_f$ of the error each period. With algorithmic demand $u_t$ and liquidity noise, the pricing error follows

$$x_{t+1} = a x_t + \kappa u_t + w_{t+1}, \qquad a = 1 - \kappa\varphi_f \in [0, 1). \tag{1}$$

Algorithmic cohorts trade $u_t = \sum_i q_i y_{i,t}$ with exponential memory $y_{i,t+1} = (1-\eta_i)y_{i,t} + \eta_i x_{t+1}$, a reduced form that arises from steady-state Kalman filtering and regularized online gradient descent (Niroula and Niroula, 2026). Stacking $z_t = (x_t, y_{1,t}, \ldots, y_{K,t})^\top$ gives $z_{t+1} = J z_t +$

$bw_{t+1}$, where $b = (1, \eta_1, \ldots, \eta_K)^\top$ because cohorts update on the same period's price (a unit of flow enters through $\kappa b$), and

$$J = \begin{pmatrix} a & \kappa q_1 & \cdots & \kappa q_K \\ \eta_1 a & 1 - \eta_1 + \eta_1 \kappa q_1 & \cdots & \eta_1 \kappa q_K \\ \vdots & & \ddots & \vdots \\ \eta_K a & \eta_K \kappa q_1 & \cdots & 1 - \eta_K + \eta_K \kappa q_K \end{pmatrix}. \tag{2}$$

## 2.2 Stability and the role of depth

**Proposition 2.1** (Stability with one cohort)**.** *With one cohort $(q, \eta)$ and $a = 1 - \kappa\varphi_f$, the market is Schur stable if and only if*

$$q < \varphi_f, \qquad \kappa < \frac{4 - 2\eta}{(2-\eta)\varphi_f - \eta q} \ \text{ when } (2-\eta)\varphi_f > \eta q, \qquad |1 - \kappa\varphi_f|(1-\eta) < 1. \tag{3}$$

*Higher impact $\kappa$ (thinner depth) lowers price persistence $a$; feedback is destabilizing only when cohort aggressiveness $q$ reaches the arbitrage strength $\varphi_f$.*

The condition $q < \varphi_f$ is the familiar statement that momentum demand must be weaker than value arbitrage. The upper bound on $\kappa$ rules out oscillatory instability when the book is very thin.

## 2.3 What an observer can use

The companion paper shows that prices identify only the merged rate–weight measure $M = \sum_i q_i \eta_i \delta_{1-\eta_i}$ of the cohorts. A pre-trade control must therefore depend on the market only through objects that are the same for every cohort representation of $M$.

**Proposition 2.2** (Input–output invariance)**.** *Two populations with the same merged measure generate the same transfer function $H(z) = \sum_k g_k z^{-k} = \kappa z/[z - a - \kappa G(z)]$, $G(z) = \sum_i q_i \eta_i z/(z - 1 + \eta_i)$, and the same impulse coefficients $g_k = \kappa\, c_{\text{price}}^\top J^k b$ for every $k \geq 0$. Un-*

*der any invertible change of state coordinates $z \mapsto Tz$, the Euclidean gain $\|CT^{-1}(TJT^{-1})^k\|_2$ depends on $T$, whereas the price path*

$$\Delta p_{t+k} = \sum_{j\geq 1} g_{k-1+j} u_{t-j} + \sum_{m=0}^{k-1} g_{k-1-m} u_{t+m}$$

*and its worst case over $\|u\|_\infty \leq \bar{u}$ depend only on $\{g_k\}$ and are invariant to both $T$ and cohort splitting.*

Numerically, splitting a cohort of 1,000 random economies into two with the same memory rate leaves every impulse coefficient unchanged up to rounding ($\max_k |g_k(\mathcal{E}^A) - g_k(\mathcal{E}^B)| \leq 2.5 \times 10^{-12}$ over 200 lags; `recompute_oct20.py`). Proposition 2.2 is the reason we build the guard on impulse coefficients and avoid state norms in latent coordinates. When a state norm is needed, we fix units by observable calm-market innovation standard deviations, which is what makes the spot statistic of Section 10 unit-free.

**Proposition 2.3** (Quote cost of ambiguity)**.** *For a one-unit ticket with adverse mark $Z_\theta \sim N(\mu_\theta, \sigma_\theta^2)$ and a CARA dealer with risk aversion $\gamma$, let $c_\theta = \mu_\theta + \gamma\sigma_\theta^2/2$. Under competition with zero robust certainty equivalent, the informed quote is $c_{\theta_0}$ and the ambiguous quote $\sup_\theta c_\theta$; with inverse demand $(V_0 - V)/b$ and marginal cost $c$, raising an interior quote from $s_0$ by $\Delta$ costs $b(s_0 - c)\Delta + \frac{b}{2}\Delta^2$ in surplus.*

Ambiguity about the algorithms is costly only when it changes the worst relevant cost. A guard that bounds worst-case transient exposure can therefore narrow the ambiguity premium; whether it does in a real market is an empirical question we do not answer here.

## 2.4 Discussion of the assumptions

**Linearity and small shocks.** All dynamics are linear. This is the right approximation for the transient response to flow shocks of ordinary size, which is what a pre-trade control must bound one step ahead; it is not a model of regime changes such as exchange outages, where nonlinear liquidity withdrawal dominates.

**One book, one asset.** Sections 4–6 treat a single instrument; Proposition 3.2 shows how directed cross-impact enlarges transient gains in a network. Cross-margined portfolios need the multi-asset operator, which we leave to future work.

**Bounded shocks.** The guard bounds losses for shocks in a declared envelope. Choosing the envelope is a risk-management decision; a larger envelope trades admitted flow for safety. The theorems hold for any envelope, and the empirical work does not depend on it.

**Observables.** Every input to the guard (impulse coefficients, an operator estimate and its confidence radius, inventory and margin) is observable to a dealer or venue. Nothing requires the identities or memory parameters of the algorithms.

# 3 Spectral stability is not solvency

**Theorem 3.1** (Safe radius, Kreiss bounds and the failure of the spectral radius)**.** *Let* $z_t = J^t z_0$ *with* $\rho(J) < 1$*, loss budget* $B > 0$ *and loss output* $C$*.*

*(i) The largest initial-state radius with* $\sup_t \|CJ^t z_0\|_2 \le B$ *for every* $\|z_0\|_2 \le r$ *is*

$$r^*_{\text{exact}} = \frac{B}{M_C}, \qquad M_C \equiv \sup_{t\ge 0} \|CJ^t\|_2. \tag{4}$$

*(ii) With* $C = I$ *and the Kreiss constant* $\mathcal{K}(J) = \sup_{|z|>1}(|z|-1)\|(zI-J)^{-1}\|_2$*, the Kreiss matrix theorem gives* $\mathcal{K}(J) \le \sup_t \|J^t\|_2 \le e\,n\,\mathcal{K}(J)$ *for* $J \in \mathbb{R}^{n\times n}$*, hence*

$$\frac{B}{e\,n\,\mathcal{K}(J)} \;\le\; r^*_{\text{exact}} \;\le\; \frac{B}{\mathcal{K}(J)}. \tag{5}$$

*(iii) For any* $\rho \in (0,1)$ *and any* $B > 0$ *there is a family* $J_\theta$ *with* $\rho(J_\theta) = \rho$ *for all* $\theta$ *and an output* $C = (1,0)$ *such that* $r^*_{\text{exact}}(J_\theta) \to 0$ *as* $\theta \to \infty$*.*

Table 2: Safe radius and Kreiss bounds at a fixed spectral radius

| $\theta$ | $\rho(J_\theta)$ | $M_C$ (price row) | $\sup_t \|J_\theta^t\|$ | $\mathcal{K}(J_\theta)$ | $r^*_{\text{exact}}$ $(B=1)$ |
|---|---|---|---|---|---|
| 0 | 0.8 | 1.00 | 1.00 | 1.00 | 1.000 |
| 1 | 0.8 | 1.36 | 1.37 | 1.06 | 0.735 |
| 5 | 0.8 | 6.03 | 6.04 | 3.43 | 0.166 |
| 20 | 0.8 | 24.01 | 24.01 | 13.42 | 0.042 |
| 100 | 0.8 | 120.00 | 120.00 | 66.99 | 0.008 |

$J_\theta = \left(\begin{smallmatrix} 0.8 & \theta \\ 0 & 0.4 \end{smallmatrix}\right)$; Kreiss constant by grid search over $|z| > 1$.

Table 2 illustrates the theorem for $J_\theta = \left(\begin{smallmatrix} 0.8 & \theta \\ 0 & 0.4 \end{smallmatrix}\right)$: the spectral radius is 0.8 throughout, while the price-row gain rises from 1 to 120 and the safe radius falls by the same factor. The Kreiss constant tracks the gain within the factor $en$.

The theorem concerns a specified initial-state ball and output norm. Changing state coordinates changes the disturbance set, so latent-state units cannot be read as monetary losses; this is why Section 6 works with input–output gains instead.

**Spectral blindness.** The companion paper shows more: for any eigenvalues $0 < \lambda_2 < \lambda_1 < 1$, one-step price variance and sufficiently large stationary price variance, there are two-state markets sharing all three quantities whose worst-case transient gain is arbitrarily large (Niroula and Niroula, 2026, spectral-blindness theorem), so neither eigenvalue nor volatility monitors bound transient loss.

At $\lambda = (0.8, 0.7)$ with one-step variance 1 and stationary variance 5, the gain is 1.77, 5.10, 16.95, 50.85 and 169.50 as the off-diagonal coupling rises from 1 to 100. Figure 1 shows the geometry for a constructed matrix with spectral radius 0.5: its pseudospectra cross the unit circle, and the price-row gain grows with the coupling before decaying.

**No amplification without depth.** In the cohort economy (2) with nonnegative weights and $\rho(J) < 1$, the price impulse response is a nonnegative mixture of decaying exponentials with total weight $\kappa$; it is completely monotone and peaks at the direct impact (Niroula and Niroula, 2026, positive-geometry lemma).

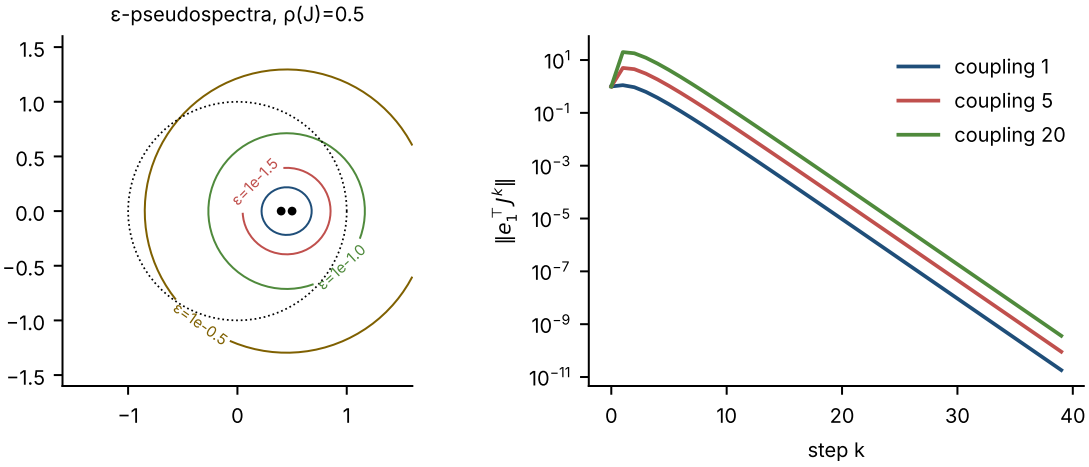



Figure 1: Left: $\varepsilon$-pseudospectra of $J = \left(\begin{smallmatrix} 0.5 & 5 \\ 0 & 0.4 \end{smallmatrix}\right)$; the eigenvalues (dots) are well inside the unit circle (dotted), but the $\varepsilon = 10^{-1}$ contour reaches beyond it. Right: price-row gain $\|e_1^\top J^k\|$ for couplings 1, 5 and 20.

This is a negative result with a positive use. The cohort matrix (2) is non-normal, yet its price output never amplifies. Non-normality is necessary for price amplification but not sufficient, and adaptive momentum feedback alone does not supply it. Section 4 shows that depth depletion does.

## 3.1 Multi-asset coupling

Market makers trade many correlated instruments. Let $x_t \in \mathbb{R}^d$ be pricing errors and $u_t \in \mathbb{R}^d$ flows, with $x_{t+1} = Ax_t + Ku_t + w_{t+1}$, $A = \mathrm{diag}(a_1, \ldots, a_d)$, a cross-impact matrix $K$, and momentum flow $y_{t+1} = (I - H)y_t + Hx_{t+1}$, $u_t = Qy_t$. The stacked Jacobian is

$$J_{\text{multi}} = \begin{pmatrix} A & KQ \\ HA & I - H + HKQ \end{pmatrix} \in \mathbb{R}^{2d \times 2d}. \tag{6}$$

**Proposition 3.2** (Directed cross-impact shrinks the safe radius)**.** *Suppose a leader–satellite structure ($K_{12} = 0$, $K_{21} \geq 0$) with $A, Q, K \geq 0$ entrywise, $H \in (0, 1)^d$, stable diagonal blocks and a fixed output $C \geq 0$. Let $J_{\text{diag}}$ be the decoupled Jacobian with $K_{21} = 0$. Then every power*

*$J^t_{\text{multi}}$ is entrywise non-decreasing in $K_{21}$, so $M_C(J_{\text{multi}}) \geq M_C(J_{\text{diag}})$ and $r^*_{\text{exact}}(J_{\text{multi}}) \leq r^*_{\text{exact}}(J_{\text{diag}})$; likewise $\mathcal{K}(J_{\text{multi}}) \geq \mathcal{K}(J_{\text{diag}})$.*

The proposition concerns nonnegative downstream coupling under a fixed output and shock set. Hedged or signed monetary outputs need separate treatment, and the size of the effect requires an empirical calibration we do not provide. Persistence and transient amplification are nevertheless different things: in a network of identical cohort economies coupled by symmetric nonnegative cross-impact, which stays symmetric in suitable coordinates, cross-impact of 0.05 raises the spectral radius from 0.822 ($d = 1$) to 0.973 ($d = 10$) while the Kreiss constant stays at one (`recompute_oct20.py`). Directed coupling, as in Proposition 3.2, is what turns persistence into amplification.

# 4 When does a book amplify? An exact condition

Transient path risk takes two forms, and the distinction organizes both the theory and the evidence. The first is *peak overshoot*, a response that rises above its direct impact; Theorem 4.2 shows that it requires depth depletion to outweigh impact-weighted reversion. The second is *cumulative amplification*, a summed response $S$ much larger than direct impact; Theorem 4.4 shows that it arises without any depletion whenever reversion is slow relative to impact and momentum. The guard of Section 6 bounds the second. The data of Sections 9–11 show no peak overshoot in crypto books, even though flow depletes the side it hits on a fixed price grid, and they support the second form in thin books.

## 4.1 A book with depletion and refill

Let $x_t$ be the price displacement, $d_t$ the signed depth imbalance (bid minus ask depth near the mid, relative to total) and $u_t$ signed order flow. Flow moves the price directly and

depletes one side of the book, which refills at rate $r$; depth imbalance moves the price:

$$x_t = a\, x_{t-1} + \varphi\, d_{t-1} + \kappa\, u_t, \tag{7}$$

$$d_t = (1 - r)\, d_{t-1} + \varepsilon\, u_t, \tag{8}$$

with $\kappa > 0$, $a \in [0, 1)$ and $r \in (0, 1]$. Write $b = 1 - r$. With the sign convention $d = (B - A)/(B + A)$, a buy that consumes ask depth raises $d$, so $\varepsilon > 0$ means *depletion* of the side that is hit, and $\varphi > 0$ means that a bid-heavy book pushes the price up. The impulse response to a unit flow shock at $t = 0$ is $h_0 = \kappa$ and

$$h_k = a\, h_{k-1} + \varphi\varepsilon\, b^{k-1}, \qquad k \geq 1. \tag{9}$$

**Definition 4.1.** The book *amplifies* if $\max_k h_k > h_0$: the price keeps moving in the direction of the shock after the shock has passed.

## 4.2 Peak overshoot

Add momentum traders whose flow $f_t = (1 - \eta) f_{t-1} + \eta q\, x_{t-1}$ enters both (7) and (8) alongside $u_t$; the two-state model is the case $q = 0$. Write $C_2 \equiv \varphi\varepsilon - (1 - a)\kappa$ and $C_3 \equiv \varphi\varepsilon + \kappa^2\eta q - (1 - a)\kappa$.

**Theorem 4.2** (Peak overshoot: depletion versus momentum)**.** *(i)* Two-state condition. *Without momentum ($q = 0$) the book amplifies if and only if $C_2 > 0$; when $C_2 \leq 0$ the response peaks at impact,* $\max_k h_k = \kappa$.

*(ii)* Shape. *Let $q = 0$, $0 < a < 1$ and $0 < b < 1$. If $a \neq b$, $h_k = Aa^k + Bb^k$ with $B = \varphi\varepsilon/(b - a)$ and $A = \kappa - B$; if $a = b$, $h_k = a^{k-1}(a\kappa + \varphi\varepsilon k)$ for $k \geq 1$. When the book amplifies, $h$ viewed as a function of real $k \geq 0$ has a single maximum, at*

$$k^* = \frac{\log\big(-A \log a/(B \log b)\big)}{\log(b/a)} \quad (a \neq b), \qquad k^* = \frac{1}{\log(1/a)} - \frac{a\kappa}{\varphi\varepsilon} \quad (a = b),$$

*the second being the limit of the first as $b \to a$; the peak lag is $\lfloor k^* \rfloor$ or $\lceil k^* \rceil$ (and is 1 when $k^* < 1$, because $h_1 > h_0$). The cumulative response is $\sum_k h_k = \kappa/(1-a) + \varphi\varepsilon/[(1-a)r]$ in all cases, and faster refill lowers both the peak and the cumulative response. When $a = 0$ ($h_k = \varphi\varepsilon b^{k-1}$) or $r = 1$ ($h_k = a^{k-1}(a\kappa + \varphi\varepsilon)$) the response peaks at lag 1.*

*(iii)* One-period margin with momentum. *$h_1 - h_0 = C_3$, so $C_3 > 0$ implies that the book amplifies.*

*(iv)* Momentum alone cannot amplify. *If $\varphi\varepsilon = 0$, $q \geq 0$ and the system is stable, then $h_k = c_1\lambda_1^k + c_2\lambda_2^k$ with residues $c_1, c_2 \geq 0$, $c_1 + c_2 = \kappa$ and $|\lambda_2| \leq \lambda_1 = \rho < 1$, so $h_k \leq \kappa\rho^k < \kappa$ for every $k \geq 1$; in particular $C_3 < 0$.*

*(v)* A sufficient condition for no overshoot. *For any signs of $\varphi$, $\varepsilon$ and $q$, if*

$$\bar{C}_3 \equiv |\varphi\varepsilon|\Big(1 + \frac{\kappa|q|}{r}\Big) + \kappa^2|q| - (1-a)\kappa \;\leq\; 0,$$

*then $\sup_k |h_k| = \kappa$. When $\varphi\varepsilon \geq 0$ and $q \geq 0$, $C_3 > 0 \Rightarrow$ amplification $\Rightarrow \bar{C}_3 > 0$.*

*Proof.* (i) *If.* $h_1 - h_0 = a\kappa + \varphi\varepsilon - \kappa = C_2 > 0$. *Only if.* Suppose $C_2 \leq 0$. If $\varphi\varepsilon < 0$, then by (9) $h_k = a^k\kappa + \varphi\varepsilon \sum_{j<k} a^{k-1-j}b^j \leq a^k\kappa \leq \kappa$. If $\varphi\varepsilon \geq 0$, let $\Delta_k = h_k - h_{k-1}$. Then $\Delta_1 = C_2 \leq 0$ and, from (9), $\Delta_{k+1} = a\Delta_k + \varphi\varepsilon(b^k - b^{k-1}) = a\Delta_k - \varphi\varepsilon\, r\, b^{k-1} \leq a\Delta_k$, so by induction $\Delta_k \leq 0$ for all $k$ and $h$ peaks at $h_0 = \kappa$.

(ii) Solving (9) gives the two forms. For $a \neq b$, $\frac{d}{dk}h = Aa^k \log a + Bb^k \log b$ has at most one zero because $(b/a)^k$ is monotone, which gives $k^*$; for $a = b$, $\frac{d}{dk}a^{k-1}(a\kappa + \varphi\varepsilon k) = a^{k-1}[(a\kappa + \varphi\varepsilon k)\log a + \varphi\varepsilon]$ vanishes once, at the stated $k^*$, and expanding the first formula in $b - a$ gives the same limit. A unimodal function of real $k$ attains its integer maximum at $\lfloor k^* \rfloor$ or $\lceil k^* \rceil$. Summing the geometric series gives the cumulative response, which falls in $r$; the peak falls in $r$ because $h_k$ is decreasing in $r$ term by term for $\varphi\varepsilon > 0$.

(iii) With a unit shock at $t = 0$, $x_0 = \kappa$, $d_0 = \varepsilon$ and $f_1 = \eta q\kappa$, so $h_1 = a\kappa + \varphi\varepsilon + \kappa^2\eta q$.

(iv) Without the depth channel the state $(x_t, f_t)$ evolves by $M = \left(\begin{smallmatrix} a+\kappa\eta q & \kappa(1-\eta) \\ \eta q & 1-\eta \end{smallmatrix}\right)$, which is entrywise nonnegative, and $h_k = \kappa(M^k)_{11}$. The off-diagonal product is nonnegative, so the eigenvalues are real, and by the Perron–Frobenius theorem $\lambda_2 \le m_{11} \le \lambda_1 = \rho$. Writing $(M^k)_{11} = c_1'\lambda_1^k + c_2'\lambda_2^k$ with $c_1' = (m_{11} - \lambda_2)/(\lambda_1 - \lambda_2) \in [0,1]$ and $c_2' = 1 - c_1'$ gives the residues $c_j = \kappa c_j' \ge 0$ and $(M^k)_{11} \le \rho^k$. Since $m_{11} \le \rho < 1$, $C_3 = \kappa(m_{11} - 1) < 0$.

(v) Suppose $|x_j| \le \kappa$ for $j < k$. Then $|f_j| \le |q|\kappa$ for $j \le k$ and $|d_{k-1}| \le |\varepsilon|\big(b^{k-1} + \sum_{j\ge1} b^{k-1-j}|q|\kappa\big) \le |\varepsilon|(1 + |q|\kappa/r)$, so $|x_k| \le a\kappa + |\varphi\varepsilon|(1 + \kappa|q|/r) + \kappa^2|q| \le \kappa$. Induction from $x_0 = \kappa$ completes the proof. □

**Interpretation.** The left side $\varphi\varepsilon$ of $C_2$ is the extra price pressure that a unit of flow creates one period later through the book it leaves behind. The right side $(1-a)\kappa$ is the part of the direct impact that reverts in one period. The book amplifies exactly when the depth channel adds more than mean reversion removes. Refill $r$ does not enter the condition; it governs how long an overshoot lasts.

We verify part (i) in 1,995 random parameter draws and the refill comparative static in 565 amplifying draws, with no exceptions. The peak lag lies in the stated bracket in all of 150,039 amplifying draws with $a \ne b$ and all of 20,000 confluent draws; it is not always the integer nearest to $k^*$, which an earlier version claimed and which fails in 15% of draws (`recompute_audit.py`, `hardening/p2_sec4_checks.py`). Figure 2 illustrates the four cases.

With two slow modes the converse of part (iii) fails, and no condition on the one-period margin is exact.

*Remark* 4.3 (Counterexamples to an exact one-period condition). Between $C_3$ and $\bar{C}_3$ the sign of $C_3$ does not decide. With $\kappa = 1$, $a = 0.98526$, $\varphi = 0.7409$, $\varepsilon = 0.01183$, $r = 0.03436$, $\eta = 0.5092$ and $q = 0.01127$ (all channels reinforcing, $\rho = 0.9995$), $C_3 = -0.00024$ but the response peaks at lag 60 at $1.092\kappa$. With replenishment ($\varphi = 2.614$, $\varepsilon = -0.405$, $a = 0.9426$, $r = 0.033$, $\eta = 0.0016$, $q = 0.0785$, $\rho = 0.998$), $C_3 = -1.11$ yet the response oscillates to $9.2\kappa$ at lag 90. In a search over 400,000 parameter draws such cases occur only near the stability

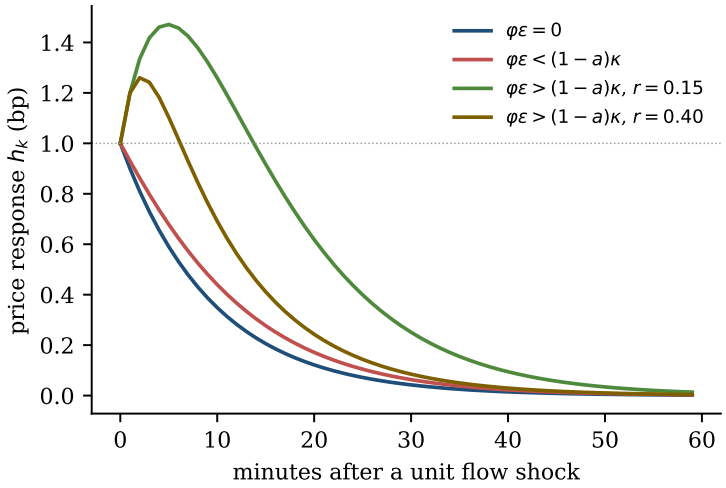



Figure 2: Illustrative impulse responses of model (7)–(8) ($a = 0.9$, $\kappa = 1$, $\varepsilon = 0.1$). The response overshoots only when $\varphi\varepsilon > (1-a)\kappa$; faster refill $r$ lowers the overshoot. Parameters are illustrative, not estimates.

boundary or with slow refill and slow momentum.

The spectral reason is visible in the first example. Without depth, part (iv) makes every residue nonnegative, so the response is a nonnegative mixture of decaying modes and cannot rise above $\kappa$; we found no negative residue in 10,694 stable momentum-only draws. The depth channel breaks this: the three-state response is $h_k = 1.145\,(0.9995)^k - 0.155\,(0.9626)^k + 0.011\,(0.4853)^k$, with a negative residue on the intermediate mode. That mode subtracts from the response early and dies out faster than the slowest one, so the response first dips ($h_1 < h_0$, hence $C_3 < 0$) and then rises toward the slow mode until lag 60.

## 4.3 Cumulative transient risk

**Theorem 4.4** (Summed response in closed form)**.** *Let $\tilde{\kappa} = \kappa + \varphi\varepsilon/r$ (long-run impact: direct plus depth) and $m = 1 - a$ (reversion). In the stable three-state model,*

$$S \equiv \sum_{k\geq 0} h_k = \frac{\tilde{\kappa}}{m - q\tilde{\kappa}},$$

*and when $\varphi\varepsilon \geq 0$ and $q \geq 0$ the system is stable only if $m > q\tilde{\kappa}$. When all $h_k \geq 0$, $S$ is the summed absolute response that enters the guard of Section 6.*

*Proof.* $S = e_1^\top (I - M_3)^{-1}(\kappa, \varepsilon, 0)^\top$ with $M_3$ the transition matrix of $(x, d, f)$. Direct computation gives $\det(I - M_3) = \eta\,[\,r(m - \kappa q) - \varphi\varepsilon q\,]$ and the stated ratio; the formula matches the simulated sums to a relative error of $7 \times 10^{-14}$ in 3,000 stable draws. If $\varphi\varepsilon \geq 0$ and $q \geq 0$, $M_3$ is entrywise nonnegative and stability requires $\det(I - M_3) > 0$, i.e. $m > q\tilde{\kappa}$. □

Cumulative transient risk is long-run impact divided by reversion net of momentum. Two practical consequences follow. First, the statistic that matters for losses is the summed response, which grows without bound as reversion falls to $q\tilde{\kappa}$, even when no single lag overshoots (Theorem 4.2(iv)). Second, $C_3$ is best read as a one-period amplification margin: it moves with $m$, $q$ and $\tilde{\kappa}$ in the same direction as $S$ and is what we estimate in Sections 9 and 11. Both statistics are invariant in sign to rescaling flow.

# 5 Identification and financial safety

The companion paper shows that identifying the cohorts of algorithms from prices is expensive: separating $K$ cohorts whose memories differ by $\Delta\eta$ takes a number of experiments of order $(\Delta\eta)^{-(4K-2)}$, and with general memory accuracy improves only as $1/\log N$ (Niroula and Niroula, 2026). A pre-trade control does not need the cohorts; it needs a bound on the risk they create. This section asks what information certifies a safe trading decision, what that information costs, and how much safe trading must be given up when it is missing.

## 5.1 Observation and risk contracts

We work in the positive cohort economy (2) with $q_i \geq 0$ and known $a$ and $\kappa$. Its merged measure $M = \sum_i q_i \eta_i \delta_{r_i}$, $r_i = 1 - \eta_i$, has kernel $k_m = \int r^m\, dM$, and the price response to a unit of flow obeys $h_0 = \kappa$, $h_{t+1} = a h_t + \kappa \sum_{m \leq t} k_m h_{t-m}$. All $h_t \geq 0$ (Niroula and Niroula,

2026, positive-geometry lemma), and the summed response is

$$S = \sum_t h_t = \frac{\kappa}{1 - a - \kappa\Phi}, \qquad \Phi = \int \frac{dM(r)}{1 - r} = \sum_i q_i, \tag{10}$$

with stability exactly when $a + \kappa\Phi < 1$. A *memory bound* $\bar{r} < 1$ states that every memory rate satisfies $r_i \le \bar{r}$.

*Risk contract.* A position $I$ is held fixed, each period's flow shock is bounded by $\bar{u}$, losses are marked to market at every date, and the horizon is unbounded. By Lemma 6.1 the worst-case loss is $|I|\bar{u}S$, so the safe capacity, the largest shock bound with loss at most the budget $\mathcal{B}$, is $\mathcal{B}/(|I|S)$. Section 6 adds admission, margin and fills. All statements below are deterministic worst cases under this contract; none is a probability-of-ruin statement.

*Observation contracts.* We consider four: (O1) $N$ independent reset experiments, each returning $h_0, \ldots, h_{T-1}$ with independent Gaussian errors of standard deviation $\sigma$ per tap, the controlled-probe contract of the companion paper; (O2) an exact window $h_0, \ldots, h_n$; (O3) class-tagged flows; and (O4) audited exposure, which reveals $\Phi$. The theorems concern these contracts. Observational public records of a live book are a different contract, for which we offer evidence (Section 12.2) but no finite-sample guarantee.

Given data $D$, let $\Theta(D)$ be the set of economies compatible with it. A decision is *certifiably safe* if its worst-case loss is within budget for every economy in $\Theta(D)$, *certifiably unsafe* if it exceeds the budget for every one, and *undecidable* otherwise. This classification is a definition, not a result; it is the finance version of the data-informativity view of control without identification (van Waarde et al., 2020) and of set-membership estimation (Milanese and Vicino, 1991). The results below make it explicit for this economy.

## 5.2 Two markets that look the same

*Example* 5.1 (An exact ambiguity witness). Let $a = 0.4$ and $\kappa = 1$. Market A has one cohort ($q = 0.08$, $\eta = 0.5$); market B has two ($q = 0.02/0.95$, $\eta = 0.95$; $q = 0.4$, $\eta = 0.05$). Their

merged measures have the same mass and first moment, so in rational arithmetic their price responses coincide at lags 0, 1 and 2 (1, 11/25, 267/1250) and first differ at lag 3. Their summed responses are 1.92 and 5.59, so for a unit position and budget the safe shock bound is 0.52 in A and 0.18 in B.

**Proposition 5.2** (Unavoidable loss of safe capacity)**.** *Let two economies have safe capacities $v_0 < v_1$ and data laws $P_0, P_1$. If a data-driven rule $A(D) \in [0, v_1]$ admits an unsafe level in economy 0 with probability at most $\beta$, $P_0(A > v_0) \le \beta$, then*

$$\mathbb{E}_1[v_1 - A(D)] \;\ge\; (v_1 - v_0)\,\big[1 - \beta - \mathrm{TV}(P_0, P_1)\big]_+.$$

*The bound is attained when $P_0 = P_1$ by the rule that admits $v_1$ with probability $\beta$ and $v_0$ otherwise.*

*Proof.* Let $E = \{A \le v_0\}$. Then $P_0(E) \ge 1 - \beta$ and $P_1(E) \ge P_0(E) - \mathrm{TV}$. On $E$ the capacity given up in economy 1 is at least $v_1 - v_0$, and it is nonnegative elsewhere. □

The argument is the two-point method of statistical decision theory (Le Cam, 1986); its use here is to price missing information in units of safe trading. In Example 5.1, a supervisor who sees the first three coefficients and must admit an unsafe level in B with probability at most 5% gives up at least $0.95 \times 0.34 = 0.32$ units of safe shock capacity in A.

## 5.3 What a finite window certifies

Lags 1 to $n$ of the response determine the first $n$ moments of $M$ exactly, through $k_t = (h_{t+1} - ah_t - \kappa \sum_{m<t} k_m h_{t-m})/\kappa^2$. The summed response depends on $M$ only through $\Phi = \int f\, dM$ with $f(r) = (1-r)^{-1}$. Certifying it from a window is therefore an extremal moment problem.

**Theorem 5.3** (Finite-window certification)**.** *Observe $h_0, \dots, h_n$ exactly under a memory bound $\bar{r} < 1$, and suppose the implied moment vector $(k_0, \dots, k_{n-1})$ lies in the interior of the moment space $\mathcal{M}_n([0, \bar{r}])$ (equivalently, the Hankel matrices of the moment sequence and of*

*its localization by $r(\bar{r}-r)$ are positive definite). Let $\mu_-$ and $\mu_+$ be its lower and upper principal representations on $[0,\bar{r}]$ (the extremal measures of the Markov–Krein theorem, unique in the interior; $\mu_+$ has an atom at $\bar{r}$), and $\Phi_\pm = \int f\, d\mu_\pm$. On the boundary of the moment space the compatible measure is unique and $\Phi_- = \Phi_+$.*

*(i)* Sharp interval. *The summed responses of stable economies compatible with the data form the interval $[S(\Phi_-), S(\Phi_+)]$ if $a + \kappa\Phi_+ < 1$, and $[S(\Phi_-), \infty)$ otherwise. Both endpoints are attained by economies with at most $\lfloor n/2 \rfloor + 1$ cohorts.*

*(ii)* Geometric convergence. $\Phi_+ - \Phi_- \le 2k_0 E_{n-1}$, *where* $E_{n-1} = (2/\bar{r})\,\varrho^{n-1}/(x_0^2-1)$ *is the error of the best uniform approximation of $f$ on $[0,\bar{r}]$ by polynomials of degree $n-1$,* $x_0 = 2/\bar{r} - 1$ *and* $\varrho = x_0 - \sqrt{x_0^2-1} < 1$. *A window of length* $n = O\big(\log(1/\epsilon)/\log(1/\varrho)\big)$ *certifies $\Phi$ to precision $\epsilon$, and* $\log(1/\varrho) \sim 2\sqrt{(1-\bar{r})/\bar{r}}$ *as* $\bar{r} \to 1$.

*(iii)* No certificate without a memory bound. *If memory rates may lie anywhere in $[0,1)$, then for every $n$ and every window whose moment vector is interior to the moment space, compatible stable economies have arbitrarily large summed responses: no finite window certifies any finite risk bound.*

Part (i) is an application of the Markov–Krein theorem (Krein and Nudel'man, 1977; Karlin and Studden, 1966): since $f^{(n)}(r) = n!/(1-r)^{n+1} > 0$, the extremes of $\int f\, d\mu$ over measures with given moments are attained at the principal representations. Part (ii) uses Chebyshev's formula for the best approximation of $1/(x_0 - x)$ (Achieser, 1956). The proofs are in Appendix A. Theorem 5.3 turns the three-way classification into a computation: a decision is certifiably safe from the window when $|I|\bar{u}S(\Phi_+) \le \mathcal{B}$, certifiably unsafe when $|I|\bar{u}S(\Phi_-) > \mathcal{B}$, and undecidable in between. In an eight-cohort economy with memory bound 0.95 and true summed response 5.56, the window of lags 0–3 certifies nothing ($a + \kappa\Phi_+ \ge 1$), lags 0–4 certify $S \le 92.8$, lags 0–6 give $[5.01, 7.20]$ and lags 0–8 give $[5.30, 6.00]$; the widths stay inside the bound of part (ii) at every window. For fixed data the upper bound grows without limit as the memory bound approaches one ($\Phi_+ = 2.42$, 9.45, 79.7 and 782 for $\bar{r} = 0.9$, 0.99,

0.999 and 0.9999, from the first four moments of a three-cohort economy), as part (iii) says (`research_extension/information_safety`).

The endpoints in these examples are computed, not proved, in floating point. The next result makes them proved.

**Lemma 5.4** (Certified endpoints)**.** *Let $p_+$ and $p_-$ be polynomials of degree at most $n-1$, $p_\pm(r) = \sum_j c_j^\pm r^j$, with $p_- \le f \le p_+$ on $[0, \bar{r}]$. Then every economy compatible with the window has $\sum_j c_j^- k_j \le \Phi \le \sum_j c_j^+ k_j$. The Hermite interpolants of $f$ at the atoms of $\mu_+$ and $\mu_-$, with derivative conditions at interior atoms, satisfy the sign conditions and give $\Phi_+$ and $\Phi_-$ exactly.*

Lemma 5.4 turns any computed pair of polynomials into a proof, whatever the rounding errors that produced them: if the sign conditions are verified, the bounds hold. We compute the interpolants in 60-digit arithmetic, round them to double precision, add a slack of $10^{-11}$ of $\Phi$, verify the sign conditions on $[0, \bar{r}]$ in interval arithmetic with outward rounding (a mean-value form on an adaptive subdivision; Rump, 2010), and evaluate the bounds with outward rounding. In the eight-cohort example the certified intervals for $S$ are $[5.01, 7.20]$ and $[5.30, 6.00]$ for lags 0–6 and 0–8, and every certified endpoint lies outside the 60-digit one by at most $1.5 \times 10^{-8}$ of its value, using about 62,000 subintervals (test T10; the exact count depends on the platform's floating-point library, the certified bounds do not). The interval endpoints quoted in this paper are therefore results, not approximations.

## 5.4 What certification costs, and what identification costs

**Theorem 5.5** (Certification at the parametric rate)**.** *Consider the class $\mathcal{K}(\bar{r}, \bar{s})$ of positive economies with memory bound $\bar{r}$ and $a + \kappa\Phi \le \bar{s} < 1$, observed under contract (O1). Let $\bar{\lambda} = 1 - (1-\bar{r})(1-\bar{s})$ and $\bar{h}_t$ the average of the $N$ responses.*

*(i)* A valid certificate. *For every economy in the class, $h_t \le \kappa\bar{\lambda}^t$, and*

$$\hat{S}_T^+ = \sum_{t<T} \bar{h}_t + z_{1-\gamma}\,\sigma\sqrt{T/N} + \frac{\kappa\bar{\lambda}^T}{1-\bar{\lambda}}$$

*satisfies $P(S \le \hat{S}_T^+) \ge 1-\gamma$. With $T_\epsilon = \lceil \log(2\kappa/((1-\bar{\lambda})\epsilon))/\log(1/\bar{\lambda})\rceil$ and $N \ge 16 z_{1-\gamma}^2\sigma^2 T_\epsilon/\epsilon^2$, the excess $\hat{S}^+ - S$ is at most $\epsilon$ with probability at least $1-2\gamma$. Certification to precision $\epsilon$ therefore costs $N = O(\sigma^2\epsilon^{-2}\log(1/\epsilon))$.*

*(ii)* A matching lower bound. *Fix an interior single-cohort economy $\theta_0$ and let $C_0 = \|\partial h/\partial q\|_2/(\partial S/\partial q)$ at $\theta_0$. Any procedure that is valid at level $1-\gamma$ on the class and overshoots $S$ by less than $2\epsilon$ with probability at least $1/2$ at $\theta_0$ needs $N \ge \big((1-2\gamma)\sigma/(2C_0\epsilon)\big)^2(1+o(1))$ as $\epsilon \to 0$.*

*(iii)* Independence of the cohort structure. *Neither bound depends on the number of cohorts or on the spacing of their memories, whereas identifying them costs $N \asymp \sigma^2(\Delta\eta)^{-(4K-2)}$ with exponential memory and $\exp(\Theta(1/w))$ experiments for accuracy $w$ with general memory (Niroula and Niroula, 2026).*

The certificate in part (i) is elementary: it is a sum of averaged taps, a Gaussian margin and a tail that the memory bound controls. The content is in the comparison. In contrast to the $\mathcal{H}_\infty$ norm, which Tu et al. (2018) show is no easier to estimate than the model itself, the summed response of a positive economy is a linear functional of the response, so certifying it is a parametric problem, while the cohort parameters are not. Table 3 makes this concrete on the companion paper's hardest two-cohort pairs. Those pairs have *identical* summed responses, because they share the total weight $\sum_i q_i$: the directions in which prices are least informative are directions in which the risk a guard must bound does not move. Identifying their weights to $\pm 0.01$ needs from 7 to 1.5 million reset experiments as the spacing falls from 0.30 to 0.04 (log–log slope $-6.06$), while certifying the summed response to 1% needs 11 to 18 at every spacing (slope $+0.23$).

Table 3: Identifying the cohorts versus certifying the risk they create

| Rate spacing $\Delta\eta$ | 0.30 | 0.20 | 0.14 | 0.10 | 0.08 | 0.06 | 0.05 | 0.04 |
|---|---|---|---|---|---|---|---|---|
| Identify weights ($\pm 0.01$), $N$ | 7 | 88 | 775 | 5,928 | 22,741 | 128,333 | 383,859 | 1,466,362 |
| Certify $S$ (1%), $N$ | 18 | 14 | 13 | 12 | 11 | 11 | 11 | 11 |

The two-cohort moment-matched pairs of the companion paper ($q = 0.2$, mean rate 0.4, $\tau = 0.01$, $a = 0.5$, $\kappa = 0.8$, per-tap noise $1.6 \times 10^{-3}$). Identification: Le Cam requirement at 95% (companion paper, Table on two-point sample complexity). Certification: sufficient $N$ from Theorem 5.5(i) with memory bound equal to the largest rate in the pair and $\bar{s} = a + \kappa q + 0.02$. The two economies of each pair have the same summed response, 2.353. Kind: recomputed (`research_extension/information_safety`, test T03).

*Remark* 5.6 (Shorter windows cost more experiments). Under exact windows the polynomial bounds of Lemma 5.4 certify $\Phi$ to precision $\epsilon$ with $n = O\big((1-\bar{r})^{-1/2}\log(1/\epsilon)\big)$ taps (Theorem 5.3(ii)), whereas the tail bound of Theorem 5.5(i) needs $T_\epsilon = \Theta\big(((1-\bar{r})(1-\bar{s}))^{-1}\log(1/\epsilon)\big)$. With noisy taps the shorter window is not a better certificate. The bound $\sum_j c_j^+ \hat{k}_j$ is linear in the estimated kernel values, so its standard error is $\sigma N^{-1/2}\|\mathcal{J}^\top c^+\|_2$, where $\mathcal{J}$ is the Jacobian of the map from taps to kernel values; the monomial coefficients of an approximating polynomial on $[0, \bar{r}]$ grow geometrically in its degree. In a three-cohort economy with memory bound 0.99 ($S = 3.28$), certifying $S$ to 1% takes 45 taps with the window bound against 4,455 with the tail bound, but $3.5 \times 10^{65}\sigma^2$ experiments against $1.8 \times 10^{8}\sigma^2$; at 0.1%, 56 against 5,482 taps and $3 \times 10^{82}\sigma^2$ against $2.2 \times 10^{10}\sigma^2$ experiments (`hardening/p2_cheb_tradeoff.py`). Power-moment problems are exponentially ill-conditioned, so the parametric rate of Theorem 5.5 is bought with a long, well-conditioned horizon; the window bound is the right tool for exact or near-exact data.

**Unknown noise covariance.** Theorem 5.5(i) assumes independent taps with a known noise level. Reset experiments need not deliver that: the noise in the taps of one experiment can be correlated. Let contract (O1′) be (O1) with Gaussian noise of unknown covariance $\Sigma$ across the taps of an experiment, experiments still independent, and let $X_e = \sum_{t<T} h_t^{(e)}$ for experiment $e$.

**Proposition 5.7** (Certification with unknown covariance)**.** *Under (O1′), let $\bar{X}$ and $s_X$ be the mean and standard deviation of $X_1, \ldots, X_N$ and $\bar{h}$, $\hat{\Sigma}$ the mean and covariance of the $N$*

*windows.*

*(i)* $\hat{S}_t^+ = \bar{X} + t_{N-1,1-\gamma}\, s_X/\sqrt{N} + \kappa\bar{\lambda}^T/(1-\bar{\lambda})$ *satisfies* $P(S \le \hat{S}_t^+) \ge 1-\gamma$ *for every* $\Sigma$.

*(ii) If* $N > T$, *the Hotelling region* $\{m : N(\bar{h}-m)^\top \hat{\Sigma}^{-1}(\bar{h}-m) \le T_\gamma^2\}$, $T_\gamma^2 = \frac{T(N-1)}{N-T} F_{T,N-T}(1-\gamma)$, *contains the mean window with probability exactly* $1-\gamma$, *so the bounds* $c^\top\bar{h} + \sqrt{T_\gamma^2\, c^\top\hat{\Sigma}c/N}$ *hold simultaneously for every linear functional* $c$: *every horizon, every exposure profile and every guard computed from the same experiments.*

*(iii) The certificate of Theorem 5.5(i) can cover with probability well below* $1-\gamma$ *when the taps are positively correlated.*

Part (i) is Student's $t$ applied to the sums, and (ii) is Hotelling's theorem (Hotelling, 1931); the content is which assumption each certificate needs. In simulations with twelve taps and nominal 95% coverage (test T11), positively correlated taps (autocorrelation 0.8) cut the coverage of the (O1) certificate to 74–76%, while the $t$-certificate covers 94–95% and the Hotelling bound 100%, at the cost of a margin three to six times wider. Heavy-tailed noise ($t_3$) leaves the $t$-certificate at 95%. Dependence *across* experiments (autocorrelation 0.5) cuts it to 82–85%: independence of the experiments is what a controlled contract buys and what observational data lack, which is why Sections 12.2 and 12.3 report bootstrap bounds as diagnostics rather than certificates. Experiments can also be run one at a time and stopped once the data decide; an anytime-valid version of the certificate keeps its error level under such stopping and needs far fewer experiments when the economy is far from the threshold (Internet Appendix, Proposition C.1).

# 6 An identification-free pre-trade guard

## 6.1 The quantity gate

Observable dynamics are $z_{j+1} = Jz_j + Hv_j$ with loss output $l_t = Cz_t$, where $v_j$ is the executed quantity. Let $b_t = CJ^t z_0$ be the drift from past flow and $g_m = c_{\text{price}}^\top J^m H$ the impulse coefficients. Which gain bounds the loss depends on the quantity contract. If quantities share a total budget over the window, $\sum_{j<t} |v_j| \le V$, the worst case of $|\sum_{m<t} g_m v_{t-1-m}|$ is $V \max_{m<t} |g_m| \equiv V g_t^*$, attained by placing the whole budget at the lag of the peak, and execution costs at most $c_{\text{exec}} V$. Under a reserve $L_{\text{other}}$ the sharp allowance is then

$$V^* = \min_{t:\, g_t^* + c_{\text{exec}} > 0} \frac{B - L_{\text{other}} - |b_t|}{g_t^* + c_{\text{exec}}}, \qquad \bar{R} = V^*/\tau \tag{11}$$

over a window of $\tau$ seconds. If instead each period's quantity is bounded, $|v_j| \le V$, the worst case is $V \sum_{m<t} |g_m|$ (attained by $v_{t-1-m} = V \operatorname{sign}(g_m)$) and execution costs at most $c_{\text{exec}} V t$, so the peak gain in (11) must be replaced by the summed gain $\sum_{m<t} |g_m|$ and $c_{\text{exec}}$ by $c_{\text{exec}} t$. Pairing a per-period bound with the peak gain understates the worst case, which is the failure Lemma 6.1 formalizes. Either gate needs only impulse coefficients and the current drift.

## 6.2 Maximality

A dealer with inventory $I$ chooses an admission level $\alpha \in [0, 1]$ (the fraction of incoming algorithmic flow it accepts, or the depth it quotes). The closed-loop operator is $J(\alpha) = J_0 + \alpha B_F$ with price impulse response $g_k(\alpha)$. Shocks satisfy $|u_t| \le \bar{u}$. Over horizon $H$ the price change is $\sum_{k<H} g_k(\alpha) u_{t-k}$, and the dealer has a loss budget $\mathcal{B}$. The contract is: inventory $I(\alpha)$ is held fixed over the horizon, each period's shock is bounded by $\bar{u}$, and loss is the mark-to-market loss at any date in the horizon; because the partial sums $\sum_{k<h} |g_k|$ increase in $h$, the worst date is the last. Margin, hedging and fills are added in Theorem 6.8.

**Lemma 6.1** (Summed-gain guard is maximal)**.** *The worst-case loss over horizon $H$ is*

$$L_{\max}(\alpha) = |I(\alpha)|\,\bar{u}\sum_{k<H}|g_k(\alpha)|.$$

*Hence the guard "admit $\alpha$ iff $L_{\max}(\alpha) \le \mathcal{B}$" is necessary and sufficient for bounded-shock solvency: it admits every safe $\alpha$ and no unsafe one. Replacing $\sum_k |g_k|$ by $\max_k |g_k|$ can admit unsafe levels; replacing it by $H \max_k |g_k|$ is safe but conservative.*

*Proof.* By Hölder's inequality $|\sum_k g_k u_{t-k}| \le \bar{u}\sum_k |g_k|$, with equality for $u_{t-k} = \bar{u}\,\mathrm{sign}(g_k)$, which is admissible. Multiplying by $|I(\alpha)|$ gives $L_{\max}$, so the admission set equals the safe set. Since $\max_k |g_k| \le \sum_k |g_k| \le H \max_k |g_k|$, the peak guard under-states loss and the $H$-scaled guard over-states it. □

The worst-case identity in Lemma 6.1 is not new as mathematics: the induced $\ell_\infty$ gain of a linear convolution operator is the $\ell_1$ norm of its kernel, the fact on which $\ell_1$-optimal control of persistent bounded disturbances is built (Vidyasagar, 1986; Dahleh and Pearson, 1987; Dahleh and Diaz-Bobillo, 1995). We use it rather than claim it. The finance content lies elsewhere: the dealer's admission level changes the operator itself, so the guard is a rule over an action set rather than a controller design; the bound is carried through margin, hedging and fill accounting (Theorem 6.8); its single input is invariant to how the unobserved traders are split into cohorts and is identified from prices (Proposition 2.2 and Theorem 5.5); the peak-response and eigenvalue rules it is compared with are the ones closest to current supervisory practice; and the same statistic prices the corrective rebate in equilibrium (Proposition 8.1).

Numerically, the guard coincides with a brute-force adversary's maximal safe $\alpha$ in 200 of 200 random states. The peak-gain guard admitted an unsafe level in 2,000 of 2,000 states, the $H$-scaled guard was conservative in all 2,000, and $L_{\max}$ was non-decreasing in $\alpha$ in all 2,000, so the admission set was an interval in these examples.

## 6.3 Computability: a finite-horizon certificate

**Lemma 6.2** (Contraction-block tail bound). *Let $\rho(J(\alpha)) < 1$. Suppose that at horizon $H$ there is a block length $H_0 \le H$ with $q(\alpha) \equiv \|J(\alpha)^{H_0}\|_2 < 1$, and let $\bar{M}_{H_0}(\alpha) = \max_{0\le r<H_0} \|c_{\text{price}}^\top J(\alpha)^r\|_2$ and $M_{C,H}(\alpha) = \max_{k\le H} \|c_{\text{price}}^\top J(\alpha)^k\|_2$. Then*

$$\sup_{k\ge 0} \|c_{\text{price}}^\top J(\alpha)^k\|_2 \le \max\Big(M_{C,H}(\alpha),\ \bar{M}_{H_0}(\alpha) q(\alpha)^{\lfloor (H+1)/H_0 \rfloor}\Big), \tag{12}$$

$$G_{\text{cum},\infty}(\alpha) \le G_{\text{cum},H}(\alpha) + \frac{\bar{M}_{H_0}(\alpha) H_0\, q(\alpha)^{\lfloor (H+1)/H_0 \rfloor}}{1 - q(\alpha)}.$$

*Proof.* Write any $k > H$ as $k = mH_0 + r$ with $m \ge \lfloor (H+1)/H_0 \rfloor$ and $0 \le r < H_0$. Submultiplicativity gives $\|c^\top J^k\| \le \|c^\top J^r\|\, \|J^{H_0}\|^m \le \bar{M}_{H_0} q^m$. Taking the supremum and summing the geometric tail gives (12). □

The certificate turns an infinite-horizon supremum into a finite computation with a verified remainder. If the second term in the maximum is below $M_{C,H}$, truncation at $H$ is exact.

Example 5.1 shows why the certificate is needed: two economies can agree exactly on the first coefficients and still differ threefold in their summed response.

## 6.4 Robustness to estimation error

**Theorem 6.3** (Robust gain). *Let $M = \sup_k \|J^k\|$ and $S = \sum_k \|J^k\|$. If $\|E\| \le \epsilon$ and $\epsilon S < 1$, then $\sup_k \|(J+E)^k\| \le M/(1-\epsilon S)$.*

*Proof.* Let $P_k = (J+E)^k$. Expanding, $P_k = J^k + \sum_{j<k} J^{k-1-j} E P_j$. With $m_k = \|P_k\|$, $m_k \le M + \epsilon \sum_{j<k} \|J^{k-1-j}\| m_j \le M + \epsilon S \max_{j<k} m_j$. Since $m_0 = 1 \le M$, induction gives $m_k \le M/(1-\epsilon S)$ for all $k$. □

Theorem 6.3 is deterministic: it holds whenever $\|E\| \le \epsilon$. A statistical guarantee follows only through a confidence set for the operator, and then holds with that set's coverage

probability, not with certainty. The bound held in all 30,000 random perturbations of 100 non-normal operators, with median tightness 0.50 (realized gain over bound; maximum 0.57). In a simulated window estimator of the kind used in Section 10 (600 transitions), a residual-bootstrap 95% ball for the operator covered the true $J$ in 94.7% of 300 replications, with median radius 0.086; but $\epsilon S < 1$ held in only 8% of windows. The certificate is valid but often unavailable at realistic sample sizes; longer windows or pooled estimates are needed to use it in practice.

The guard needs the summed gain, which is invariant to cohort splitting (Proposition 2.2) and certified at the parametric rate whatever the spacing of the memories (Theorem 5.5); it does not need the algorithms' identities, which are expensive (Niroula and Niroula, 2026). In a two-cohort economy with rates $0.7 \pm \Delta$, the relative error of the estimated summed gain is flat in $\Delta$ (log–log slope $-0.15$), while the error of the cohort weights grows as $\Delta^{-3.07}$.

## 6.5 An uncertainty-aware guard

The guard of Lemma 6.1 assumes the operator is known. With data, the relevant question is which admission levels are safe for every economy the data allow. We answer it for a venue gate (Mode B below) in the positive cohort economy, where admitting a fraction $\alpha$ of the algorithmic flow scales every cohort's weight, $M \mapsto \alpha M$, so that $S(\alpha) = \kappa/(1 - a - \kappa\alpha\Phi)$.

**Lemma 6.4** (Soundness of compatible-set guards)**.** *If a data-dependent set $\mathcal{C}(D)$ contains the true economy with probability at least $1 - \gamma$, then every action whose worst-case loss is within budget for all economies in $\mathcal{C}(D)$ is within budget for the true economy with probability at least $1 - \gamma$, including an action selected from the data. If no action qualifies, the guard certifies nothing: it halts new admission and flags the state, because existing inventory can be unsafe even with no new trading.*

**Theorem 6.5** (Optimal uncertainty-aware admission)**.** *Let position $I$, shock bound $\bar{u}$ and budget $\mathcal{B}$ be given, and let $\Phi^+$ be an upper bound on $\Phi$ valid with probability at least $1 - \gamma$*

*(for example* $\Phi^+ = (1 - a - \kappa/\hat{S}^+)/\kappa$ *from Theorem 5.5, or* $\Phi_+$ *from Theorem 5.3). Put* $c_I = 1 - a - \kappa|I|\bar{u}/\mathcal{B}$.

*(i)* Closed form and interval. *If* $c_I \geq 0$, *the levels that are safe for every* $\Phi \leq \Phi^+$ *form the interval* $[0, \alpha^*]$ *with* $\alpha^* = \min\{1,\ c_I/(\kappa\Phi^+)\}$.

*(ii)* Safety. *With probability at least* $1-\gamma$, *every admitted level is safe for the true economy.*

*(iii)* Maximality. *Every level above* $\alpha^*$ *is unsafe for an economy with* $\Phi = \Phi^+$; *when* $\Phi^+$ *is attained by a compatible economy (as for* $\Phi_+$ *in Theorem 5.3), no rule using the same information can admit more without admitting an unsafe level.*

*(iv)* Infeasibility. *If* $c_I < 0$, *no level is safe, including* $\alpha = 0$: *the guard halts admission and the position must fall to* $|I| \leq \mathcal{B}(1 - a)/(\kappa\bar{u})$.

*(v)* Minimax capacity loss. *On the class of Theorem 5.5 with* $\Phi$ *bounded away from zero, the certificate-based guard gives up* $\alpha^\circ - \alpha^* = O\big(\sigma\sqrt{\log N/N}\big)$ *of the oracle capacity* $\alpha^\circ = \min\{1, c_I/(\kappa\Phi)\}$ *with probability at least* $1 - 2\gamma$, *and every rule that admits an unsafe level with probability at most* $\beta < 1$ *gives up at least* $c\,\sigma/\sqrt{N}$ *in expectation at some economy of the class. The guard is minimax-optimal in lost capacity up to a logarithmic factor.*

Monotonicity of $S(\alpha)$ in $\alpha$ and $\Phi$ gives (i)–(iv); (v) combines the certificate's excess with Proposition 5.2 applied to two economies whose capacities differ by order $\sigma/\sqrt{N}$ (Appendix A). In 500 random economies the closed form matched a brute-force search over 1,001 admission levels, computed from the state matrices rather than from (10), in every case; every safe set was an interval; and the 28 infeasible states were flagged (test T06). Across 18 designs the certificate covered the true summed response at least at its nominal level (minimum 93.6% at nominal 90%), with a median excess of 3–15% when the memory bound is 0.6 or 0.9 and about 230% when it is 0.97, where the tail term dominates (test T04).

## 6.6 When admission changes the dynamics

Theorem 6.5 rests on one property: risk rises with the admission level, so the safe levels form an interval $[0, \alpha^*]$ and certifying $\alpha^*$ certifies every level below it. A venue that admits a class of participants can also change the book. Suppose admitting a fraction $\alpha$ adds feedback $\alpha\Phi$, deepens the book so that impact falls to $\kappa_0/(1+\delta\alpha)$, and speeds reversion to $1 - a_0 + \rho\alpha$, with $\theta = (\kappa_0, a_0, \Phi, \delta, \rho)$ in a certified box $\Theta$. Then $S(\alpha) = \kappa_0/D(\alpha)$ with $D(\alpha) = (1+\delta\alpha)(1 - a_0 + \rho\alpha) - \kappa_0\Phi\alpha$.

**Proposition 6.6** (Venue mode)**.** *(i) For each economy the safe levels* $\{\alpha \in [0,1] : |I|\bar{u}S(\alpha) \le \mathcal{B}\}$ *are* $[0,1]$ *minus at most one open interval; they can be* $[0, \alpha_1] \cup [\alpha_2, 1]$ *with* $0 < \alpha_1 < \alpha_2 < 1$*.*

*(ii) For* $\alpha \ge 0$ *the worst economy of* $\Theta$ *is the same corner,* $(\kappa_0^+, a_0^+, \Phi^+, \delta^-, \rho^-)$*, for every* $\alpha$*, so the robust safe set is the safe set of that corner, with endpoints at the roots of a quadratic.*

*(iii) A rule that certifies the largest safe level and admits every level below it admits unsafe levels whenever the robust safe set is not an interval. Levels in* $[\alpha_2, 1]$ *can be used safely only by moving to them directly, not by raising admission step by step.*

In the box $\kappa_0 \in [0.98, 1.02]$, $a_0 \in [0.58, 0.60]$, $\Phi \in [2.3, 2.4]$, $\delta \in [2.9, 3.1]$, $\rho \in [0.58, 0.62]$ with $|I|\bar{u}/\mathcal{B} = 0.37$, the robust safe set is $[0, 0.035] \cup [0.386, 1]$, in agreement with a 2,001-point grid over 332 economies of the box (test T13). Low admission brings mostly feedback and high admission mostly liquidity, so risk first rises and then falls.

Without a closed form, as in the three-state book of Section 4, the robust safe set must be computed. Let the impact $\kappa(\alpha)$, the feedback $q(\alpha)$ and the refill rate $r(\alpha)$ of the book depend on admission, with the uncertain parameters in a box $\Theta$, and let $S(\alpha, \theta)$ be the summed absolute price response.

**Theorem 6.7** (Certified admission without monotonicity)**.** *Enclose* $S$ *over a box of levels and parameters by its first* $T$ *terms in interval arithmetic with outward rounding plus the tail*

*bound* $\|J^T s_0\|_\infty \sum_{j<T} \|J^j\|_\infty / (1 - \|J^T\|_\infty)$ *(infinite when* $\|J^T\|_\infty \geq 1$ *cannot be excluded). Classify a subinterval of levels as safe if the enclosure over it and every part of a partition of* $\Theta$ *is within budget, as unsafe if the lower enclosure at some economy of* $\Theta$ *exceeds the budget, and otherwise split it, down to a tolerance. Then:*

*(i)* Soundness. *Every level classified safe is safe for every economy in* $\Theta$*, and every level classified unsafe is unsafe for some economy in* $\Theta$*, in exact arithmetic.*

*(ii)* Existence and bracketing. *The robust safe set is closed, so the largest safe level exists if any level is safe, and so does the largest level reachable by raising admission from zero through safe levels if zero is safe. The first lies between the largest certified-safe level and the largest level not certified unsafe; the second between the end of the certified-safe interval that starts at zero and the first level certified unsafe.*

*(iii)* No false certificate. *If every level is classified unsafe, the guard halts admission and flags the state.*

*(iv)* Completeness. *If* $\sup_\Theta \rho(J) < 1$*, then as the tolerance and the partition of* $\Theta$ *shrink and* $T$ *grows, every level at which the robust risk differs from the budget is eventually classified.*

The method is interval branch and bound (Hansen and Walster, 2004); the theorem's content is that its output is a certificate for the risk contract, including for admission rules whose risk is not monotone. In a book with depletion and refill where admission raises feedback linearly and liquidity quadratically (test T13), the certified safe set at a budget of 6.5 is $[0, 0.053] \cup [0.178, 1]$, with $[0.059, 0.168]$ certified unsafe and 0.016 left undecided; no certified-safe level was unsafe for any of 433 sampled economies on a 1,001-point grid. The shortcut that certifies $\alpha = 1$ and admits everything below it would admit the whole unsafe band.

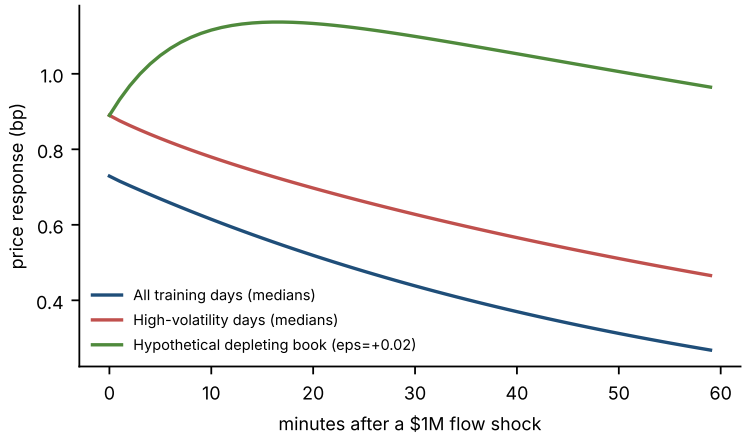



Figure 3: Price response to a $1M flow shock at the median depth estimates and in a hypothetical depleting book. Computed from the estimates of Table 7.

Table 4: Peak versus summed gain at calibrated parameters

| Book | $C_3$ | Peak (min) | $\sum_{k<15} \lvert g_k \rvert$ | $\sum_{k<60} \lvert g_k \rvert$ | Sum/peak | Cap, peak | Cap, sum |
|---|---|---|---|---|---|---|---|
| All days (medians) | −0.013 | 0.73 (0) | 9.73 | 27.67 | 13.3 | $274M | $21M |
| High-vol. days (medians) | −0.014 | 0.89 (0) | 12.17 | 38.71 | 13.7 | $225M | $16M |
| Depleting book ($\varepsilon$ = 0.02) | +0.042 | 1.14 (17) | 15.85 | 63.69 | 14.0 | $176M | $13M |

Gains in bp per $1M of flow; sum/peak at 15 minutes. Inventory cap under a peak guard and under the summed guard, for a loss budget of $100,000, an illustrative shock bound of $5M of flow per minute and a 15-minute horizon. From `calib_guard.py`, using the medians of Table 7.

## 6.7 A calibrated illustration

How much does the choice between peak and summed guards matter in a real book? We compute the three-state impulse response at the median estimates of Section 9 (all training days and high-volatility days) and at a hypothetical book in which flow depletes the side it hits ($\varepsilon = +0.02$, other parameters at their high-volatility medians), Figure 3 and Table 4.

The result is striking even though BTCUSDT does not amplify. Because price impact is persistent ($\hat{a} \approx 0.97$ per minute), the summed gain over 15 minutes is about 13 times the peak. A guard calibrated to the peak would admit inventory about 13 times larger than is safe against a sustained adversarial flow of the declared size. Amplification makes this worse (the depleting book peaks 17 minutes after the shock), but persistence alone already makes

peak-based limits unsafe. This is the practical content of Lemma 6.1 for this market.

## 6.8 Two deployment modes

**Mode A.** *An individual dealer.* A price-taking market maker with a small share of aggregate depth scales its own quote size by $\alpha$. This scales its passive fill intake but leaves aggregate depth, impact and the market operator unchanged.

**Mode B.** *A venue or sponsoring broker.* A gate at a matching engine or a market-access gateway (the setting of Rule 15c3-5) admits a fraction $\alpha$ of incoming aggressive algorithmic flow while resting depth stays posted. The operator becomes $J(\alpha) = A_0 + \alpha B_F$.

**Algorithm (pre-trade guard).** At each step, using only pre-shock information:

1. For each $\alpha$ on a grid $\mathcal{A} = \{0, 0.025, \ldots, 1\}$, compute $\rho(J(\alpha))$, the peak and summed gains $M_{C,H}(\alpha)$ and $G_{\mathrm{cum},H}(\alpha)$, and the tail certificate of Lemma 6.2; if an operator confidence radius $\epsilon$ is available, inflate by Theorem 6.3.
2. Compute post-hedge and worst-case post-fill inventory, hedging cost and the post-fill margin increment.
3. Admit the largest $\alpha \in \mathcal{A}$ that satisfies the solvency inequalities of Theorem 6.8; if none does, set $\alpha = 0$, flag that no safe action exists, and trigger inventory reduction.

The guard checks every grid point, so it does not rely on the safe set being an interval; levels between grid points are never admitted. For low-dimensional $J$ the grid evaluation is a sequence of matrix–vector products; execution takes well under one millisecond in compiled code, which we regard as an engineering detail rather than a result.

## 6.9 Balance-sheet solvency

**Theorem 6.8** (Conditional bounded-shock forward solvency)**.** *Consider a dealer with cash $K_t$, inventory $I_t$, mark $p_t$, equity $E_t = K_t + I_t p_t$, maintenance margin $MM_t = \max(0, \mu|I_t|p_t - c_0)$ and remaining buffer $B_{\mathrm{rem},t} = E_t - MM_t$, a safety reserve $R_{\mathrm{safe}}$, a hedge $\Delta I_t^{\mathrm{hedge}}(\alpha)$ with cost $C_{\mathrm{hedge},t}(\alpha)$, worst-case passive fills $\Delta I_{\mathrm{max},t}^{\mathrm{fill}}(\alpha)$ with margin increment $C_{\mathrm{fill},t}(\alpha)$, and declared one-step and cumulative shock envelopes $\bar{u}_{\mathrm{step},t} \le \bar{u}_{\mathrm{cum},t}$. Let $|I_{t+1}^{\mathrm{post}}(\alpha)| = |I_t + \Delta I_t^{\mathrm{hedge}}(\alpha)| + \Delta I_{\mathrm{max},t}^{\mathrm{fill}}(\alpha)$. Suppose the guard admits $\alpha_t$ only if*

$$|I_{t+1}^{\mathrm{post}}(\alpha_t)|(1+\mu)\Big(M_C(\alpha_t)\|z_t\|_2 + s(\alpha_t)G_{\mathrm{cum}}(\alpha_t)\bar{u}_{\mathrm{cum},t}\Big) + C_{\mathrm{hedge},t}(\alpha_t) + C_{\mathrm{fill},t}(\alpha_t) + R_{\mathrm{safe}} \le B_{\mathrm{rem},t}, \tag{13}$$

*where $s(\alpha)$ scales admitted shocks. Then for every disturbance path within the declared envelopes, the buffer after the step is at least $R_{\mathrm{safe}}$; by induction, solvency holds at every step at which an admissible $\alpha$ exists. At $\alpha = 0$ the one-step admissible shock is*

$$\bar{u}_{\mathrm{adm},t} = \frac{B_{\mathrm{rem},t} - R_{\mathrm{safe}} - |I_t|(1+\mu)\|z_t\|_2}{|I_t|(1+\mu)}.$$

*The condition is sufficient over the whole disturbance ball. It is also necessary when the current state contributes no drift ($z_t = 0$), because the shock term is then attained by adversarially signed disturbances; with $z_t \neq 0$ the drift term $M_C\|z_t\|_2$ is an upper bound and the condition may be conservative. The admissible shock at $\alpha = 0$ assumes, as in the cohort economy (Niroula and Niroula, 2026, positive-geometry lemma), that the price-row gain without admitted flow is $M_C(0) = 1$.*

Two features matter. The guard accounts for the inventory the dealer will hold after hedging and after worst-case fills, not only current inventory, and it never claims safety on an infeasible state: if no $\alpha$ satisfies (13), it halts new fills and flags the state, because pre-existing inventory can still breach margin on a large adverse jump. In a constructed scenario ($E_0 = 10{,}000$, $I_0 = -2{,}000$ at $P^* = 100$, Tier-2 margin with $\mu = 0.005$, buffer 9,050

and reserve 950), the admissible shock at $z_0 = 0$ is 8,100/2,010 = 4.03 per unit, and an adversarial move of 4.05 violates the reserve.

**Proposition 6.9** (When an eigenvalue rule admits an uncertified level)**.** *Let an eigenvalue guard admit* $\alpha_\rho = \max\{\alpha : \rho(J(\alpha)) \le \bar{\rho}\}$*, and suppose the state is feasible for the summed-gain guard, which then admits at least* $\alpha = 0$*. Bounding the one-step price move by* $M_C(\alpha)(\|z_t\|_2 + s(\alpha)\bar{u}_{\mathrm{step},t})$*, the level admitted by the eigenvalue guard fails this one-step solvency certificate, and so is one the summed-gain guard would not certify, if and only if*

$$M_C(\alpha_\rho) \;>\; \frac{B_{\mathrm{rem},t} - R_{\mathrm{safe}} - C_{\mathrm{hedge},t}(\alpha_\rho) - C_{\mathrm{fill},t}(\alpha_\rho)}{|I^{\mathrm{post}}_{t+1}(\alpha_\rho)|(1+\mu)(\|z_t\|_2 + s(\alpha_\rho)\bar{u}_{\mathrm{step},t})}.$$

The certificate is a bound, so failing it means that solvency cannot be guaranteed, not that a breach must occur. The eigenvalue rule fails it exactly when the transient gain at its admitted level exceeds the loss the balance sheet can absorb, which the companion paper's spectral-blindness theorem shows can happen at any spectral threshold.

**Proposition 6.10** (Strategic re-optimization reinforces the guard)**.** *Suppose cohorts re-optimize their steady-state Kalman gains when the venue throttles admission, and throttling scales the variance of execution-driven innovations as* $\sigma^2_\zeta(\alpha) = \alpha^2\sigma^2_{\zeta,0}$ *while measurement noise* $\sigma^2_\nu > 0$ *is unchanged.*

*(i) The optimal gain* $\eta^*(\alpha)$ *is strictly increasing in* $\alpha$*, so throttling lowers every cohort's adaptation rate. If the transient gain is non-decreasing in the adaptation rates, then* $M_C(J(\alpha, \eta^*(\alpha))) \le M_C(J(\alpha, \eta^*(1)))$*: re-optimization does not undo the guard.*

*(ii) In the positive cohort economy (*$q_i \ge 0$*,* $a + \kappa\sum_i q_i < 1$*) the monotonicity holds without condition: every finite-horizon summed response* $S_H = \sum_{t<H} h_t$ *is non-decreasing in each adaptation rate, strictly for* $H \ge 2$ *when* $q_i > 0$*, while* $S_\infty = \kappa/(1-a-\kappa\sum_i q_i)$ *does not depend on the rates. Hence* $S_H(J(\alpha, \eta^*(\alpha))) \le S_H(J(\alpha, \eta^*(1)))$ *at every horizon.*

Part (i) is a property of the Riccati root. Part (ii) is a renewal argument: the response

is the renewal density of a defective inter-arrival law whose cumulative distribution $a + \kappa \sum_i q_i[1 - (1 - \eta_i)^j]$ rises with every rate at fixed total mass, so faster adaptation moves feedback earlier without changing its total (Appendix A). In 3,000 random positive economies no finite-horizon sum fell when a rate rose (`hardening`). For the three-state book with momentum the condition in (i) remains an assumption, which we check numerically. Across 3,000 stable draws of the three-state book with momentum (adaptation rates on a grid from 0.05 to 0.95), the peak response is non-decreasing in $\eta$ in 98.8% of draws and in 99.9% of those with trend-following cohorts ($q > 0$); the summed absolute response is non-decreasing in 93% of draws with $q > 0$ but decreasing when cohorts are contrarian ($q < 0$). For trend-following cohorts, the case the filtering microfoundation produces, re-optimization therefore reinforces the guard in almost every case we drew; the signed sum $S$ of Theorem 4.4 does not depend on $\eta$ at all (`recompute_oct20.py`). A manipulator who instead increases order size to offset throttling enlarges the shock envelope and drives $\alpha$ toward zero.

# 7 The value of disclosure for safe trading

The companion paper measures the value of disclosure in samples needed to identify the cohorts (Niroula and Niroula, 2026). For a pre-trade control, the relevant value is the safe trading capacity it unlocks.

**Theorem 7.1** (Decision value of disclosure)**.** *Under the risk contract of Section 5.1, compare an observation contract $O$ with a richer contract $O'$ that reveals everything $O$ reveals and more, both with exact data.*

*(i)* Monotonicity. *The compatible sets are nested, $\Theta_{O'} \subseteq \Theta_O$, so $\Phi^+_{O'} \leq \Phi^+_O$ and the admitted level of Theorem 6.5 satisfies $\alpha^*_{O'} \geq \alpha^*_O$.*

*(ii)* Strictness. *$\alpha^*_{O'} > \alpha^*_O$ if and only if $\alpha^*_O < 1$, $c_I > 0$, and $O'$ excludes every compatible economy with $\Phi = \Phi^+_O$. Under the window contract that economy is the upper principal*

*representation of Theorem 5.3: disclosure has decision value exactly when it rules out a cohort at the memory bound with the extremal weight.*

*(iii)* Long memory. *Under the window contract with memory bound $\bar{r}$, $\alpha^*_O \to 0$ as $\bar{r} \to 1$ for any fixed window (Theorem 5.3(iii)), whereas audited exposure, which reveals $\Phi$, admits the oracle capacity $\alpha^\circ$. The decision value of audited disclosure therefore tends to the whole oracle capacity as memory lengthens.*

*(iv)* Net value. *With value $w$ per unit of admitted capacity and disclosure cost $c(O')$, the net value $w(\alpha^*_{O'} - \alpha^*_O) - c(O')$ is zero or negative whenever $O$ already identifies $\Phi$ (a window whose moment vector lies on the boundary of the moment space) or the budget does not bind.*

*(v)* Noisy proxies. *With noisy data the certificates of two contracts are confidence bounds, not nested sets, and a richer contract can admit less. Under class-tagged flows measured with noise over $T$ periods and estimated as in the companion paper, class $i$'s exposure $\hat{\Phi}_i = \hat{w}_i/(1-\hat{r}_i)$ has delta-method standard error*

$$\mathrm{se}(\hat{\Phi}_i) = \frac{1}{(1-r_i)\sqrt{T}}\Big[V_{ww} + 2\Phi_i V_{wr} + \Phi_i^2 V_{rr}\Big]^{1/2},$$

*with $V$ the asymptotic covariance of $(\hat{w}_i, \hat{r}_i)$, so the tagged bound $\sum_i \hat{\Phi}_i + z_{1-\gamma}\mathrm{se}$ admits less than the public certificate whenever its margin exceeds $\Phi^+_O - \Phi$. Intersecting the two certificates, each at level $1-\gamma/2$, gives a bound valid at level $1-\gamma$ that admits at least as much as either certificate at level $1-\gamma/2$, which restores monotonicity.*

The theorem is set inclusion plus the closed form of Theorem 6.5; its content is the location of the value. Disclosure is worth most where public certificates are weakest, in markets whose participants have long memories. In simulation (test T07; Table 5), with two classes and one of them slow, audited exposure adds 0.027 of admitted capacity to a public certificate when the slow class's memory rate is 0.6 and 0.122 when it is 0.995,

Table 5: Admitted capacity under three observation contracts (simulation)

| Memory rate of the slow class | 0.60 | 0.90 | 0.97 | 0.995 |
|---|---|---|---|---|
| Public responses (certificate, Theorem 5.5) | 0.640 | 0.623 | 0.601 | 0.544 |
| Class-tagged flows, 10% noise | 0.662 | 0.655 | 0.631 | 0.507 |
| Audited exposure (oracle) | 0.667 | 0.667 | 0.667 | 0.667 |
| Public ∩ tagged, each at 97.5% (test T15) | 0.661 | 0.653 | 0.626 | 0.537 |
| Value of audited exposure over public | 0.027 | 0.044 | 0.066 | 0.122 |

Two classes ($q = 0.06$ with the stated memory rate, $q = 0.12$ with rate 0.5), $a = 0.4$, $\kappa = 1$, position 1, shock bound 0.48, budget 1; public: 500 reset experiments, per-tap noise 0.05, certificate at 95% with the true memory bound; tagged: 2,000 periods of each class's flow with 10% measurement noise, two-stage least squares as in the companion paper, 95% delta-method bound; 300 replications. Entries are mean admitted fractions $\alpha^*$. The intersection row comes from an independent run of the same design (seed 15), whose public and tagged rows are 0.639/0.662, 0.625/0.655, 0.600/0.631 and 0.549/0.506. Kind: recomputed (tests T07 and T15).

out of an oracle capacity of 0.667. Class-tagged flows measured with 10% noise add 0.02–0.03 at memory rates up to 0.97 but *lower* capacity at 0.995, because a class's exposure $q = w/(1-r)$ is badly conditioned when $r$ is near one: disclosure of a noisy proxy can be worth less than nothing. Part (v) quantifies this. In a second simulation of the same design (test T15), the standard error of the slow class's exposure rises from 0.0004 to 0.035 as $1-r$ falls from 0.4 to 0.005, roughly in proportion to $(1-r)^{-1}$ over the last decade, while the public certificate's margin grows only with the square root of its horizon. At $r = 0.995$ the tagged bound admits 0.506 against 0.549 for the public one; the intersection admits 0.537, close to the better of the two, and covers the true exposure in 99% of replications (Table 5). The companion paper's evidence that Binance's and the CFTC's class positions pin down memories that prices leave unrestricted concerns class-level positions, which are proxies, not records of individual algorithms.

**Pricing versus guarding.** A conservative bound is the right input for a guard and the wrong input for a price. The corrective rebate of Proposition 8.1 depends on $S^2$; computed from an upper bound that overstates $S$ by 10% it over-subsidizes reversion and loses 2.4–2.8% of first-best welfare, and by 50%, 70–80% (test T12). Guards should use certified upper

bounds; rebates should use point estimates.

# 8 Who provides reversion? An equilibrium

Theorem 4.4 says that transient risk is governed by one ratio, $S = \tilde{\kappa}/(m - q\tilde{\kappa})$. Its ingredients are chosen by market participants: dealers decide how hard to lean against price displacements, which sets reversion $m$, and momentum traders decide how strongly to chase them, which sets $q$. This section asks whether those choices are efficient.

## 8.1 Setup

There are $N$ dealers. Dealer $i$ supplies reversion intensity $s_i \geq 0$ by absorbing order flow against the displacement, so $m = m_0 + \sum_i s_i$, where $m_0$ is reversion supplied by other means. Leaning earns a spread $v$ per unit of intensity at quadratic inventory cost, so the private value is $vs_i - \frac{c}{2}s_i^2$. By Lemma 6.1 the worst-case transient loss of a position of size $Q$ facing flow shocks bounded by $U$ is $QU\,S$, so we take aggregate expected tail loss to be $\Lambda S(m, q)$ with $\Lambda > 0$. Dealers bear a share $\theta < N$ of it, so each bears $\theta/N$; leveraged users and their counterparties bear the rest. Momentum traders choose aggregate intensity $q$ with private value $bq - \frac{e}{2}q^2$ and bear none of the tail loss. Long-run impact $\tilde{\kappa}$ is taken as given.

## 8.2 Results

**Proposition 8.1** (Equilibrium transient risk)**.** *Let* $g(m) \equiv -\partial S/\partial m = \tilde{\kappa}/(m - q\tilde{\kappa})^2$.

*(i)* Under-provision of reversion. *The symmetric Nash equilibrium solves* $m - m_0 = Nv/c + \theta\Lambda g(m)/c$*, the planner's optimum solves* $m - m_0 = Nv/c + N\Lambda g(m)/c$*, and* $m^{\mathrm{eq}} < m^{\mathrm{SP}}$*, so* $S^{\mathrm{eq}} > S^{\mathrm{SP}}$.

*(ii)* Fewer dealers, more risk. $\partial m^{\mathrm{eq}}/\partial N = (v/c)/(1 - \theta\Lambda g'(m)/c) > 0$*, so equilibrium reversion rises and* $S^{\mathrm{eq}}$ *falls with the number of dealers.*

*(iii)* Over-provision of momentum. *Momentum traders choose $q = b/e$; the planner chooses $q^{\mathrm{SP}} < b/e$, solving $b - eq = \Lambda\tilde{\kappa}^2/(m - q\tilde{\kappa})^2$.*

*(iv)* The corrective price is identified. *The first best for reversion is implemented by a rebate per unit of reversion*

$$\tau^* = \Big(1 - \frac{\theta}{N}\Big)\Lambda\, g(m) = \Big(1 - \frac{\theta}{N}\Big)\Lambda\, \frac{S^2}{\tilde{\kappa}},$$

*which depends on the market only through $S$ and $\tilde{\kappa}$.*

*(v)* Endogenous depth. *Suppose in addition that each dealer posts depth $D_i \geq 0$ at private value $v_D D_i - \frac{c_D}{2} D_i^2$, that long-run impact is $\tilde{\kappa} = 1/D$ with $D = \sum_i D_i$, and that momentum traders size their flow to the book, $q = \psi D$ with $\psi$ fixed. Then $S = \Gamma/D$ with $\Gamma \equiv S/\tilde{\kappa} = 1/(m - \psi)$, which does not depend on depth. Symmetric equilibrium depth solves $D = Nv_D/c_D + \theta\Lambda\Gamma/(c_D D^2)$ and the planner's $D = Nv_D/c_D + N\Lambda\Gamma/(c_D D^2)$, so $D^{\mathrm{eq}} < D^{\mathrm{SP}}$; $D^{\mathrm{eq}}$ increases with $N$, so $S^{\mathrm{eq}} = \Gamma/D^{\mathrm{eq}}$ falls with the number of dealers while $S/\tilde{\kappa}$ does not move. The rebate per unit of depth $\tau_D^* = (1 - \theta/N)\Lambda S\tilde{\kappa}$ implements the first-best depth.*

*Proof.* (i) Dealer $i$'s first-order condition is $v - cs_i + (\theta/N)\Lambda g(m) = 0$; the planner's is $v - cs + \Lambda g(m) = 0$. Summing over dealers gives the two fixed-point equations. The right-hand sides are decreasing in $m$ because $g$ is decreasing on $m > q\tilde{\kappa}$, and the planner's lies above the dealers' for every $m$ when $\theta < N$, so its crossing with the line $m - m_0$ lies to the right. (ii) follows by implicit differentiation, since $g' < 0$. (iii) $\partial S/\partial q = \tilde{\kappa}^2/(m - q\tilde{\kappa})^2 > 0$ is the marginal external cost of momentum that traders ignore. (iv) The rebate closes the wedge between the two first-order conditions, and $g = S^2/\tilde{\kappa}$ by Theorem 4.4. (v) With $q\tilde{\kappa} = \psi$, Theorem 4.4 gives $S = \tilde{\kappa}/(m - \psi) = \Gamma/D$ and $\partial S/\partial D_i = -\Gamma/D^2$. Dealer $i$'s first-order condition for depth is $v_D - c_D D_i + (\theta/N)\Lambda\Gamma/D^2 = 0$ and the planner's $v_D - c_D D_i + \Lambda\Gamma/D^2 = 0$; summing gives the two fixed points. In each, the left side $D$ increases and the right side decreases in $D$, so each has a unique positive solution, the planner's to the right of the

dealers' because $\theta < N$; and $D - \theta\Lambda\Gamma/(c_D D^2) = N v_D/c_D$ has a left side increasing in $D$, so $D^{\text{eq}}$ increases with $N$. The rebate closes the wedge $(1-\theta/N)\Lambda\Gamma/D^2 = (1-\theta/N)\Lambda S\tilde{\kappa}$. □

At $v = 0.002$, $c = 0.5$, $\theta = 0.3$, $\Lambda = 10^{-4}$, $m_0 = 0.005$, $q = 0.02$ and $\tilde{\kappa} = 1$, equilibrium $S$ falls from 27.9 with one dealer to 6.8 with forty, and the planner's $S$ is 1.5–2.7 times lower throughout; the rebate computed from $S$ alone coincides with the first-order wedge to machine precision. With $m = 0.03$, $b = 0.3$ and $e = 20$, momentum traders choose $q = 0.015$ against a planner's 0.0062.

**Interpretation.** Reversion is a public good: each dealer who leans against a displacement lowers the tail exposure of every leveraged position in the market but is paid only for his own fills. Momentum is the mirror image. Part (iv) closes the loop with the guard: the policy price of the externality is a function of the same summed response that the guard bounds, and Proposition 2.2 and Theorem 5.5 show that this quantity is identified from public data without identifying the traders. A venue that rebates reversion in proportion to $S^2/\tilde{\kappa}$, or a supervisor that sets pre-trade limits by $S$, prices the externality with an observable.

**What the data say about the model's predictions.** Part (ii) predicts that books with fewer dealers have higher $S$ because they supply less reversion. Depth is the closest proxy we observe for the number of liquidity providers. Across the three liquidity terciles of the 30 Binance perpetuals on training days, the summed response per dollar of flow rises steeply as depth falls (median 2,797, 26,603 and 39,329 basis points per $1M in the thick, mid and thin terciles; Spearman correlation with log depth $-0.94$), as (ii) predicts. The channel is not the one part (ii) names, however: the unit-free gain multiple $S/|h_0|$, which equals $1/(m - q\tilde{\kappa})$ up to the factor $\tilde{\kappa}/\kappa$ and isolates reversion net of momentum, is the same in all three terciles (medians 46.4, 47.3 and 46.9; Spearman $-0.11$). Thinner books carry more cumulative risk because their impact $\tilde{\kappa}$ is larger, not because they revert more slowly. This is the pattern part (v) produces when momentum traders size their flow to the book: fewer dealers lower

depth, which raises $S$ in proportion to $\tilde{\kappa}$, while $S/\tilde{\kappa}$ stays put. We added part (v) after seeing these comparisons, so the match is a consistency check, not a test. The comparisons were themselves made after the fact (Part 13, `R2`), and depth is an imperfect proxy for dealer count, so a direct test needs data on liquidity-provider identities. The model's second prediction, that the dynamic balance forecasts tail losses where reversion is close to $q\tilde{\kappa}$, is what Section 11 tests.

# 9 Evidence from Binance futures depth

## 9.1 Data and validation

We use Binance USD-M BTCUSDT perpetual futures from the public archive: one-minute klines with taker-buy volume, `bookDepth` snapshots of cumulative depth within ±1–5% of the mid at about 30-second intervals, and open interest from `metrics`. Depth is available from January 2023. No liquidation archive is available for this period, so we do not test liquidations.

Validation rules were fixed before analysis. A snapshot is kept if (V1) all of the $\pm 1, 2, 5\%$ bands are present, (V2) depth is monotone in distance on each side, (V3) the implied average price at ±1% is within 3% of the one-minute close, and (V4) it is not part of a run of more than ten identical snapshots; (V5) a day is kept if at least 80% of its minutes have a valid snapshot.

## 9.2 Structural estimates

On one-minute bars, $p_t$ is the log price in basis points, $u_t$ signed taker flow in million USDT, $d_t = (B_1 - A_1)/(B_1 + A_1)$ the depth imbalance within 1% of the mid, and $x_t = p_t - \mathrm{EMA}_{60}(p_t)$.

Table 6: Depth data validation

| | |
|---|---|
| Days requested (January 2023 – October 2026) | 1,386 |
| Days passing validation | 1,329 |
| Snapshots examined | 3,897,951 |
| dropped by V1 (missing bands) | 0 |
| dropped by V2 (non-monotone) | 0 |
| dropped by V3 (implied price off by $> 3\%$) | 98,080 |
| dropped by V4 (stuck feed) | 95,954 |
| Failed periods | April 16 – May 19, 2025; October 10–15, 2025 |
| Training days used (2023–2024) | 718 |

All files verified against published SHA-256 checksums. The 2025 failures coincide with archived depth that is misaligned with prices; the October 10, 2025 crash day is therefore unusable.

Day by day we estimate

$$\Delta p_t = \kappa u_t + \varphi d_{t-1} - (1-a)x_{t-1} + e_t,$$
$$d_t = (1-r)d_{t-1} + \varepsilon u_t + e_t,$$
$$u_t = (1-\eta)u_{t-1} + \eta q\, x_{t-1} + e_t,$$

and form $\hat{C}_2$, $\hat{C}_3$ and the implied peak ratio $\max_k \hat{h}_k/\hat{h}_0$. The price equation has $\Delta p_t$ on the left, so the EMA filter does not create mechanical persistence. These are reduced-form regressions (flow is contemporaneous), so the estimates describe conditional dynamics rather than causal parameters.

Table 7 has three findings. First, the market sits on the stable side of the condition: $\hat{C}_3 < 0$ on 93.5% of days, and the median implied response peaks at impact. Second, the depletion coefficient $\hat{\varepsilon}$ is small and negative: taker buying is followed by slightly more ask-side than bid-side depth within 1%, so in these re-centred bands the book appears to replenish rather than deplete the side being hit; Section 11.4 shows that a fixed price grid reverses the sign. With $\hat{\varepsilon} < 0$, $\varphi\varepsilon$ is positive only if $\varphi$ is negative, which it is not on high-volatility days. Third, on high-volatility days depth imbalance moves prices strongly ($\hat{\varphi} = 2.59$) and refill is twice as fast; the depth channel is active, but it works against amplification. The momentum term $\kappa^2\eta q$ is small (about 0.008 at the medians), far below $(1-a)\kappa \approx 0.022$.

Table 7: Day-by-day T6 estimates, Binance BTCUSDT futures, training days 2023–2024

| Median | All days | Top-decile volatility days | Other days |
|---|---|---|---|
| $\hat{\kappa}$ (bp per \$1M) | 0.729 | 0.890 | 0.712 |
| $\hat{\varphi}$ | −0.051 | 2.586 | −0.138 |
| $\hat{a}$ | 0.970 | 0.980 | 0.969 |
| $\hat{r}$ | 0.059 | 0.122 | 0.056 |
| $\hat{\varepsilon}$ | −0.0018 | −0.0017 | −0.0018 |
| $\hat{\eta}$ | 0.878 | 0.863 | 0.880 |
| $\hat{q}$ | 0.018 | 0.012 | 0.019 |
| $\hat{C}_3$ | −0.0137 | −0.0111 | −0.0143 |
| Mean $\hat{C}_3$ | −0.0165 | −0.0167 | −0.0165 |
| 95% CI | [−0.0176, −0.0155] | [−0.0219, −0.0122] | [−0.0175, −0.0154] |
| Share of days $\hat{C}_3 > 0$ | 6.5% | 5.6% | 6.7% |
| Share of days $\hat{C}_2 > 0$ | 0.8% | 1.4% | 0.8% |
| Median peak ratio | 1.00 | 1.00 | 1.00 |
| Days | 718 | 72 | 646 |

One-minute bars. CIs from a day bootstrap.

Table 8: Local-projection coefficients (bp per \$1M) and overshoots

| Minutes | 0 | 1 | 2 | 3 | 5 | 10 | 15 | 30 | Overshoot |
|---|---|---|---|---|---|---|---|---|---|
| (A) total | 0.780 | 0.759 | 0.742 | 0.727 | 0.711 | 0.686 | 0.673 | 0.633 | −0.021 [−0.027, −0.015] |
| (B) flow fixed | 0.780 | 0.651 | 0.612 | 0.589 | 0.564 | 0.541 | 0.532 | 0.524 | −0.129 [−0.134, −0.124] |
| (C) flow, depth fixed | 0.780 | 0.622 | 0.534 | 0.490 | 0.450 | 0.421 | 0.414 | 0.417 | −0.158 [−0.164, −0.152] |

716 training days; day bootstrap.

## 9.3 Does depth carry an overshoot?

We estimate local projections (Jordà, 2005) of the cumulative price change on flow, $p_{t+k} - p_{t-1} = \beta_k u_t + \text{controls}$, with five lags of returns, flow and depth: (A) total; (B) adding cumulative future flow, which removes order-splitting persistence; and (C) adding cumulative future depth imbalance, which removes the depth channel. Theorem 4.2(i) predicts an overshoot ($\max_{k\geq 1} \beta_k - \beta_0 > 0$) in (B) that shrinks in (C).

There is no overshoot (Figure 4, Table 8). The overshoot statistic is negative in every version. Holding depth fixed makes the response decay faster, consistent with depth that partly sustains the price move but never pushes it past impact.

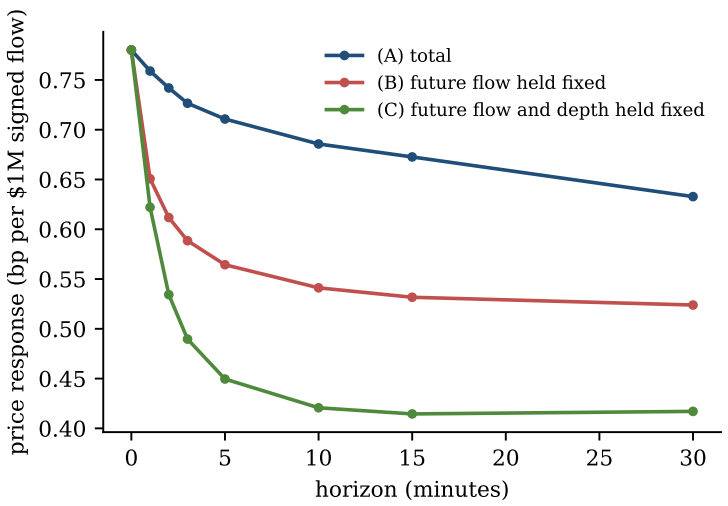



Figure 4: Price response to a $1M flow shock, local projections on 716 training days. (A) total; (B) future flow held fixed; (C) future flow and depth held fixed.

## 9.4 Pre-registered out-of-sample test

Before opening the test period we registered the specification (SHA-256 `d95212187ae4...`): hourly blocks (06:00–23:00 UTC); $\hat{C}_3$ estimated from the previous six hours and winsorized at training percentiles; outcome the next hour's maximum adverse excursion (MAE, bp); controls for realized volatility (1 and 6 hours), absolute return, flow imbalance, volume, depth, imbalance and open-interest change; OLS on 2023–2024 and evaluation on 2025–2026. Success required a one-sided Clark–West $p < 0.05$ *and* a day-block bootstrap 95% CI for $\Delta R^2$ excluding zero. Secondary candidates and outcomes are Holm-adjusted. The test set was opened once. An audit that scrambles all data from $t$ onward left every feature unchanged in 30 of 30 trials.

The primary test fails (Table 9): $\hat{C}_3$ adds 0.018 percentage points of out-of-sample $R^2$ with a confidence interval that includes zero. Some secondary effects are statistically significant after Holm correction, notably for depth collapse, but they are economically negligible: no candidate adds more than 0.2 points of $R^2$ or 0.01 of AUC.

Table 9: Out-of-sample test, 2025–2026 (train 12,896 hours, test 10,979 hours)

| Outcome | Candidate | $\Delta R^2$ (pts) [95% CI] | $\Delta$AUC [95% CI] | Holm $p$ |
|---|---|---|---|---|
| MAE (primary) | $\hat{C}_3$ | +0.018 [−0.100, +0.132] | +0.0001 [−0.0009, +0.0012] | — |
| MAE | peak ratio | +0.010 [+0.001, +0.019] | +0.0001 [−0.0000, +0.0002] | 0.032 |
| OI drop | $\hat{C}_3$ | −0.045 [−0.095, −0.003] | −0.0049 [−0.0083, −0.0016] | 0.787 |
| OI drop | peak ratio | +0.102 [+0.061, +0.231] | −0.0014 [−0.0067, +0.0037] | $< 0.001$ |
| Depth collapse | $\hat{C}_3$ | +0.181 [−0.156, +0.484] | +0.0071 [+0.0041, +0.0105] | $< 0.001$ |
| Depth collapse | peak ratio | +0.159 [+0.094, +0.234] | +0.0009 [+0.0004, +0.0014] | $< 0.001$ |

Primary: Clark–West one-sided $p = 0.023$, but the $\Delta R^2$ CI contains zero, so the pre-registered test fails. Baseline $R^2$ for MAE is 0.293; baseline AUC 0.812.

Table 10: Event days

| Event | Worst hour (UTC) | Worst MAE (bp) | $\hat{C}_3$ percentile, 3 hours before | OI change in worst hour |
|---|---|---|---|---|
| SVB, 2023-03-11 | 7 | 214.8 | 82 | +2.5% |
| Yen carry unwind, 2024-08-05 | 13 | 724.0 | 93, 84, 83 | −0.8% |
| Tariff shock, 2025-04-07 | 14 | 357.8 | 97, 98, 38 | +3.1% |
| 2025-10-10 | no valid depth data | | | |

SVB has one valid hour before its worst hour.

**A volatility flag does better.** We set two flags on training data, each to flag 10% of hours: high $\hat{C}_3$ and high realized volatility. On the 909 tail hours of the test period (MAE above the training 90th percentile), the $\hat{C}_3$ flag has precision 8.6% and recall 19.5%; the volatility flag has precision 38.1% and recall 37.1%; the union has precision 16.3% and recall 49.4%. The unconditional tail rate is about 10%, so the $\hat{C}_3$ flag is no better than chance.

## 9.5 Crash events

For each event day we compute $\hat{C}_3$ hour by hour and its percentile in the training distribution during the three hours before the worst hour (Figure 5, Table 10). $\hat{C}_3$ was elevated before these events but stayed negative throughout, and three events are not a test.

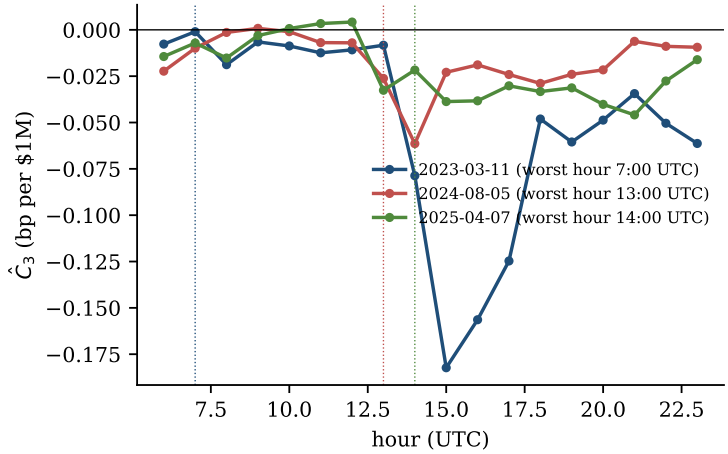



Figure 5: Hourly $\hat{C}_3$ on three event days (UTC). Values stay below zero, the amplification threshold.

# 10 Evidence from spot prices

## 10.1 A unit-free amplification statistic

The earlier version measured amplification by the norm of powers of a VAR(1) operator on (price deviation, flow), estimated over ten-minute windows of one-second Binance spot data. That norm depends on the units of the state: multiplying prices by 10 and dividing flow by 1,000 changed the raw norm from 8.73 to 86,731 on the same window. Proposition 2.2 explains why: state norms are not invariant to coordinates. We therefore standardize the state, $\tilde{J} = D^{-1}\hat{J}D$ with $D = \mathrm{diag}(\mathrm{sd}\, x, \mathrm{sd}\, f)$, and use $M_{\mathrm{std}} = \max_k \|e_x^\top \tilde{J}^k\|$, which is invariant to units (verified). We also report the price-to-price amplification $A_{xx} = \max_k |(\hat{J}^k)_{11}|$ and a delayed-peak statistic $\mathrm{hump} = \max_k |(\hat{J}^k)_{12}|/|\hat{J}_{12}|$.

## 10.2 Crash days and a no-feedback null

We study five crash days: May 19, 2021; LUNA, May 9, 2022; FTX, November 8, 2022; SVB, March 11, 2023; and August 5, 2024. Windows are selected *ex ante* (previous ten minutes in the top volatility decile), and for comparison by outcome (the ten largest absolute returns). A no-feedback null keeps each window's real flow, generates prices with no feedback,

Table 11: Unit-free amplification on crash days and the no-feedback null

| Event | Windows (ex ante) | Mean $M_{\text{std}}$ | Null 99th pct | $p$ (vs null) | Outcome-selected mean |
|---|---|---|---|---|---|
| May 2021 | 142 | 1.0000 | 1.00002 | 1.00 | 1.0000 |
| LUNA 2022 | 57 | 1.00008 | 1.00006 | 0.039 | 1.00045 |
| FTX 2022 | 49 | 1.0000 | 1.00029 | 1.00 | 1.0000 |
| SVB 2023 | 6 | 1.00006 | 1.00025 | 0.059 | 1.00032 |
| Aug 2024 | 108 | 1.0000 | 1.00007 | 1.00 | 1.0000 |

Ten-minute windows of one-second bars. The median hump statistic is 1.000 in every event and its null $p$-value is 1.00. In the ordinary 2021–2023 panel, 0.2% of windows have $A_{xx} > 1$ and the 95th percentile of $M_{\text{std}}$ is 1.0000; a handful of near-singular windows produce very large values, so ordinary-window means are not informative.

$\Delta p = \hat{\kappa} f + \hat{\sigma} e$, and pushes them through the identical pipeline.

Only LUNA exceeds the null, by less than 0.01% (Table 11). Outcome-selected windows give only marginally larger values ($\leq 1.0005$). Stress-window means exceed the ordinary 95th percentile in two events, by amounts of the same size. The pre-registered gate fails: unit-free transient amplification in spot data is indistinguishable from one and from the pipeline null. Varying the EMA span (60, 120, 300 seconds) and the bar length (1 or 5 seconds) does not change this; crash-day means range from 1.0003 to 1.18 across specifications and are never above the corresponding ordinary means.

## 10.3 Overshoot with flow held fixed

Local projections on one-second data give the price response to a $1M flow shock (Table 12). On ordinary days, with future flow held fixed, there is a small, short-lived overshoot of +0.248 [0.133, 0.376] bp per $1M, peaking at two seconds and decaying after. On crash days the flow-fixed overshoot is negative, −0.277 [−0.528, −0.042]. The large total overshoots (+0.91 ordinary, +2.40 crash) disappear when future flow is held fixed: they come from order splitting, not from the book.

## 10.4 Pre-registered predictive test

Before opening 2024, we registered (SHA-256 `b1fd7f8e...`) a test of whether pre-window amplification predicts the next ten minutes' MAE beyond volatility and flow controls, on

Table 12: Spot local projections (bp per $1M)

| Seconds | 0 | 1 | 2 | 5 | 10 | 20 | 30 | 60 | 120 | 300 |
|---|---|---|---|---|---|---|---|---|---|---|
| Ordinary, total | 5.86 | 6.28 | 6.53 | 6.60 | 6.69 | 6.77 | 6.67 | 6.49 | 6.39 | 5.92 |
| Ordinary, flow fixed | 5.86 | 6.02 | 6.11 | 5.90 | 5.68 | 5.26 | 4.86 | 4.16 | 3.37 | 1.99 |
| Crash, total | 6.69 | 6.85 | 6.92 | 7.13 | 7.75 | 8.20 | 8.46 | 8.20 | 9.09 | 8.96 |
| Crash, flow fixed | 6.69 | 6.41 | 6.28 | 5.99 | 5.95 | 5.46 | 5.02 | 3.88 | 3.10 | −0.08 |

non-overlapping 30-minute blocks (train 2021–2023, 3,307 blocks; test 2024, 1,104 blocks). It does not: $\Delta R^2 = -0.023$ points $[-0.056, -0.002]$, Clark–West $p = 0.966$, AUC 0.822 in both models. A random feature with the same autocorrelation gives $\Delta R^2 = -0.020$ points, the same as the candidate. Leave-one-year-out fits within the training period are unstable (the 2023 fold gives a very large negative $\Delta R^2$ because of outlying candidate values), so the null result does not depend on one year being unusual.

The test set was opened three times. The first evaluations stopped on a numerical error from degenerate windows; the fix drops blocks with non-finite features (five blocks) and is the only change, and the registered specification hash is unchanged. A volatility flag again dominates: precision 43% and recall 30% against 3% and 10% for the amplification flag; the difference in recall has a CI of $[-0.37, 0.13]$.

# 11 Evidence from thinner books

The deepest book in crypto is the least likely place to find amplification. This section moves to thinner books. It reports the pre-registered out-of-sample tests in thin Binance books, on Bybit and in thin US stocks, failures included, and labels every check decided after a test set was opened as post hoc. Figure 7 collects all out-of-sample evaluations of this section.

## 11.1 Design

We fixed 30 Binance USD-M perpetuals from the quote-volume ranking of one training day (June 10, 2024) before computing any T6 statistic, spread from BTCUSDT to symbols with

Table 13: T6 estimates by liquidity tercile, 30 USD-M perpetuals, training days 2023–2024

| | Thick | Mid | Thin |
|---|---|---|---|
| Mean $\hat{C}_3$ | −0.0297 | −0.0216 | −0.0324 |
| 95% CI | [−0.0341, −0.0257] | [−0.0250, −0.0185] | [−0.0386, −0.0268] |
| Share of symbol-days with $\hat{C}_3 > 0$ | 9.4% | 15.2% | 16.1% |
| Median $\hat{\varphi}$ | 2.33 | 2.38 | 3.11 |
| Median $\hat{\varepsilon}$ | −0.0014 | −0.0006 | −0.0005 |
| Share with $\hat{\varepsilon} > 0$ | 11.1% | 24.4% | 30.1% |
| Mean feedback loop gain $\hat{Q}$ | 0.0091 | 0.0033 | 0.0016 |
| Spearman correlation with log depth across the 30 symbols [95% CI] | | | |
| mean $\hat{C}_3$ | | −0.001 [−0.37, 0.38] | |
| share $\hat{C}_3 > 0$ | | −0.59 [−0.81, −0.27] | |
| $\hat{Q}$ | | +0.70 [0.41, 0.87] | |

1,424 training symbol-days, ten symbols per tercile. CIs from a symbol-day bootstrap (tercile rows) and a symbol bootstrap (correlations). $\hat{Q}$ is the loop gain of the companion paper estimated on one-minute bars; a placebo random walk with each day's volatility gives $\hat{Q} \approx 0$ for every symbol.

under $5M daily volume. Data are sampled on the 10th and 24th of each month from January 2023 to September 2026 and pass the validation rules V1–V5 of Section 9: 2,565 of 2,700 symbol-days are valid; of 7,486,444 snapshots, V3 drops 212,745 and V4 drops 161,280, and V1 and V2 drop none. Liquidity terciles are fixed on median training-period depth within 1% of the mid. The thin tercile has $0.22M–$0.38M of depth within 1%, the thick tercile $0.97M–$220M. Flow is divided by each symbol's median absolute one-minute training flow, so that $\hat{\kappa}$ is in basis points per typical minute of flow. All other definitions follow Section 9. An audit that scrambles all data from $t$ onward left every hourly feature unchanged in 30 of 30 trials.

## 11.2 The cross-section of the amplification condition

Table 13 confirms the BTCUSDT result across liquidity: mean $\hat{C}_3$ is negative in every tercile, and taker flow on average does not deplete the side it hits ($\hat{\varepsilon} < 0$ at the median everywhere). What changes with depth is the frequency of the amplifying regime, not its average. The share of symbol-days with $\hat{C}_3 > 0$ rises from 9.4% in the thick tercile to 16.1% in the thin tercile, with a Spearman correlation of −0.59 against log depth. Depth sensitivity $\hat{\varphi}$ is larger,

Table 14: Local-projection overshoot by tercile, $\max_{k\geq 1} \beta_k - \beta_0$ [95% CI]

| | Thick | Mid | Thin |
|---|---|---|---|
| (A) total | −0.045 [−0.079, 0.047] | −0.034 [−0.054, 0.024] | +0.007 [−0.050, 0.083] |
| (B) future flow fixed | −0.181 [−0.211, −0.152] | −0.075 [−0.091, −0.058] | −0.073 [−0.094, −0.051] |
| (C) flow and depth fixed | −0.243 [−0.276, −0.212] | −0.121 [−0.140, −0.102] | −0.113 [−0.135, −0.092] |
| Symbol-days | 459 | 460 | 445 |

Basis points per typical minute of flow, horizons 0–30 minutes; local projections are estimated per symbol-day and averaged, with a symbol-day bootstrap.

and depletion is less negative and more often positive, in thinner books. We had predicted a negative correlation between log depth and mean $\hat{C}_3$; that prediction fails ($\rho = -0.001$).

The last row is an unexpected finding for the companion paper. Measured feedback $\hat{Q}$ is larger in *deeper* books ($\rho = +0.70$): flow responds to price deviations most where liquidity, and plausibly algorithmic participation, is greatest. Feedback and amplification are therefore different objects. Deep books have more feedback and refill fast enough to absorb it; thin books have less feedback and, more often, too little reversion.

## 11.3 Overshoot and depletion

With future flow held fixed there is no overshoot in any tercile (Table 14); the registered prediction of a positive (B) overshoot in thin books fails. The response decays less in thin than in thick books, and holding depth fixed again makes it decay faster, as in Table 8.

To check that replenishment is not an artefact of one-minute aggregation, we sum signed taker flow exactly between consecutive depth snapshots from trade-level data and estimate depletion $\varepsilon_{30}$ at about 30 seconds, with an additional coefficient on sweeps (intervals in the top decile of absolute flow). Table 15 reports five symbols on six training days each.

In these re-centred bands, replenishment is stronger, not weaker, at 30 seconds: $\hat{\varepsilon}_{30}$ is negative with a CI below zero in three of five symbols and is never significantly positive. Sweeps offset most of it, so a sweep leaves the hit side about as deep as before ($\hat{\varepsilon}_{30}$ plus the sweep coefficient lies between −0.0012 and +0.0007). On this measure, the depletion channel that drives Theorem 4.2(i) would be absent even in thin books; the next subsection

Table 15: Depletion at the snapshot scale (about 30 seconds)

| Symbol | Tercile | $\hat{\varepsilon}_{30}$ [95% CI] | Sweep extra [95% CI] | $\hat{\varepsilon}$, 1 minute | Days $\hat{\varepsilon}_{30} > 0$ |
|---|---|---|---|---|---|
| BTCUSDT | thick | −0.0045 [−0.0058, −0.0033] | +0.0034 [0.0023, 0.0046] | −0.0025 | 0 of 6 |
| XMRUSDT | mid | −0.0042 [−0.0058, −0.0029] | +0.0037 [0.0025, 0.0051] | −0.0011 | 0 of 6 |
| RLCUSDT | thin | −0.0034 [−0.0065, −0.0012] | +0.0029 [0.0011, 0.0058] | −0.0003 | 1 of 6 |
| CELRUSDT | thin | −0.0015 [−0.0032, 0.0001] | +0.0017 [0.0004, 0.0031] | −0.0004 | 2 of 6 |
| CVXUSDT | thin | +0.0010 [−0.0033, 0.0060] | −0.0003 [−0.0040, 0.0027] | +0.0004 | 2 of 6 |

Day bootstrap over six training days per symbol. Depth is measured in bands of ±1% around the current mid, so a price move also recenters the band; this biases $\hat{\varepsilon}_{30}$ in an unknown direction.

Table 16: Depletion at 30 seconds with a fixed and a re-centred band (Bybit order books, post hoc)

| Band | $\hat{\varepsilon}_{30}$ [95% CI] | Share > 0 | Coin-days |
|---|---|---|---|
| Fixed at previous mid | +0.0021 [+0.0013, +0.0032] | 95% | 20 |
| Re-centred (Binance) | −0.0004 [−0.0007, −0.0001] | 30% | 20 |

ACH, ALICE, API3, LIT, WOO and ZEN, May 11–12 and September 11–12, 2025; flow normalized by each coin-day's median absolute 30-second flow; mean over coin-days with a bootstrap interval. Post hoc. Kind: real data (Part 13, `R5`).

shows that the measure itself is biased toward replenishment.

## 11.4 Depletion on a fixed price grid

Binance's depth archive reports depth within bands around the *current* mid. After a buy moves the mid up, the ask band shifts into deeper resting orders and the bid band away from resting bids, which mechanically makes the book look ask-heavy after a buy, the sign we estimate. Bybit's order-book files contain every level, so the band can be held fixed at the previous mid. After seeing Table 15 we computed, for the six coins of Table 23 on four days each, the change in depth imbalance over 30-second intervals regressed on signed taker flow, once with the band fixed at the start-of-interval mid and once re-centred at the end-of-interval mid, Binance's construction.

The sign reverses (Table 16). With the band fixed, buying depletes the ask side in 19 of 20 coin-days; with the band re-centred, the same data reproduce the replenishment of Tables 7 and 15. The replenishment finding is therefore an artefact of band recentring, and depletion is present. Two conclusions survive. First, local projections show no peak overshoot once

Table 17: Pre-registered test, 30 symbols, 2025–2026

| Sample | Outcome \| candidate | $\Delta R^2$ (pts) [95% CI] | $\Delta$AUC [95% CI] | Holm $p$ |
|---|---|---|---|---|
| Thin (primary) | MAE \| $\hat{C}_3$ | +1.216 [+0.273, +7.987] | +0.012 [+0.003, +0.019] | — |
| Thin | MAE \| peak ratio | +0.065 [−0.072, +0.108] | +0.000 [−0.000, +0.001] | 0.207 |
| Thin | depth collapse \| $\hat{C}_3$ | −2.111 [−3.127, −1.173] | −0.012 [−0.023, −0.003] | 1.000 |
| Thin | OI drop \| $\hat{C}_3$ | +0.184 [−0.242, +1.128] | +0.040 [+0.017, +0.061] | $< 0.001$ |
| Mid | MAE \| $\hat{C}_3$ | +0.003 [−0.056, +0.875] | +0.002 [−0.002, +0.005] | 0.551 |
| Thick | MAE \| $\hat{C}_3$ | +0.039 [−0.244, +0.057] | −0.001 [−0.003, +0.000] | 0.361 |
| All 30 | MAE \| $\hat{C}_3$ | +0.117 [−0.015, +1.736] | +0.003 [−0.000, +0.006] | $< 0.001$ |

Primary: train 8,340 and test 6,521 symbol-hours on ten symbols; Clark–West $t = 8.53$, one-sided $p < 0.001$; baseline out-of-sample $R^2 = 0.025$; AUC 0.768 → 0.780. The pre-registered test passes. Holm $p$ is the Clark–West $p$-value adjusted across the six secondary tests. Date-block bootstrap with 2,000 draws; bootstrap CIs are right-skewed because a few volatile dates carry much of the variation.

future flow is held fixed (Table 14), so depletion is not large enough to satisfy $\varphi\varepsilon > (1-a)\kappa$ in the data we observe; second, the depth term carries no out-of-sample forecasting content (Tables 19 and 21). Both statements rest on Binance's re-centred depth measure, and a fixed-grid measure of $\varphi\varepsilon$ in the same books would require order-level Binance data that are not public.

## 11.5 Pre-registered test in thin books

Before opening 2025–2026 for these symbols we registered the specification (SHA-256 `5910b6b4d90a...`). It is identical to Section 9 except for three changes, all fixed in advance: the primary sample is the thin tercile; the regressions include symbol fixed effects; and the bootstrap resamples dates, with all symbols on a date kept together. The test cell was executed twice in the same session. The specification hash, the code and the data were unchanged between the two runs, and the evaluation is deterministic, so both runs give the numbers below; we report the count because the protocol requires it.

The primary test passes (Table 17). In thin books, $\hat{C}_3$ estimated from the previous six hours adds 1.2 points of out-of-sample $R^2$ for the next hour's maximum adverse excursion, beyond realized volatility, flow, volume, depth, imbalance and open interest, and raises the AUC for tail hours by 0.012. The effect is confined to thin books: in the mid and thick

terciles it is zero, and in the pooled sample the Clark–West test rejects but the $\Delta R^2$ interval contains zero. $\hat{C}_3$ also helps classify hours with a large open-interest drop, but it predicts depth collapse *worse* than the baseline, again pointing away from the depth channel.

**Flags.** On training data we set a $\hat{C}_3$ flag and a volatility flag; 575 of 6,521 test hours (8.8%) are tail hours. The $\hat{C}_3$ flag fires in 8.9% of hours with precision 16.5% and recall 16.7%, about twice the base rate. The volatility flag, which fires more often (16.0%), does better (precision 23.4%, recall 42.4%), and the union reaches recall 51.1% at precision 19.5%. $\hat{C}_3$ is a useful addition to volatility in thin books, not a replacement for it.

## 11.6 Tick size: a caution and a robustness check

**Tick changes.** We located tick changes by inferring each day's price grid and dating changes by binary search over daily files. We found 12 tick reductions, all by a factor of ten, on 11 symbols (GMTUSDT twice) between August 2023 and August 2026; nine fall in the test period. A difference-in-differences design compares 10 days before and after each event with four control symbols of similar liquidity. After a tick cut, $\hat{C}_3$ rises with a CI above zero in 10 of 12 events, but realized volatility in basis points falls sharply at the same time (by up to 32 bp on ALICEUSDT), and the implied peak ratio does not change in any event (every CI includes zero). The Spearman correlation between the change in refill $\hat{r}$ and the change in the peak ratio is $-0.04$. We read this as a measurement result, not a test of the theory: at a coarse tick, prices move in discrete steps and the basis-point scale of $\hat{C}_3$ changes mechanically when the grid changes. The natural experiment cannot test the prediction that faster refill lowers the overshoot.

**Does tick size drive Table 17?** Eleven of the 30 symbols, six of them thin, changed tick, and five of those six did so inside the test period. After seeing Table 17 we therefore ran the post-hoc checks of Table 18, counted separately (one evaluation).

Table 18: Post-hoc tick-size robustness of the thin-book result

| Check | Symbols | Test hours | $\Delta R^2$ (pts) [95% CI] | Clark–West $p$ |
|---|---|---|---|---|
| R0 baseline (Table 17) | 10 | 6,521 | +1.216 [+0.295, +8.017] | $< 0.001$ |
| R1 + relative tick size and its log | 10 | 6,485 | +1.243 [+0.373, +7.627] | $< 0.001$ |
| R2 drop symbols with any tick change | 4 | 2,639 | +0.511 [−0.069, +2.061] | $< 0.001$ |
| R3 only days with the training tick | 10 | 5,642 | +1.131 [+0.256, +9.305] | $< 0.001$ |
| R1 and R3 together | 10 | 5,642 | +1.222 [+0.357, +9.410] | $< 0.001$ |
| R4 outcome in ticks | 10 | 6,485 | −0.127 [−0.319, −0.018] | 0.991 |
| R5 $\hat{C}_3$ percentile within symbol | 10 | 6,521 | +0.158 [−0.013, +1.322] | 0.026 |
| R6 leave one symbol out (10 fits) | 9 | | +0.698 to +1.760, all CIs $> 0$ | all $< 0.001$ |

Post hoc: decided after Table 17. 500 date-block bootstrap draws (200 in R6).

The result survives controls for tick size, the removal of every day traded at a tick different from training, and the removal of any single symbol (Table 18). It weakens when the six thin symbols that ever changed tick are dropped: four remain, and the point estimate halves with an interval that just includes zero. It disappears when the outcome is measured in ticks; at each tick cut this outcome jumps tenfold, a break the training fit cannot anticipate, so we regard R4 as a weak test, but we report it. A scale-free version of the candidate (its percentile within each symbol's training distribution) is weak. Our reading is that $\hat{C}_3$'s forecasting content is tied to its *level*, which mixes the amplification balance with the basis-point scale of each book. Sections 11.7 and 11.8 test whether that level is more than a measure of scale.

## 11.7 Out-of-sample replication on new symbols

A result found in ten symbols could be specific to them. We therefore drew 24 new symbols, seeded and before any analysis, from the 72 USD-M perpetuals that were not in the original 30 and whose training-day volume was at most 1.5 times that of the most liquid thin symbol. We applied the same validation (2,090 of 2,160 symbol-days valid) and classified symbols as thin with a cut fixed in advance at the boundary between the original thin and mid terciles ($0.39M of depth within 1%). Ten new symbols are thin (ACH, ARPA, CHR, GTC, HOT, IOTX, OGN, SPELL, T and ZEN, all USDT-margined) and 14 are not. A new specification

Table 19: Pre-registered replication on ten new thin symbols, 2025–2026

| Sample | Candidate | $\Delta R^2$ (pts) [95% CI] | $\Delta$AUC [95% CI] | Holm $p$ |
|---|---|---|---|---|
| Thin (primary) | $\hat{C}_3$ | +0.845 [+0.303, +6.371] | +0.008 [+0.002, +0.013] | — |
| Thin | momentum term $\kappa^2\eta q$ | +0.641 [+0.395, +3.242] | +0.003 [−0.001, +0.008] | $< 0.001$ |
| Thin | reversion term $(1-a)\kappa$ | +0.688 [+0.204, +5.606] | +0.008 [+0.003, +0.012] | $< 0.001$ |
| Thin | depth term $\varphi\varepsilon$ | +0.013 [−0.213, +1.155] | −0.001 [−0.005, +0.003] | 0.308 |
| Thin | unit-free ratio $A$ | −0.045 [−0.096, −0.031] | −0.000 [−0.001, +0.000] | 0.974 |
| Not thin (14) | $\hat{C}_3$ | −0.042 [−0.131, +0.780] | +0.002 [−0.003, +0.007] | 0.308 |

Primary: train 8,520 and test 7,092 symbol-hours; Clark–West $t = 11.66$, one-sided $p < 0.001$; AUC 0.768 → 0.776; training coefficient +54.3 (Table 17: +88.3). Training coefficients: momentum +104.3, reversion −53.0. The pre-registered replication passes.

(SHA-256 `6aa8e2c03d79...`) fixed the primary test identical to Table 17 and, as secondary tests, the three terms of $C_3$ separately, a unit-free ratio $A = (\varphi\varepsilon + \kappa^2\eta q)/((1-a)\kappa) - 1$ that is positive exactly when $C_3 > 0$, and the not-thin group. The test set was opened once.

The result replicates (Table 19). On symbols never used before, $\hat{C}_3$ adds 0.85 points of out-of-sample $R^2$ with an interval excluding zero, and improves tail classification. It again has no value outside thin books. The decomposition shows where the forecasting content lies, and every sign matches Theorem 4.2(i) and Theorem 4.2(iii). A larger momentum term predicts larger adverse excursions; a larger reversion term, which pushes $C_3$ down, predicts smaller ones; and the depth term, whose depletion factor is close to zero (Table 15), predicts nothing. In training data the reversion term is by far the largest component (median 0.033, against −0.0009 for momentum and −0.0003 for depth), so most of the variation in $\hat{C}_3$ is variation in impact-weighted mean reversion.

The unit-free ratio fails. Because the amplifying terms are small, its median is −0.996 and its variation is mostly the noise of a ratio with an estimated denominator. Together with R5 in Table 18, this means that on these samples the forecasting content was tied to the level of $\hat{C}_3$. Section 11.9 tests two better-behaved unit-free statistics on fresh data.

## 11.8 Is $\hat{C}_3$ just price impact?

Both working terms contain the impact coefficient $\kappa$, so $\hat{C}_3$ might forecast excursions only because it measures illiquidity. After seeing Table 19 we added four impact controls, all from

Table 20: Post-hoc price-impact controls, ten new thin symbols, 2025–2026

| Candidate \| added controls | $\Delta R^2$ (pts) [95% CI] | $\Delta$AUC [95% CI] | Clark–West $t$ |
|---|---|---|---|
| $\hat{C}_3$ \| none (Table 19) | +0.845 [+0.303, +6.371] | +0.008 [+0.002, +0.013] | 11.66 |
| $\hat{C}_3$ \| $\hat{\kappa}$, $\hat{\kappa}^2$ | +0.755 [+0.371, +4.718] | +0.006 [−0.000, +0.010] | 6.63 |
| $\hat{C}_3$ \| Kyle's $\lambda$, Amihud | +1.089 [+0.498, +7.149] | +0.007 [+0.001, +0.013] | 8.02 |
| $\hat{C}_3$ \| all four | +0.682 [+0.334, +4.525] | +0.004 [−0.001, +0.009] | 5.69 |
| Momentum term \| all four | +0.487 [+0.311, +2.384] | +0.002 [−0.002, +0.006] | 3.42 |
| Reversion term \| all four | +0.529 [+0.222, +3.762] | +0.005 [−0.000, +0.009] | 8.45 |
| $\hat{\kappa}$ alone \| none | −0.026 [−0.084, +0.030] | +0.000 [−0.000, +0.000] | −1.77 |

Post hoc: decided after Table 19. Same evaluation code and bootstrap as Table 19; Holm-adjusted $p < 0.001$ for every row except $\hat{\kappa}$ alone ($p = 0.96$). Training correlations of $\hat{C}_3$ with the controls: $\hat{\kappa}$ −0.43, Kyle's $\lambda$ −0.44, Amihud +0.10.

the same past six hours or hour and winsorized at training percentiles: $\hat{\kappa}$ from the same fit, $\hat{\kappa}^2$, a univariate Kyle's $\lambda$ (Kyle, 1985) (slope of returns on signed flow) and a log Amihud ratio (Amihud, 2002) (absolute return over volume). This is a post-hoc check, evaluated once and counted separately.

$\hat{C}_3$ is not a proxy for impact (Table 20). With all four impact controls it keeps about 80% of its gain in $R^2$ (0.68 of 0.85 points), with an interval above zero, and both the momentum and the reversion terms survive separately. Impact on its own forecasts nothing. Controlling for Kyle's $\lambda$ and Amihud alone *raises* the gain to 1.09 points: once plain illiquidity is held fixed, the dynamic balance that $\hat{C}_3$ measures stands out more clearly. One qualification: with $\hat{\kappa}$ controlled, the gain in tail *classification* is no longer significant. The robust claim is about the size of the next hour's adverse excursion, not about flagging tail hours beyond what impact already flags.

## 11.9 A third test on fresh days

Parts 4 and 5 of the replication package use the 10th and 24th of each month. For a third test we registered a new specification (SHA-256 `65acda361861...`) before downloading the 3rd and 17th of each month of 2025–2026, days never used in any analysis. Training reuses the 2023–2024 days of the earlier tests. The sample is all 20 thin symbols of Sections 11.5 and 11.7, with the ten mid-tercile symbols as a negative control. Two changes make the test

Table 21: Pre-registered test on fresh days, 2025–2026 (impact controls in the baseline)

| Sample | Candidate | $\Delta R^2$ (pts) [CI] | $\Delta$AUC [95% CI] | Holm $p$ |
|---|---|---|---|---|
| Thin (primary) | $\hat{C}_3$ | +1.583 [+0.588, +3.237] | +0.002 [−0.003, +0.006] | — |
| Thin | reversion term | +1.442 [+0.679, +2.621] | +0.003 [−0.001, +0.006] | $< 0.001$ |
| Thin | momentum term | +0.422 [+0.000, +1.063] | −0.002 [−0.005, +0.001] | $< 0.001$ |
| Thin | depth term | +0.323 [+0.092, +0.639] | +0.001 [−0.001, +0.003] | $< 0.001$ |
| Thin | gain multiple $S_{60}/\lvert\hat{h}_0\rvert$ | +0.488 [+0.252, +0.851] | +0.000 [−0.001, +0.001] | $< 0.001$ |
| Thin | log reversion half-life | +0.619 [+0.351, +1.031] | +0.001 [+0.000, +0.003] | $< 0.001$ |
| Thin | $\hat{C}_3$ without depth, $\hat{C}_3^{\text{flow}}$ | +1.747 [+0.725, +3.393] | +0.001 [−0.004, +0.006] | $< 0.001$ |
| Mid (control) | $\hat{C}_3$ | +0.055 [−0.047, +0.239] | +0.000 [−0.001, +0.001] | 0.038 |

Primary: train 16,860 and test 13,428 symbol-hours on 39 test dates; 97.5% date-block bootstrap interval; Clark–West $t = 9.46$, one-sided $p < 0.001$; baseline out-of-sample $R^2 = 0.185$; training coefficient +68.0. The pre-registered test passes. Secondary rows: 95% intervals, Holm-adjusted Clark–West $p$ across the eleven secondary tests of the specification. Thin: 20 symbols; mid: 10. The gain multiple and the half-life are unit-free. $S_{60}$ is the summed absolute impulse response over 60 minutes; $\hat{C}_3^{\text{flow}} = \hat{\kappa}^2\hat{\eta}\hat{q} - (1-\hat{a})\hat{\kappa}$ from the model without depth.

harder: the four price-impact controls of Table 20 are now part of the baseline, and because the specification has two primary hypotheses (this one and the backtest of Section 11.13) each is tested at $\alpha = 0.025$ with 97.5% intervals. The test set was opened once; 1,137 fresh symbol-days passed validation.

The result holds a third time, and more strongly (Table 21). On fresh days, with impact already in the baseline, $\hat{C}_3$ adds 1.6 points of $R^2$ for the next hour's adverse excursion in thin books. Three findings sharpen the earlier picture. First, two unit-free statistics now work: the gain multiple, the summed response divided by impact, and the log half-life of reversion both add about half a point of $R^2$ with intervals above zero. The scale concern of Section 11.6 is therefore answered: the content is the dynamic balance, not the basis-point scale of the book, in the sense of the invariance hypotheses of Kyle and Obizhaeva (2016). Second, the reversion term carries most of the signal, as Theorem 4.4 suggests, since $S$ depends on reversion through $1/(m - q\tilde{\kappa})$. Third, the depth-free statistic forecasts as well as the full one, which matters for the next subsection. In mid-depth books the Clark–West test rejects at the Holm-adjusted 5% level, but the $R^2$ gain is 0.06 points with an interval that includes zero. As with the impact controls, the gain in tail *classification* is not significant: the robust claim is about the size of excursions.

Table 22: Pre-registered test beyond a volatility-forecasting baseline, fresh days 2025–2026

| Sample | Candidate | $\Delta R^2$ (pts) [95% CI] | $\Delta$AUC [95% CI] | Holm $p$ |
|---|---|---|---|---|
| Thin (primary) | $\hat{C}_3$ | +2.787 [+1.425, +4.944] | +0.005 [+0.002, +0.008] | — |
| Thin | summed response $S_{60}$ | +2.098 [+1.165, +3.597] | +0.004 [+0.001, +0.006] | $< 0.001$ |
| Thin | reversion term | +2.451 [+1.257, +4.379] | +0.004 [+0.001, +0.007] | $< 0.001$ |
| Thin | momentum term | +0.731 [+0.238, +1.429] | +0.001 [−0.001, +0.002] | $< 0.001$ |
| Thin | gain multiple $S_{60}/\lvert\hat{h}_0\rvert$ | +0.563 [+0.259, +1.003] | +0.001 [−0.001, +0.002] | $< 0.001$ |
| Thin | log reversion half-life | +0.806 [+0.446, +1.351] | +0.001 [−0.000, +0.002] | $< 0.001$ |
| Thin | $\hat{C}_3^{\text{flow}}$ (no depth) | +2.989 [+1.453, +5.424] | +0.005 [+0.002, +0.009] | $< 0.001$ |
| Mid (control) | $\hat{C}_3$ | +0.316 [+0.108, +0.635] | +0.002 [+0.001, +0.004] | $< 0.001$ |

Thin: 20 symbols, train 16,860 and test 13,722 symbol-hours on 40 test dates; mid: 10 symbols. Primary: Clark–West $t = 12.59$, one-sided $p < 0.001$; baseline out-of-sample $R^2 = 0.186$, full 0.214; AUC 0.826 → 0.831. The pre-registered test passes. Baseline: the controls of Table 21, the four impact controls, realized volatility over 15 minutes and since midnight, an EWMA volatility forecast ($\lambda = 0.94$), the previous hour's adverse excursion, hour-of-day fixed effects and symbol fixed effects. The gain multiple and the half-life are unit-free. Kind: real data.

## 11.10 Beyond volatility forecasting

The adverse excursion of the next hour is close to a volatility outcome, so a natural objection is that $\hat{C}_3$ only proxies for future volatility in a way the simple volatility controls miss. We registered a fourth test (SHA-256 `71983f1a9d2c...`) on the 6th and 20th of each month of 2025–2026, days not used in any other test, whose baseline adds the standard tools of volatility forecasting to every control used so far: realized volatility over 15 minutes, one hour, six hours and since midnight in the spirit of HAR models (Corsi, 2009), an exponentially weighted (RiskMetrics) volatility forecast (J.P. Morgan/Reuters, 1996), the previous hour's adverse excursion, and hour-of-day fixed effects, together with the four price-impact controls. The test set was opened once; 1,161 fresh symbol-days passed validation.

The result does not weaken against a volatility-forecasting baseline; it strengthens (Table 22). $\hat{C}_3$ adds 2.8 points of out-of-sample $R^2$ on top of a baseline that already explains 18.6%, and for the first time it also improves the classification of tail hours with an interval excluding zero. The summed response $S_{60}$, the statistic that the guard bounds and that Theorem 4.4 identifies as cumulative transient risk, adds 2.1 points on its own. The volatility benchmarks, by contrast, add nothing out of sample beyond the controls of Table 21 ($-0.76$ points, interval $[-3.38, +2.10]$), so the forecasting content of the dynamic balance is not a

volatility effect that richer volatility models would have captured. In mid-depth books the gain is significant in this test but small, about a ninth of the thin-book gain; across the four tests with a deeper-book control it was significant once.

**Against VPIN.** The best-known early-warning measure for flow-driven crashes is VPIN (Easley et al., 2012). After the fact, on the same test hours (Part 13, `R8`), we computed VPIN from the previous six hours, the window of $\hat{C}_3$, as the mean absolute buy–sell imbalance over 50 equal-volume buckets; Binance reports taker-buy volume, so the imbalance is measured rather than classified. VPIN adds 1.2 points of $R^2$ to the baseline (95% interval $[0.4, 2.3]$). $\hat{C}_3$ added to the baseline *and* VPIN still adds 2.0 points ($[1.0, 3.4]$, Clark–West $t = 12.1$) and improves tail classification, keeping about 73% of its 2.8-point gain. The two are negatively related (Spearman $-0.35$), and VPIN's training coefficient is negative, so high imbalance precedes smaller, not larger, excursions in these books. This comparison is post hoc and on a test set already opened; it shows that $\hat{C}_3$ is not a repackaging of order-flow toxicity.

## 11.11 A second venue: Bybit

To ask whether the result is specific to Binance we registered a test on Bybit USDT perpetuals of the same 20 coins (SHA-256 recorded in the package), using Bybit's public trade archive, which has no depth history. Fourteen of the coins have Bybit data across 2023–2026. Minute bars are built from trades (last price, signed taker notional), training uses the 10th and 24th of each month of 2023–2024, and testing uses the 3rd, 10th, 17th and 24th of each month of 2025–2026 (10,764 test hours). The statistic is $\hat{C}_3^{\text{flow}}$, which Table 21 shows to work on Binance.

The test fails without ambiguity. $\hat{C}_3^{\text{flow}}$ adds $-0.0000$ points of $R^2$ (95% CI $[-0.001, 0.001]$, Clark–West $p = 0.50$), and neither the momentum nor the reversion term helps (Holm $p = 1.00$). In training data the momentum coefficient even has the opposite sign ($-130$, against $+110$ on Binance). Because the depth-free statistic works on Binance on the same

coins, the failure concerns the venue rather than the statistic. We considered two candidate reasons and checked the first after the fact: bid–ask bounce in Bybit's last-trade prices, and different participants. On the same 14 coins and training days, Bybit's one-minute returns are *less* negatively autocorrelated than Binance's (median $-0.016$ against $-0.031$), so bounce is not the difference; trading is: 11% of Bybit minutes have no trade, against 0.1% on Binance, and 29% of Bybit minutes have a zero return, against 14% (Part 13, `R3`). Sparse trading leaves the flow and price series that the statistic is estimated from much noisier on Bybit.

**Bybit with order-book depth.** Bybit also distributes daily order-book files for its perpetuals (every update to the top 200 or 500 price levels). We registered a second Bybit test (SHA-256 `ec2145fac5f5...`) before downloading any test day, with the full Part 9 baseline, depth within 1% of the mid rebuilt from the order book at the end of each minute, and only the best 200 levels used so that the 2024 (500-level) and 2025–2026 (200-level) files are measured identically. Days were the 11th to 16th of a month, never used in any earlier test: two training months in 2024 and six test months from January 2025 to September 2026. A day is valid if at least 80% of its minutes have trades and a valid book; sparse trading in thin coins on Bybit leaves 581 of 882 coin-days valid, and the inclusion rule (at least 8 valid training days and 24 valid test days) keeps six coins (ACH, ALICE, API3, LIT, WOO, ZEN; 2,988 test hours on 36 dates).

The pre-registered criterion is met, but the effect is negligible (Table 23). $\hat{C}_3$ adds 0.033 points of $R^2$ with an interval above zero and a Clark–West $t$ of 5.7: statistically clear, economically about one eightieth of the Binance gain, with no improvement in tail classification and a training coefficient one sixteenth as large. Of the components, only the momentum term helps; the reversion term, which carries the Binance result, does not. Two features of the sample may explain part of the gap, and we test neither: the six included Bybit books carry \$0.30M–\$0.43M within 1%, at or above the boundary between Binance's

Table 23: Pre-registered test on Bybit with order-book depth, 2025–2026

| Candidate | $\Delta R^2$ (pts) [95% CI] | Clark–West $t$ | Holm $p$ |
|---|---|---|---|
| $\hat{C}_3$ (primary) | +0.033 [+0.019, +0.053] | 5.73 | — |
| Momentum term | +0.083 [+0.017, +0.168] | 2.94 | 0.010 |
| $\hat{C}_3^{\text{flow}}$ (no depth) | +0.064 [−0.009, +0.152] | 2.61 | 0.023 |
| Summed response $S_{60}$ | +0.021 [−0.025, +0.071] | 1.31 | 0.383 |
| Reversion term | −0.039 [−0.139, +0.058] | −0.61 | 1.000 |
| Gain multiple | −0.043 [−0.137, +0.044] | −0.74 | 1.000 |
| Log reversion half-life | −0.099 [−0.249, +0.041] | −1.47 | 1.000 |

Six coins, train 1,224 and test 2,988 symbol-hours; baseline out-of-sample $R^2 = 0.251$; AUC unchanged (0.808 → 0.808); training coefficient on $\hat{C}_3$ +4.4 (Binance, Table 22: +70.8). Median depth within 1% on training days \$0.30M–\$0.43M. The pre-registered criterion is met. Specification SHA-256 `ec2145fac5f5...`; test opened once. Kind: real data (Part 10).

thin and mid terciles, where the Binance effect was also small; and the inclusion rule removed the sparsest books. We read the two Bybit tests together: with trades alone the statistic has no content on Bybit, and with depth its content is detectable but too small to matter. Section 11.12 asks the same question in a regulated market.

## 11.12 A regulated market: thin US stocks

The Bybit tests leave open whether the result belongs to thin markets or to one crypto venue. We therefore registered a test in US equities (SHA-256 `f5800a69c219...`) before downloading any test day. Data are consolidated (SIP) trades from the Alpaca market-data API, aggregated into minute bars of the regular session: last trade price, dollar volume and dollar flow signed by the tick rule. The data contain no depth, so the candidate is the depth-free statistic $\hat{C}_3^{\text{flow}}$, the version that worked on Binance (Table 21). The universe was drawn by a seeded rule from June 2024 daily bars, before any test data: 40 thin names (price \$5–\$100, median daily dollar volume \$2M–\$10M) and 10 mid-size controls (\$50M–\$200M). Forecasts are made 120, 180, 240 and 300 minutes after the open from the preceding 120 minutes, and the outcome is the maximum adverse excursion over the next 60 minutes; the baseline is the full volatility-forecasting and price-impact baseline of Table 22. Training uses

Table 24: Pre-registered test in thin US stocks, 2025–2026

| Candidate | $\Delta R^2$ (pts) [95% CI] | Clark–West $t$ | Holm $p$ |
|---|---|---|---|
| Thin, $\hat{C}_3^{\text{flow}}$ (primary) | +0.499 [+0.272, +0.779] | 5.05 | — |
| Thin, summed response $S_{60}$ | +0.153 [+0.046, +0.272] | 3.36 | 0.001 |
| Thin, reversion term | +0.613 [+0.322, +0.967] | 5.15 | $< 0.001$ |
| Thin, momentum term | −0.011 [−0.288, +0.261] | 0.63 | 0.263 |
| Mid-size control, $\hat{C}_3^{\text{flow}}$ | +0.316 [+0.074, +0.634] | 3.12 | 0.002 |

23 thin names, train 3,744 and test 3,808 symbol-hours on 42 test dates; baseline out-of-sample $R^2 = 0.340$; AUC 0.846 → 0.847 (95% interval of the change $[-0.00002, +0.0026]$); training coefficient on $\hat{C}_3^{\text{flow}}$ +21.7. Mid-size controls: 10 names, 1,680 test symbol-hours. Specification SHA-256 `f5800a69c219...`; test opened once. Kind: real data (Part 14).

48 days in 2023–2024 (the 10th and 24th of each month or the next trading day) and testing 42 days from January 2025 to September 2026 (the 6th and 20th). A day is valid if at least 80% of its minutes have a trade, and a name enters if it has at least 30 valid training days and 25 valid test days, which keeps 23 of the 40 thin names and all 10 controls. The test cell was run once.

The test passes (Table 24). $\hat{C}_3^{\text{flow}}$ adds 0.50 points of out-of-sample $R^2$ to the full baseline (95% interval $[0.27, 0.78]$, Clark–West $t = 5.05$), and the summed response $S_{60}$, the guard's own statistic, adds 0.15 points. As on Binance, the content comes from impact-weighted reversion: the reversion term alone adds 0.61 points, and the momentum term adds nothing. The effect is smaller than in thin Binance books, about a fifth of the 2.8 points of Table 22 on a baseline that already explains 34% of the variance, but about fifteen times the Bybit effect, and tail classification does not improve significantly. Unlike on Binance, the mid-size controls also show a gain (0.32 points), against our prediction of little or none: in US stocks the information is not confined to the thinnest names. The controls trade \$50M–\$200M a day, far below the deepest crypto books, and we included no large-capitalization stocks, so the test does not say where the effect ends. Three features of the sample limit the reading. The selection rule did not exclude funds, so the included thin names contain one closed-end fund (CRF) and the controls one bond ETF (BNDX); the validity rule removed the 17 thinnest-trading names; and the asset list contains only names still listed in 2026. Tick-rule

Table 25: Position-sizing backtest, thin books, fresh days 2025–2026

| Rule | Risk measure $R_t$ | TLR | Breach rate | $\log \mathrm{TLR} - \log \mathrm{TLR}_{\mathrm{vol}}$ [CI] |
|---|---|---|---|---|
| Volatility limit | $\hat{\sigma}_{6h}$ | 348.6 | 1.9% | — |
| Amplification-adjusted (primary) | $\hat{\sigma}_{6h}\,(S_{60}/\lvert\hat{h}_0\rvert)^{0.25}$ | 342.7 | 2.1% | −0.017 [−0.045, +0.011] |
| Peak-response guard | $U_6 \max_k \lvert\hat{h}_k\rvert$ | 411.4 | 5.3% | +0.165 [+0.095, +0.243] |
| Summed-response guard | $U_6\, S_{60}$ | 522.2 | 13.2% | +0.404 [+0.285, +0.525] |
| Static | 1 | 476.8 | 5.3% | +0.313 [+0.223, +0.397] |

20 thin symbols; $U_6$ is the 95th percentile of absolute normalized flow over six hours. Primary row: 97.5% interval; others 95%. Breach: loss above the training 95th percentile of the static rule. Bybit: training chose $\theta = 0$, and the summed guard is worse than volatility by +0.484 [0.251, 0.662].

signing also misclassifies some trades. Within these limits, the result is not a property of one crypto venue: the reduced-form content of the reversion statistic carries over, at a smaller size, to a regulated equity market.

## 11.13 The guard as a position limit

The guard of Section 6 bounds worst-case loss; a separate question is whether its ingredients help a dealer size positions in practice. We registered a backtest with Table 21. Each hour a rule sets the position $q_t = c_s/R_t$, where $R_t$ is a risk measure from the past six hours and $c_s$ sets the training mean of $q$ to one for each symbol and rule; the hour's loss is $q_t$ times the adverse excursion, and the score is tail loss per unit of average position, $\mathrm{TLR} = \mathrm{ES}_{95}(L)/\overline{q}$. The primary comparison is between a volatility limit ($R$ = six-hour realized volatility) and the same limit scaled by the gain multiple to a power $\theta$ chosen on training data ($\theta = 0$ is the volatility limit); training data chose $\theta = 0.25$.

The primary backtest fails (Table 25). Scaling the volatility limit by the gain multiple lowers tail loss per unit of position in 91% of bootstrap draws, but the interval includes zero. Rules built only on the estimated response, without volatility, are clearly worse than the volatility limit and even than a static limit: a six-hour estimate of $S$ is too noisy to size positions on its own. The guard theorems are statements about worst-case loss under a known or certified operator, and this evidence does not contradict them; but it means that, with public data and six-hour windows, an estimated summed response adds at most a little

Table 26: Backtest with a certified operator, thin books, fresh days 2025–2026

| Rule | $R_t$ | TLR | Breach | $\Delta \log$ TLR vs vol [95% CI] |
|---|---|---|---|---|
| Volatility limit | $\hat{\sigma}_{6h}$ | 296.7 | 2.0% | — |
| Certified, amp.-adjusted (primary) | $\hat{\sigma}_{6h}\,\mathrm{GM}_{\mathrm{cert}}^{0.25}$ | 289.7 | 2.3% | −0.024 [−0.051, −0.0004] |
| Combined ceiling | stricter of the two | 299.3 | 2.9% | +0.009 [−0.023, +0.039] |
| Certified summed guard | $U_{\mathrm{cert}} S_{\mathrm{cert}}$ | 416.5 | 13.8% | +0.339 [+0.241, +0.436] |
| Six-hour summed guard | $U_6 S_{60}$ | 424.8 | 14.9% | +0.359 [+0.237, +0.475] |
| Static | 1 | 383.2 | 4.0% | +0.256 [+0.132, +0.387] |

20 thin symbols; certified quantities from pooled within-day OLS on the minutes of the previous three days (median three valid days), fixed for the evaluation day. $\theta = 0.25$ chosen on training TLR over $\{0, 0.25, 0.5, 0.75, 1\}$. Combined ceiling: $R = \max(\hat{\sigma}_{6h}/\bar{\sigma},\, U_{\mathrm{cert}} S_{\mathrm{cert}}/\overline{US})$ with training medians. Breach: loss above the training 95th percentile of the static rule. Certified against six-hour summed guard: −0.020 [−0.165, +0.118]. Secondary comparisons Holm $p = 1.00$. Specification SHA-256 `b9a56af48c93...`; test opened once. Kind: real data (Part 12).

to volatility as a sizing input. A practical guard should combine the two and certify the operator with more data than a six-hour window; Section 11.14 tests exactly that.

## 11.14 A certified guard

The guard theorems assume a certified operator, and a six-hour estimate is a poor certificate. We therefore registered a second backtest (SHA-256 `b9a56af48c93...`) in which the operator of each symbol is certified once a day by pooling the minutes of the previous three days, and applied to every hour of the following day. Evaluation days are the 28th of each month and certification windows the 25th to 27th; none of these days was used in any earlier test. Training is 2024 (12 evaluation days), testing January 2025 to September 2026 (20 evaluation days, 6,894 symbol-hours on the 20 thin symbols). The primary rule scales the six-hour volatility limit by the certified gain multiple, $R_t = \hat{\sigma}_{6h}\,\mathrm{GM}_{\mathrm{cert}}^{\theta}$, with $\theta$ chosen on training data; the score is the tail loss per unit of position of Section 11.13.

The primary test passes, narrowly (Table 26). With a certified operator, scaling the volatility limit by the gain multiple lowers tail loss per unit of position by 2.4%, with a 95% interval of $[-5.1\%, -0.04\%]$; training data again chose $\theta = 0.25$, as in Section 11.13. The gain is small and its interval almost touches zero, so we read it as a modest improvement, not a decisive one: amplification information helps as a correction to a volatility limit once the

operator is estimated from days rather than hours. Every secondary comparison fails. A limit built on the certified summed response alone is far worse than volatility, about as bad as the six-hour version, so certification does not rescue the guard as a stand-alone sizing rule; and a combined ceiling that applies the stricter of the two limits does no better than volatility. The guard's theorems concern worst-case loss under a known operator; as a practical limit, its statistic earns its place as a modest adjustment to volatility, not as a replacement. The comparison also differs from the theorem in form: the backtests size positions as $c/R_t$, which levers a position up when the estimated response is small, whereas the guard of Lemma 6.1 is a one-sided cap, $\min(1, B/(IUS))$, that only scales admission down. After the fact we applied the certified guard in that form, throttling a position whenever $U_{\text{cert}} S_{\text{cert}}$ exceeds its training median (27% of test hours; Part 13, `R1`). As a cap on a static limit it lowers tail loss per unit of position by 13% (95% interval $[-27\%, -3\%]$); as a cap on a volatility limit it adds nothing ($+0.8\%$, $[-1.3\%, +2.7\%]$). Used as the theorem uses it, the guard helps where no volatility information is used and is subsumed by volatility where it is.

## 11.15 October 10, 2025

The largest liquidation day on record motivated this paper, so we report what the statistics did on it, descriptively. The event was chosen after the fact and the 10th of each month was a test day in the first two thin-book tests, so this is not a test. For the 20 thin symbols we computed the hourly six-hour estimates on October 3–11, 2025, and expressed each hour of October 10 as a percentile of the same symbol's October 3–9 distribution. The crash hour, the hour on October 10 with the largest adverse excursion in BTCUSDT, began at 21:00 UTC; the median thin-symbol excursion in that hour was about 7,500 basis points.

Figure 6 shows two things. First, the summed response was elevated through the whole day: in the morning, before volatility rose, the median thin symbol's $S_{60}$ sat at the 72nd to 87th percentile of its previous week, against the 52nd to 73rd for volatility, and at the start of the crash hour 16 of 18 thin symbols with valid estimates were above their previous-

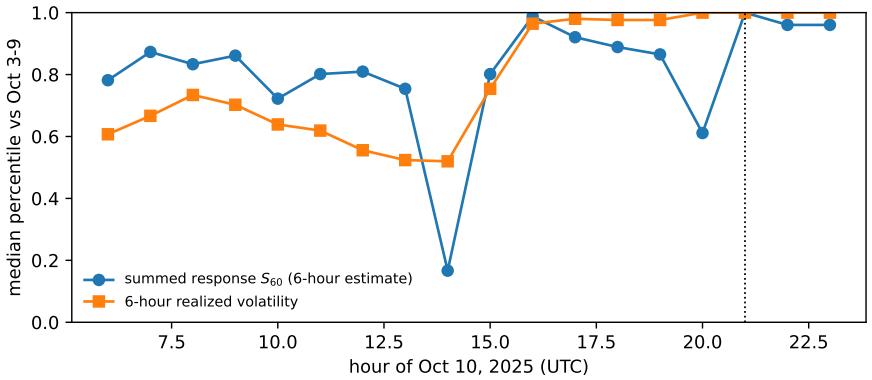
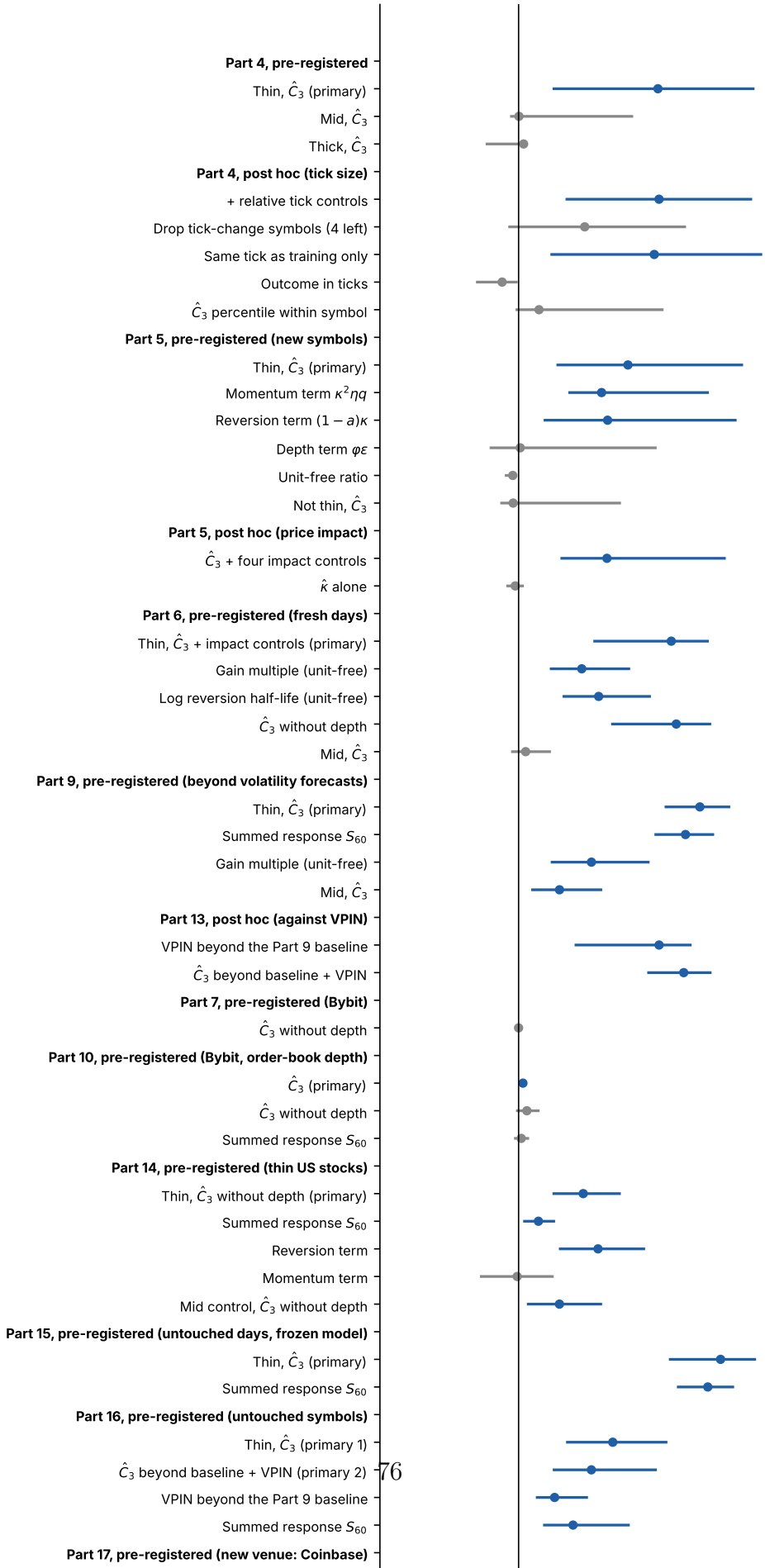



Figure 6: October 10, 2025: median percentile, across thin symbols, of the six-hour summed response $S_{60}$ and of six-hour realized volatility, relative to each symbol's October 3–9 distribution. Dotted line: the crash hour (21:00 UTC). Descriptive; the event was chosen after the fact.

week 90th percentile. Second, volatility reached the top of its range from 16:00 onward as well, so on this day the summed response did not warn of anything volatility missed in the final hours; and across symbols it did not rank which coins fell furthest (Spearman −0.11, against +0.36 for volatility). We draw no inference from one day. The episode is consistent with the thin-book result, an elevated dynamic risk state that sizes excursions rather than timing them, and it illustrates why the paper's claims are about the size of the next hour's excursion, not about predicting crashes.

## 11.16 Every pre-registered test

Table 27 lists every pre-registered test in this paper, with its outcome and the number of times its test set was opened. Of eighteen pre-registered primaries, twelve pass, five fail and one was not tested because the test it depended on failed. The failures are in BTCUSDT futures, in BTCUSDT spot, on Bybit with trades alone, on Coinbase (Part 17), and in the six-hour position-sizing backtest. Four passes are in thin Binance books, one in thin US stocks, two on untouched days (Part 15) and three on untouched symbols (Part 16); the certified-guard backtest passes narrowly; and the Bybit test with depth meets its criterion with a negligible effect. Figure 7 adds the post-hoc checks.


**Part 4, pre-registered**
Thin, $\hat{C}_3$ (primary)
Mid, $\hat{C}_3$
Thick, $\hat{C}_3$
**Part 4, post hoc (tick size)**
+ relative tick controls
Drop tick-change symbols (4 left)
Same tick as training only
Outcome in ticks
$\hat{C}_3$ percentile within symbol
**Part 5, pre-registered (new symbols)**
Thin, $\hat{C}_3$ (primary)
Momentum term $\kappa^2\eta q$
Reversion term $(1-a)\kappa$
Depth term $\varphi\varepsilon$
Unit-free ratio
Not thin, $\hat{C}_3$
**Part 5, post hoc (price impact)**
$\hat{C}_3$ + four impact controls
$\hat{\kappa}$ alone
**Part 6, pre-registered (fresh days)**
Thin, $\hat{C}_3$ + impact controls (primary)
Gain multiple (unit-free)
Log reversion half-life (unit-free)
$\hat{C}_3$ without depth
Mid, $\hat{C}_3$
**Part 9, pre-registered (beyond volatility forecasts)**
Thin, $\hat{C}_3$ (primary)
Summed response $S_{60}$
Gain multiple (unit-free)
Mid, $\hat{C}_3$
**Part 13, post hoc (against VPIN)**
VPIN beyond the Part 9 baseline
$\hat{C}_3$ beyond baseline + VPIN
**Part 7, pre-registered (Bybit)**
$\hat{C}_3$ without depth
**Part 10, pre-registered (Bybit, order-book depth)**
$\hat{C}_3$ (primary)
$\hat{C}_3$ without depth
Summed response $S_{60}$
**Part 14, pre-registered (thin US stocks)**
Thin, $\hat{C}_3$ without depth (primary)
Summed response $S_{60}$
Reversion term
Momentum term
Mid control, $\hat{C}_3$ without depth
**Part 15, pre-registered (untouched days, frozen model)**
Thin, $\hat{C}_3$ (primary)
Summed response $S_{60}$
**Part 16, pre-registered (untouched symbols)**
Thin, $\hat{C}_3$ (primary 1)
$\hat{C}_3$ beyond baseline + VPIN (primary 2)
VPIN beyond the Part 9 baseline
Summed response $S_{60}$
**Part 17, pre-registered (new venue: Coinbase)**

## 11.17 Threats to validity

**Multiple testing.** The program registered eighteen primaries, of which seventeen were tested, and ran the post-hoc checks of Figure 7. The nine passing forecasting primaries have Clark–West statistics between 5.0 and 12.6 (one-sided $p < 0.001$ in each), and the Part 15 guard primary has a one-sided bootstrap $p$ of 0.0025, so each survives a Bonferroni correction across all seventeen tested primaries (threshold 0.0029). The Part 16 guard primary ($p = 0.004$) does not, although it passes the Holm correction its registration specified; statistical significance is not the issue for the Bybit test, its size is. The certified-guard backtest does not survive the correction: its bootstrap one-sided $p$ is about 0.02, so it is the weakest of the passes. The failures are reported with the same prominence.

**Sequential design.** The program was sequential. Each pre-registration fixed one test's specification before its test data were opened, but which test to run next was chosen after the earlier results were known: new symbols after the first pass, impact controls and then a volatility baseline in response to the obvious objections, depth on Bybit after the trade-only test failed, a regulated market after the second venue gave a negligible effect, untouched days and symbols after the information-safety theory, and a certified operator after the six-hour backtest failed, and a new venue last. Pre-registration therefore protects each test from specification search on its own test data; it does not protect the program from choices that adapted across tests. That is why every test is reported, failures included (Figure 7), and why the correction above is taken over all tested primaries.

**Dependence among the passes.** The four passing tests share the 2023–2024 training days, and the original ten thin symbols appear in three of them. They are not four independent replications. They vary three things one at a time: the symbols (Table 19, ten new symbols), the test days (Tables 21 and 22, days never used before) and the baseline (impact controls, then a full volatility-forecasting model). The Part 16 test (Table 30) shares their

training days but none of their symbols. The US test (Table 24) shares none of their data: a different market, asset class, data source, universe and set of days.

**Look-ahead and estimated regressors.** Every feature uses minutes before the forecast hour; winsorization limits, flow scales, $\theta$ and tail thresholds come from training data; and a scrambling audit leaves every hourly feature unchanged when data from $t$ onward are permuted. $\hat{C}_3$ and $S_{60}$ are estimated from six hours, but the evaluation compares out-of-sample forecasts rather than testing a coefficient, so estimation error in the regressor can only attenuate the measured gain.

**Simultaneity.** The structural fits regress the price change on same-minute flow, so $\hat{\kappa}$ and the depletion slope mix impact with any within-minute response of flow to price. The guard's identification results (Proposition 2.2 and Theorem 5.5) concern the impulse response, not these regression coefficients, and the forecasting evidence uses $\hat{C}_3$ as an index whose value is judged out of sample, not as a causal parameter. Simultaneity therefore changes what $\hat{C}_3$ measures, not whether the out-of-sample gains are real. We tried to separate the two after the fact by instrumenting this minute's flow with last minute's flow (Part 13, `R4`), but at the one-minute scale normalized flow is almost serially uncorrelated (median first-stage correlation 0.005), so the instrument is weak and the instrumented statistic is noise (it adds 0.01 points of $R^2$, interval including zero). The causal content of $\hat{\kappa}$ therefore remains open; a convincing instrument would need order-level data.

**Selection and survivorship.** The 30 symbols were fixed from one 2024 training day before any T6 statistic was computed, and the new symbols were drawn by a seeded procedure. Symbols had to be listed through 2026, so coins delisted after a collapse are excluded; if anything this removes the episodes in which thin-book risk was largest.

**Economic size.** The largest gain, 2.8 points of $R^2$ on a baseline of 18.6%, is a 15% increase in the explained variance of the next hour's adverse excursion, and tail classification improves by 0.005 of AUC. In basis points, on the test hours of Table 22 and with quintile breakpoints from training data: within each quintile of the volatility forecast, hours in the top quintile of $\hat{C}_3$ have a next-hour adverse excursion 25.6 basis points larger than hours in the bottom quintile (date-block 95% interval $[18.6, 32.8]$), against a mean excursion of 112.5 basis points, and 61 basis points larger in the most volatile quintile; the share of hours beyond the training 95th percentile rises from 2.3% in the bottom $\hat{C}_3$ quintile to 5.1% in the top. Unconditional sorts on $S_{60}$ show no pattern; its content appears only with the controls. As a sizing input the gain is worth about a 2.4% reduction in tail loss per unit of position once the operator is certified (Table 26). These are modest gains on top of a strong baseline, not a new predictor that replaces volatility.

**In margin terms.** To express the 25.6 basis points in the units a risk manager uses, we fit a lognormal distribution to the excursions in each $\hat{C}_3$ quintile from its mean and median; at one common threshold the fit reproduces the observed share of hours beyond the training 95th percentile in every quintile to within 0.6 percentage points. Shifting the bottom-quintile distribution up by 25.6 basis points, the effect at a given volatility forecast, roughly doubles the probability that a 20× position (liquidated after a 4% adverse move, with 1% maintenance margin) is liquidated within the hour, from 1.3% to 2.7% (2.3% to 3.2% across the interval for the effect). For a 10× position, liquidated after 9%, the probability almost triples, from 0.04% to 0.11%. On \$1M of notional at 20×, the extra expected loss of margin is about \$710 per hour held (\$490 to \$960; `recompute_dollar.py`). These figures come from a fitted distribution, not a test, and they treat the hour's excursion from its opening price as the liquidation trigger. They show that a difference that is small in basis points is large in the tail that leverage makes relevant, which is where a pre-trade control operates.

**Venue.** The size of the result depends on the venue. It is largest in thin Binance USD-M books; in thin US stocks it passes a pre-registered test at about a fifth of that size, and it also appears in mid-size US stocks (Table 24); on Bybit it failed with trade data alone and, with order-book depth, met its pre-registered criterion with an effect about one eightieth of Binance's (Table 23).

## 11.18 What the evidence says

Deep books sit on the stable side of the amplification condition. Flow depletes the side it hits on a fixed price grid, although re-centred depth bands make it look like replenishment, and we observe no peak overshoot. In thin Binance books the condition is still negative on average but binds more often, and the six-hour estimates of cumulative transient risk forecast the size of the next hour's adverse excursion out of sample. Four pre-registered tests pass, on the original symbols, on ten new symbols, on fresh days with price-impact controls, and on fresh days beyond a full volatility-forecasting baseline, where the gain is largest (+2.8 points of $R^2$) and extends to tail classification. The summed response $S$ of Theorem 4.4, the guard's own statistic, carries the same information, and unit-free versions work. The content does not run through depth depletion, and in Binance books it is much weaker at mid depth and absent in BTCUSDT. In thin US stocks a fifth pre-registered forecasting test passes, at about a fifth of the Binance size and with a gain in mid-size stocks too; on Bybit the statistic is absent with trades alone and negligible with depth; and as a position-sizing input it improves a volatility limit only modestly once the operator is certified. Thin books are risky because their prices revert too slowly relative to the impact and momentum of the flow that moves them, which is what $S = \tilde{\kappa}/(m - q\tilde{\kappa})$ measures.

Table 27: All pre-registered tests

| Test (specification hash) | Sample | Primary statistic [CI] | | | Result | Opened |
|---|---|---|---|---|---|---|
| BTCUSDT futures, MAE \| $\hat{C}_3$ (`d9521218`) | 2025–26 | $\Delta R^2$ | +0.018 | [−0.100, +0.132] | fail | 1 |
| BTCUSDT spot, MAE \| amplification (`b1fd7f8e`) | 2024 | $\Delta R^2$ | −0.023 | [−0.056, −0.002] | fail | 3 |
| Thin books, 10 symbols (`5910b6b4`) | 2025–26 | $\Delta R^2$ | +1.216 | [+0.273, +7.987] | pass | 2 |
| New thin symbols, 10 (`6aa8e2c0`) | 2025–26 | $\Delta R^2$ | +0.845 | [+0.303, +6.371] | pass | 1 |
| Fresh days, 20 thin, impact controls (`65acda36`) | 2025–26 | $\Delta R^2$ | +1.583 | [+0.588, +3.237] | pass | 1 |
| Position sizing, same specification | 2025–26 | $\Delta \log \mathrm{TLR}$ | −0.017 | [−0.045, +0.011] | fail | 1 |
| Bybit, 14 coins, depth-free | 2025–26 | $\Delta R^2$ | −0.000 | [−0.001, +0.001] | fail | 1 |
| Beyond volatility forecasting, 20 thin (`71983f1a`) | 2025–26 | $\Delta R^2$ | +2.787 | [+1.425, +4.944] | pass | 1 |
| Certified guard, position sizing (`b9a56af4`) | 2025–26 | $\Delta \log \mathrm{TLR}$ | −0.024 | [−0.051, −0.0004] | pass | 1 |
| Bybit with order-book depth, 6 coins (`ec2145fa`) | 2025–26 | $\Delta R^2$ | +0.033 | [+0.019, +0.053] | pass | 1 |
| Thin US stocks, 23, depth-free (`f5800a69`) | 2025–26 | $\Delta R^2$ | +0.499 | [+0.272, +0.779] | pass | 1 |
| Untouched days, frozen model (`69849c96`) | 2025–26 | $\Delta R^2$ | +4.196 | [+1.551, +8.233] | pass | 1 |
| Untouched days, guard vs static (same) | 2025–26 | $\Delta \log \mathrm{TLR}$ | −0.084 | [−0.173, −0.011] | pass | 1 |
| Untouched symbols, 5 thin (`0523e476`) | 2025–26 | $\Delta R^2$ | +0.727 | [+0.377, +1.428] | pass | 1 |
| Untouched symbols, beyond VPIN (same) | 2025–26 | $\Delta R^2$ | +0.562 | [+0.274, +1.159] | pass | 1 |
| Untouched symbols, guard vs static (same) | 2025–26 | $\Delta \log \mathrm{TLR}$ | −0.256 | [−0.497, −0.021] | pass | 1 |
| New venue, Coinbase, 6 thin (`3233c52b`) | 2025–26 | $\Delta R^2$ | −0.092 | [−0.407, +0.158] | fail | 1 |
| Coinbase, real minus placebo (same) | 2025–26 | +0.013 [−0.331, +0.298] | | | not tested | 1 |

$\Delta R^2$ in percentage points. "Opened" counts executions of the test cell; the repeated openings used unchanged code and specifications (Sections 11.5 and 10). Intervals are 95%, except 97.5% for the two fresh-day primaries and the two Part 15 primaries.

# 12 Tests of the information-safety results

The theorems of Sections 5–7 concern declared contracts. This section reports two kinds of tests: simulations in which the true economy is known, so that coverage, attainment and optimality can be checked directly; pre-registered tests on market data that no earlier part of this paper used, on new days, new symbols and a new venue; and post-hoc checks on data already opened.

## 12.1 Simulation tests with a known truth

The simulations confirm what the theorems claim and locate what they do not (Table 28). The certificate is valid where its contract holds, including with delayed feedback and contrarian cohorts, and conservative when the declared memory is long. It fails in two ways that matter for practice: when memory is longer than declared, which is the case Theorem 5.3(iii) warns about, and when feedback strengthens after certification, in which case a stale certificate covers the new risk only a third of the time. A guard must therefore be re-certified as conditions change; it cannot be set once. The remaining tests check the extensions: the window endpoints are proved rather than computed (T10), certificates that do not assume independent taps keep their level when the taps are correlated while the (O1) certificate does not (T11), non-monotone admission is certified by branch and bound (T13), and sequential probing keeps its error level (T14).

## 12.2 Pre-registered test on untouched days (Part 15)

We registered a test (Part 15) before downloading any day used in it: the 12th to 15th of each month on Binance, days no earlier part used on Binance. It has two primaries, with Holm's correction across them. First, the forecasting model of Table 22, frozen at its 2023–2024 training estimates, is applied to the 15th of each month from January 2025 to September 2026. Second, an uncertainty-aware guard throttles a position by $\min(1, k_s/(U_{\text{cert}} S_{60}^{\text{up}}))$,

Table 28: Simulation tests of the information-safety results

| Test | Question | Result |
|---|---|---|
| T01 | Can markets agree on early responses yet differ in risk? | Example 5.1 in rational arithmetic: lags 0–2 equal, summed responses 1.92 and 5.59 |
| T02 | Does Proposition 5.2 bound the capacity a safe rule gives up? | Attained exactly with identical data (0.324 at $\beta = 0.05$); respected in 9 of 9 noisy designs by the certificate rule, whose unsafe-admission rate is at most 3.2% |
| T03 | Is certifying risk cheaper than identifying cohorts? | Table 3: slope $-6.06$ in $\Delta\eta$ for identification, $+0.23$ for certification |
| T04 | Does the certificate cover at its nominal level? | 18 designs: coverage at or above nominal in all (minimum 93.6% at nominal 90%); median excess 3–15% with memory bound 0.6–0.9, about 230% at 0.97 |
| T05 | Is the corrected gate exact? | 2,000 cases, horizons 1–10, every sign path enumerated: per-period worst case equals $V \sum \lvert g \rvert$ and total-budget worst case equals $V \max \lvert g \rvert$ in all; the peak gain understates the per-period worst case in 1,800 |
| T06 | Is the closed-form guard globally optimal? | 500 economies: equal to brute force over 1,001 levels from the state matrices in all; safe sets always intervals; 28 infeasible states flagged |
| T07 | What does disclosure add? | Table 5 |
| T08 | Does the guard depend on the channel? | Momentum learners, fixed-rule traders, depth and slow dealer reversion calibrated to $S = 5$: identical guard capacity (0.20); one-period margins differ ($-0.34$ to $-0.20$) |
| T09 | What breaks the certificate? | Coverage at nominal 95%: as assumed 100%; delayed feedback 100%; contrarian cohorts 100%; depth channel 92.8%; memory longer than declared 86.3%; feedback 20% stronger after certification 34.7% |
| T10 | Are the window endpoints proved? | Certified by Lemma 5.4 for every window; outside the 60-digit endpoints by at most $1.5 \times 10^{-8}$ relative |
| T11 | What if the tap noise is correlated? | (O1) certificate covers 74–76% (exact value 75.1%); $t$-certificate 94–95%; Hotelling 100%; dependent experiments 82–85% |
| T12 | Should rebates use certified bounds? | No: a 10% overstatement of $S$ costs 2.4–2.8% of first-best welfare, a 50% overstatement 70–80% |
| T13 | What if admission changes the dynamics? | Safe sets $[0, 0.035] \cup [0.386, 1]$ (closed form) and $[0, 0.053] \cup [0.178, 1]$ (book, certified); no certified level unsafe in 433 sampled economies |
| T14 | Does sequential probing keep its error level? | No wrong decision in 7,000 runs; 3.7 to 107 probes against 130 for a fixed design |

All tests are deterministic given their seeds and run without data (`research_extension/information_safety/run_all.py` → `results/T*.json`, about six minutes). Further checks: the joint per-period and total-budget worst case equals its linear-programming value in 300 random cases (T05b), and the balance-sheet step keeps the reserve in all 17,551 sampled states that satisfy the guard inequality (T12b). Kind: recomputed.

Table 29: Pre-registered test on untouched days (Part 15), 2025–2026

| *A. Frozen forecasting model (primary 1)* | $\Delta R^2$ (pts) [CI] | Clark–West $t$ | $\Delta$AUC [95% CI] |
|---|---|---|---|
| $\hat{C}_3$ (primary, 97.5%) | +4.20 [+1.55, +8.23] | 9.94 | +0.007 [+0.001, +0.011] |
| $S_{60}$ (secondary, 95%) | +3.26 [+1.82, +5.34] | 11.55 | |
| *B. Guards at matched activity* | | | |
| Rule | TLR | Activity | Robust guard vs. rule [95% CI] |
| Static limit | 377 | 1.00 | −0.084 [−0.161, −0.017] (primary 2) |
| Uncertainty-aware guard | 347 | 0.91 | — |
| Point-estimate guard | 346 | 0.92 | +0.003 [−0.005, +0.013] |
| Depth throttle | 469 | 0.59 | −0.302 [−0.446, −0.146] |
| Spectral-radius throttle | 401 | 0.82 | −0.146 [−0.240, −0.065] |
| Volatility cap | 339 | 0.86 | +0.023 [−0.022, +0.082] |
| Volatility cap × guard | 335 | 0.80 | vs. cap: −0.012 [−0.037, +0.013] |

20 thin symbols; evaluation days the 15th of each month; frozen model trained on 16,860 Part 9 symbol-hours, tested on 6,714 hours on 20 dates; frozen baseline out-of-sample $R^2 = 0.058$; training coefficient +71.3. Guards: 6,732 test hours; TLR = ES95 of loss per unit of average position (positions normalized to training mean 1); the last column of panel B reports $\log \mathrm{TLR}$(robust guard) minus $\log \mathrm{TLR}$(rule), so negative values favour the robust guard. Primary 2 uses the 97.5% interval $[-0.173, -0.011]$, one-sided $p = 0.0025$. Both primaries pass under Holm's correction. Median $S_{60}^{\mathrm{up}}/S_{60} = 1.25$. Specification SHA-256 `69849c96d70f...`; test opened once. Kind: real data (Part 15).

where $S_{60}^{\mathrm{up}}$ is the 90th percentile of the summed response over 100 block-bootstrap refits of the operator certified from the three preceding days; it is compared with a static limit at matched activity, and secondarily with the point-estimate guard, a depth throttle, a spectral-radius throttle and a volatility cap. The bootstrap bound is a diagnostic for observational data, not the finite-sample certificate of Theorem 5.5.

Both primaries pass (Table 29). The forecasting model, frozen at its 2023–2024 estimates and applied to days never used before, finds that $\hat{C}_3$ adds 4.2 points of out-of-sample $R^2$ to the volatility and impact baseline (97.5% interval $[1.6, 8.2]$, Clark–West $t = 9.9$) and improves tail classification; the summed response $S_{60}$ adds 3.3 points. The gain is larger than in Table 22 partly because the frozen baseline explains less on these days (5.8% of the variance against 18.6%): frozen coefficients transfer imperfectly, and the dynamic statistic picks up part of what the baseline loses. As a one-sided throttle on a static limit, the uncertainty-aware guard lowers tail loss per unit of position by 8% (log difference −0.084, 97.5% interval $[-0.173, -0.011]$, that is, a reduction of 1% to 16%) while retaining 91% of

activity, replicating on untouched days the post-hoc finding of Section 11.14. It does much better than throttling on depth (26% lower tail loss) or on the spectral radius (14% lower), the two controls a supervisor would reach for first.

Two secondary results limit the claim. The bootstrap upper bound does no better than the point estimate (+0.3%, interval $[-0.5\%, +1.3\%]$): on these data the upper bound is about 1.25 times the point estimate in most hours and ranks hours almost identically, so accounting for estimation uncertainty changes which hours are throttled very little. And, as in Section 11.14, a volatility cap does at least as well as the guard, and adding the guard to it does not help significantly ($-1.2\%$, interval $[-3.7\%, +1.3\%]$). Used as the theorem uses it, the guard is a better throttle than depth or spectral rules and a real improvement over a static limit; it is not a substitute for volatility information.

## 12.3 Pre-registered test on untouched symbols (Part 16)

A third registered test (Part 16) uses Binance perpetuals that no earlier part used, thirty drawn by a seeded rule before any analysis and kept if their training depth is below the thin threshold of Part 5. It has three primaries, with Holm's correction across them: the forecasting specification of Table 22 on the new thin symbols; the same beyond the baseline *plus VPIN*, which turns the post-hoc comparison of Section 11.10 into a confirmatory one; and the guard of Section 12.2 against a static limit.

All three primaries pass (Table 30), but on a small set. The seeded draw of thirty new perpetuals produced only five with thin books, because the thinnest listed symbols had already been used in Parts 4–15; the rule required no minimum, so the test went ahead with five. On these symbols, re-estimating the Part 9 specification on their own training days, $\hat{C}_3$ adds 0.73 points of out-of-sample $R^2$ to the volatility and impact baseline (95% interval $[0.38, 1.43]$, Clark–West $t = 5.7$) and improves tail classification. That is about a quarter of the Part 9 gain on the original thin symbols, on a baseline that already explains 31.7% of the variance rather than 18.6%.

Table 30: Pre-registered test on untouched symbols (Part 16), 2025–2026

| *A. Forecasting beyond the volatility baseline (5 new thin symbols)* | | | |
|---|---|---|---|
| | $\Delta R^2$ (pts) [95% CI] | Clark–West $t$ | $\Delta$AUC [95% CI] |
| $\hat{C}_3$ (primary 1) | +0.73 [+0.38, +1.43] | 5.70 | +0.004 [+0.001, +0.007] |
| $\hat{C}_3$, VPIN in baseline (primary 2) | +0.56 [+0.27, +1.16] | 5.38 | +0.003 [+0.001, +0.006] |
| VPIN (secondary) | +0.28 [+0.14, +0.53] | 4.39 | +0.002 [+0.001, +0.003] |
| $S_{60}$ (secondary) | +0.42 [+0.20, +0.85] | 4.43 | +0.001 [−0.000, +0.003] |
| *B. Guards at matched activity* | | | |
| Rule | TLR | Activity | Robust guard vs. rule [95% CI] |
| Static limit | 466 | 1.00 | −0.256 [−0.497, −0.021] (prim. 3) |
| Uncertainty-aware guard | 360 | 0.91 | — |
| Point-estimate guard | 371 | 0.91 | −0.028 [−0.076, +0.009] |
| Volatility cap | 367 | 0.85 | not tested |
| Volatility cap × guard | 342 | 0.78 | vs. cap: −0.072 [−0.180, +0.005] |

Thirty perpetuals drawn by a seeded rule (seed 20261031) from the 48 listed Binance perpetuals not used in Parts 4–15; five had training depth within 1% below \$0.39M and entered: BAT, BEL, COTI, CTSI and LQTY. Forecasting: Part 9 specification re-estimated on these symbols' training days (10th and 24th of each month, 2023–2024; 4,215 symbol-hours) and tested on the 6th and 20th of each month, January 2025 to September 2026 (3,597 hours on 40 dates); baseline out-of-sample $R^2 = 0.317$. VPIN: six-hour window, 50 equal-volume buckets, winsorized at training 1%/99% (median 0.24). Guards: Part 15 definitions; 1,080 training and 1,782 test symbol-hours on the 15th of each month; last column of panel B is $\log \mathrm{TLR}$(robust guard) minus $\log \mathrm{TLR}$(rule). Holm-adjusted $p$ across the three primaries: $2 \times 10^{-8}$, $7 \times 10^{-8}$ and 0.004; all three pass. Secondary Holm-adjusted $p$: VPIN and $S_{60} < 0.0001$; robust vs. point guard 0.11; cap × guard vs. cap 0.07. Specification SHA-256 `0523e47626da...`; test opened once. Kind: real data (Part 16).

The second primary makes the post-hoc VPIN comparison of Section 11.10 confirmatory: with VPIN added to the baseline, $\hat{C}_3$ still adds 0.56 points ($[0.27, 1.16]$). VPIN has content of its own (+0.28 points) but leaves most of $\hat{C}_3$'s gain in place, as in the post-hoc comparison. The summed response $S_{60}$ adds 0.42 points.

The third primary replicates the guard of Section 12.2 on new symbols. Against a static limit, the uncertainty-aware guard lowers tail loss per unit of position by 23% (log difference $-0.256$, interval $[-0.497, -0.021]$, a reduction of 2% to 39%) while retaining 91% of activity. The interval is wide: the guard sample is five symbols on about twenty evaluation days, and its one-sided bootstrap $p$ of 0.004 (8 of 2,000 draws) passes Holm's correction within Part 16 but not a Bonferroni correction across all tested primaries of the program (Section 11.17). The secondary comparisons agree with Part 15. The bootstrap upper bound again does not significantly improve on the point estimate ($-2.8\%$ in log points, interval including zero). Adding the guard to a volatility cap lowers tail loss by a further 7%, a larger effect than in Part 15 but not significant after correction (Holm $p = 0.07$). We do not report the guard against the volatility cap alone, which the registration did not include; the point estimates are close (360 against 367).

## 12.4 Pre-registered test on a new venue (Part 17)

Every venue so far was Binance, Bybit or the US consolidated tape. Part 17 registers a test on Coinbase Exchange spot, a US-regulated venue that no earlier part used, from public trade data: thin USD pairs drawn by a seeded rule from those with median daily dollar volume of \$0.5–5 million in June 2024, the depth-free statistic $\hat{C}_3^{\text{flow}}$ of Parts 7 and 14, and the Part 9 volatility and impact baseline, on the 6th and 20th of each month from January 2025 to September 2026. Its second primary is a falsification test. Order splitting makes signed flow persistent, and a statistic built from persistent flow could forecast through persistence alone. The placebo recomputes $\hat{C}_3^{\text{flow}}$ after shifting the flow series by 180 minutes inside its own six-hour window, which keeps the flow's distribution and persistence and breaks its

Table 31: Pre-registered test on a new venue (Part 17): Coinbase spot, 2025–2026

| | $\Delta R^2$ (pts) [95% CI] | Clark–West $t$ | $\Delta$AUC [95% CI] |
|---|---|---|---|
| $\hat{C}_3^{\text{flow}}$, thin (primary 1) | −0.09 [−0.41, +0.16] | −0.58 | +0.000 [−0.000, +0.001] |
| Real minus placebo (primary 2, not tested) | +0.01 [−0.33, +0.30] | — | — |
| Placebo alone | −0.11 [−0.19, −0.03] | −2.62 | |
| $S_{60}$ | −0.03 [−0.08, +0.02] | −1.66 | |
| VPIN | −0.00 [−0.01, +0.00] | −1.81 | |
| $\hat{C}_3^{\text{flow}}$ beyond baseline + VPIN | −0.10 [−0.42, +0.15] | — | |
| $\hat{C}_3^{\text{flow}}$, mid-size control (3 pairs) | +0.02 [−0.20, +0.23] | 0.69 | |

Twenty thin USD pairs (median June 2024 daily dollar volume \$0.5–5 million) and four mid-size pairs (\$15–50 million) drawn with a fixed seed before any trade was downloaded; a pair entered with at least 15 valid training and 25 valid test days, a day being valid if at least 60% of its minutes had a trade. Six thin and three mid-size pairs entered. Training: 10th and 24th of each month of 2024 (2,340 thin-pair hours); test: 6th and 20th, January 2025 to September 2026 (3,690 hours on 42 dates); baseline out-of-sample $R^2 = 0.310$. Placebo: flow shifted by 180 minutes inside its six-hour window. Fixed-sequence testing: primary 2 is tested only if primary 1 passes. Secondary Holm-adjusted $p$-values all equal 1. Specification SHA-256 `3233c52b0a39...`; test opened once. Kind: real data (Part 17).

minute-by-minute alignment with prices, the alignment the model says carries the risk. The real statistic must beat the placebo. The two primaries are tested in a fixed sequence, the placebo comparison only if the first passes, because beating a placebo is informative only when the real statistic has content.

The test fails (Table 31). Of the twenty pairs drawn, six traded in at least 60% of minutes on enough days to enter (ARB, FLR, ICP, QNT, VET and XLM); thin pairs on this venue trade too sparsely for the rest. On these six, $\hat{C}_3^{\text{flow}}$ adds $-0.09$ points of $R^2$ to the baseline (95% interval $[-0.41, 0.16]$, Clark–West $t = -0.58$), so the first primary fails and, under the registered fixed sequence, the placebo comparison is not tested; descriptively the real statistic and the placebo do equally badly (difference +0.01 points, $[-0.33, 0.30]$). Nothing else forecasts either: $S_{60}$, VPIN and the statistic in the mid-size control pairs all add nothing. Coinbase joins Bybit with trades alone as a venue where the thin-book result is absent. Both are venues where the statistic must be computed from trades without depth, but so is the US test, which passed; the result is venue-specific, and we do not know which feature of a venue it depends on.

## 12.5 Post-hoc checks on opened data (Part 18)

Two further checks use samples that earlier tests opened, so they are post hoc; their analysis plan was hashed before they were computed. The first applies the same placebo to the Binance samples of Parts 9 and 16. The second adds three controls to the guard comparisons of Parts 15 and 16: a certified peak-response guard (the quantity Lemma 6.1 says is unsafe for repeated trading), a participation cap that limits the position to a share of the last six hours' volume, and a margin-style rule that scales the position by an exchange-style scanning range, the 99th percentile of one-hour moves over the three certification days. A cap on inventory alone is the static limit once activity is matched.

Both checks support the paper's reading, with one exception (Table 32). The placebo carries no information on Binance: on the Part 9 sample it adds $-0.02$ points of $R^2$ while the real statistic adds 2.73 on the same rows, a difference of 2.74 points (95% interval $[1.32, 4.82]$), and on the Part 16 sample the difference is 0.79 points ($[0.42, 1.60]$). Real and placebo statistics are uncorrelated (Spearman $-0.004$ and 0.025). The forecasting content in thin Binance books therefore comes from the minute-by-minute alignment of flow and prices, not from the persistence of order flow. Against the new controls, on the Part 15 sample the uncertainty-aware guard has 3% lower tail loss per unit of position than the certified peak-response guard and the margin-style rule (both significant after Holm's correction) and far lower than the participation cap; it is not better than the six-hour peak guard (+3.6%, interval including zero). On the five symbols of Part 16 it beats only the participation cap. These are post-hoc comparisons on opened data, so they qualify the guard's ranking rather than test it.

Table 32: Post-hoc checks on opened data (Part 18)

| *A. Order-splitting placebo, $\Delta R^2$ beyond the Part 9 baseline (pts) [95% CI]* | Part 9 sample (20 thin) | Part 16 sample (5 thin) |
|---|---|---|
| Real $\hat{C}_3$ | +2.73 [+1.32, +4.78] | +0.73 [+0.37, +1.48] |
| Placebo | −0.02 [−0.05, +0.00] | −0.07 [−0.15, −0.03] |
| Real minus placebo | +2.74 [+1.32, +4.82] | +0.79 [+0.42, +1.60] |
| *B.* log TLR *(uncertainty-aware guard) minus* log TLR *(rule) [95% CI]* | Part 15 sample (20 thin) | Part 16 sample (5 thin) |
| Certified peak-response guard | −0.034 [−0.062, −0.007] | −0.004 [−0.031, +0.022] |
| Six-hour peak-response guard | +0.036 [−0.015, +0.100] | −0.028 [−0.116, +0.060] |
| Participation cap | −0.695 [−0.865, −0.534] | −0.880 [−1.233, −0.530] |
| Margin-style rule | −0.033 [−0.060, −0.008] | −0.018 [−0.057, +0.034] |
| Static limit (reproduces Parts 15, 16) | −0.084 [−0.166, −0.022] | −0.256 [−0.491, −0.021] |

Post hoc: every sample was opened by an earlier test; the analysis plan was hashed before computing (`P18_posthoc_plan.json`). Panel A: the placebo recomputes $\hat{C}_3$ with the flow series shifted by 180 minutes inside its six-hour window; real and placebo are evaluated on the same rows and bootstrap draws, so the Part 9 real gain (2.73) differs slightly from Table 22 (2.79). Recomputed $\hat{C}_3$ and certified operators match the stored values in every row. Panel B: positions normalized to training mean 1 per symbol and rule; participation cap: position proportional to the previous six hours' dollar volume; margin-style rule: position inversely proportional to the 99th percentile of one-hour moves over the three certification days. Holm-adjusted $p$ (Part 15): certified peak 0.006, margin 0.005, participation $< 0.001$, six-hour peak 0.91. The static-limit row reproduces the published TLRs (377 and 347; 466 and 360). Kind: real data (post hoc, Part 18).

# 13 Policy implications

**Pre-trade controls.** Rule 15c3-5 requires pre-trade controls that prevent orders exceeding credit or capital thresholds (SEC, 2010). Static single-order caps and daily value-at-risk limits do not see transient dynamics. Lemma 6.1 identifies the quantity that a solvency-motivated control should bound: inventory times the shock envelope times the summed absolute impulse response. Peak-based or eigenvalue-based limits are either unsafe or blind in exactly the regimes where they matter. Our evidence locates where such controls matter. In the deepest crypto book the amplifying regime is rare and the statistic carries no forecasting value; in thin books it is more frequent, and six-hour estimates of the summed response forecast the next hour's adverse excursion beyond volatility forecasts and price impact (Section 11). Our backtests also set a limit on what such a control can do with public data. A six-hour estimate of the summed response adds nothing to a volatility limit as a

sizing input (Table 25); an operator certified from three days of data improves a volatility limit modestly, by 2.4% in tail loss per unit of position (Table 26); and limits built on the estimate alone do worse than volatility in both. The guard's role is therefore a ceiling on worst-case loss under a certified operator and a correction to conventional volatility limits, not a replacement for them, and it is most relevant for books with under about \$0.4M of depth within 1% of the mid.

**Pricing reversion.** Proposition 8.1 shows that dealers under-supply reversion because its benefit, lower tail exposure for every leveraged position, is not paid to them. Maker rebates are a natural instrument: a rebate that rises with the book's summed response, $(1 - \theta/N)\Lambda S^2/\tilde{\kappa}$ per unit of reversion, prices the externality with an observable. Venues already tier rebates by volume; tiering them by contribution to reversion in thin books is a design question our model makes precise.

**What can be certified, what cannot, and when to abstain.** A supervisor or venue can certify the summed response, and hence a safe admission level, from controlled experiments at a cost that does not depend on how many traders there are or how similar their memories are (Theorem 5.5). It cannot certify any finite risk bound from a finite window without a bound on how long participants remember (Theorem 5.3(iii)), so a declared memory bound is a policy input, not a technicality, and a certificate must be renewed when conditions change (test T09). When compatible risks straddle the budget, the right response is to abstain: throttle admission to the certified level, and when even zero admission is uncertified because of existing inventory, flag the state and reduce the position (Theorem 6.5(iv)). Disclosure is worth paying for where memory is long and public certificates are weak, and is worth little where a short window already pins the risk down (Theorem 7.1).

**Market design.** Frequent batch auctions remove latency races within a batch (Budish et al., 2015). Transient amplification, when it exists, operates over many seconds and spans

many batches, so batching and a state-carrying guard address different failures and can be complements.

**Supervision without identification.** The companion paper shows that identifying algorithms from public data is expensive. The guard needs only impulse coefficients and operator confidence sets, which are invariant to how flow is split across cohorts. Supervisors can therefore ask venues and brokers to report summed-gain statistics and their confidence radii instead of attempting to infer black-box learners. Our results argue for reporting impact, mean reversion and refill directly, because those are the primitives that decide whether a book can amplify. They also show that feedback and amplification are different objects: measured feedback is largest in the deepest books, where amplification is rarest (Table 13).

# 14 Conclusion

The theory answers four questions. A book amplifies when depletion outweighs impact-weighted reversion; with momentum the one-period margin is sufficient but not exact, and momentum alone cannot make a stable book overshoot. Cumulative risk is long-run impact divided by reversion net of momentum, and the guard that bounds it is the largest safe pre-trade rule, computable and identified from public data. In equilibrium reversion is under-supplied, and the corrective price is a function of the guard's own statistic. And the information that certifies a safe decision is much cheaper than the information that identifies the traders: the summed response is certified at the parametric rate, finite windows certify it only under a memory bound, and a guard built on the certificate gives up no more trading capacity than any comparably safe rule, up to a logarithm.

The evidence is mixed in an informative way. The deepest crypto book sits on the stable side of the condition; flow depletes the side it hits on a fixed price grid, but not enough to produce a peak overshoot in the data we observe. In thin Binance books, six-hour estimates of cumulative transient risk forecast the size of the next hour's adverse excursion out of

sample in four pre-registered tests, in unit-free form, beyond price impact and beyond a full volatility-forecasting baseline. At a given volatility forecast, hours in the top quintile of the statistic have next-hour excursions about 26 basis points larger than hours in the bottom quintile. In thin US stocks, with consolidated trades, the statistic passes a fifth pre-registered test at about a fifth of the Binance size, and appears in mid-size stocks too. On Bybit it is absent with trades alone and negligible with order-book depth, the effect is much weaker in deeper Binance books, and as a sizing input it helps only once the operator is certified from days of data, and then modestly. Two final pre-registered tests used data no earlier test touched: on new days the forecasting model, frozen at its 2023–2024 estimates, and the uncertainty-aware guard both pass; on new symbols, five thin ones, the statistic forecasts beyond a baseline that includes VPIN and the guard passes again, although its interval is wide and it does not survive a correction across all primaries. On a new venue, Coinbase spot, the registered test fails, and post hoc an order-splitting placebo carries none of the Binance signal. Thin books are risky because their prices revert too slowly relative to the impact and momentum of the flow that moves them.

Three extensions would settle what remains open. Message-level data from a regulated market, such as LOBSTER or TAQ for US equities, would extend the US test to depth and to large stocks, show where the effect ends, and allow depletion to be measured without the recentering of band depth. Data on liquidity-provider identities would test the equilibrium's prediction that fewer dealers mean more transient risk. And longer certification windows, or certification with order-level data, would show whether the modest gain of a certified guard over volatility limits can be made large.

**Data and code availability.** All data are public: Binance archives (https://data.binance.vision), verified against published checksums, and Bybit's order-book history (https://www.bybit.com/derivatives/en/history-data) and trade archive (https://public.bybit.com); US consolidated trades are from the Alpaca market-data API (https:

//alpaca.markets, free account). Pre-registered specifications, their SHA-256 hashes and test-set unlock counters are in the replication package. Each number is produced by a notebook cell or script that writes a result file (Appendix D).

**Use of AI tools.** The authors used Claude (Anthropic), an AI assistant, to write and debug analysis code, run checks of derivations and numerical results, and draft and edit text. Every number in the paper is produced by code the authors executed and archived in the replication package. The authors reviewed all content and take full responsibility for it.

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# A Proofs

**Proposition 2.1.** With one cohort, $J = \left(\begin{smallmatrix} a & \kappa q \\ \eta a & 1-\eta+\eta\kappa q \end{smallmatrix}\right)$, so $\mathrm{tr}J = a+1-\eta+\eta\kappa q$ and $\det J = a(1-\eta)$. The Jury conditions for a real $2\times 2$ matrix are $|\det J| < 1$ and $1 \pm \mathrm{tr}J + \det J > 0$. Substituting $a = 1-\kappa\varphi_f$: $1 - \mathrm{tr}J + \det J = \eta(1-a-\kappa q) = \eta\kappa(\varphi_f - q)$, positive iff $q < \varphi_f$;

and $1 + \mathrm{tr}J + \det J = (4 - 2\eta) - \kappa[(2 - \eta)\varphi_f - \eta q]$, positive iff the stated bound on $\kappa$ holds (automatically when $(2 - \eta)\varphi_f \le \eta q$).

**Proposition 2.2.** Equal merged measures give equal $G$, hence equal $H$, and the impulse coefficients are the Laurent coefficients of $H$ (companion paper, Theorem on merged equivalence). Under $z \mapsto Tz$, $c^\top J^k b$ is unchanged because $CT^{-1}(TJT^{-1})^k Tb = CJ^k b$, while the row norm $\|CT^{-1}(TJT^{-1})^k\|$ depends on $T$. The displayed price path is the convolution of inputs with $\{g_k\}$, and its worst case over the $\ell_\infty$ ball is $\bar{u} \sum |g|$ by Hölder.

**Theorem 3.1.** (i) $\sup_t \|CJ^t z_0\| \le \sup_t \|CJ^t\| \|z_0\|$, with equality approached by aligning $z_0$ with the top right singular vector of $CJ^{t^*}$ at the maximizing $t^*$. (ii) The Kreiss matrix theorem with Spijker's sharp constant gives $\mathcal{K}(J) \le \sup_t \|J^t\| \le en\mathcal{K}(J)$; substitute in (i). (iii) Take $J_\theta = \left(\begin{smallmatrix} \rho & \theta \\ 0 & \rho/2 \end{smallmatrix}\right)$; then $\rho(J_\theta) = \rho$ and $(1, 0)J_\theta e_2 = \theta$, so $M_C \ge |\theta|$ and $r^*_{\text{exact}} \le B/|\theta| \to 0$.

**Proposition 3.2.** With all blocks entrywise nonnegative, every entry of $J^t_{\text{multi}}$ is a polynomial in the entries of $K_{21}$ with nonnegative coefficients, so it is non-decreasing in $K_{21}$; with $C \ge 0$, so is every entry of $CJ^t$ and hence its norm. For the Kreiss constant, the Neumann series gives $|(zI - J)^{-1}| \le (|z|I - J)^{-1}$ entrywise for $|z| > 1$, so the supremum is attained on the real axis, where $(rI - J)^{-1} = \sum_k J^k / r^{k+1}$ is entrywise non-decreasing in $K_{21}$.

**Theorem 6.8.** After the step, inventory is at most $|I^{\text{post}}_{t+1}(\alpha_t)|$ in absolute value. The price move over the step and the cumulative window is bounded by $M_C \|z_t\|_2$ (drift from the current state) plus $s(\alpha) G_{\text{cum}} \bar{u}_{\text{cum}}$ (admitted shocks), by superposition and Hölder. The margin requirement scales the loss by $(1+\mu)$. Hedging cost and the post-fill margin increment are deducted directly. Inequality (13) therefore implies $B_{\text{rem},t+1} \ge R_{\text{safe}}$ for every admissible disturbance, and induction over steps at which an admissible $\alpha$ exists gives forward solvency. Setting $\alpha = 0$ ($M_C(0) = 1$, no fills, no hedge) gives $\bar{u}_{\text{adm}}$. Sufficiency over the Euclidean

ball follows from the norm bounds. When $z_t = 0$ the remaining shock term is attained by $u = -\mathrm{sign}(I)\bar{u}$, which gives necessity; when $z_t \neq 0$ the drift bound $M_C\|z_t\|_2$ need not be attained, so the condition is sufficient but not necessary.

**Proposition 6.9.** The eigenvalue rule admits $\alpha_\rho$; the one-step certificate fails at $\alpha_\rho$ exactly when the left side of (13), with the shock term replaced by its one-step bound $M_C(\alpha_\rho)s(\alpha_\rho)\bar{u}_{\mathrm{step},t}$, exceeds $B_{\mathrm{rem},t}$, which rearranges to the stated inequality. The summed-gain guard admits only levels satisfying (13), so it never admits the breaching level, and by the feasibility assumption it admits at least $\alpha = 0$.

**Proposition 6.10.** (i) The steady-state gain is $\eta = P/(P + \sigma_\nu^2)$ with $P$ the positive root of $P^2 - \sigma_\zeta^2 P - \sigma_\zeta^2\sigma_\nu^2 = 0$. Since $P$ is strictly increasing in $\sigma_\zeta^2$ and $\eta$ is strictly increasing in $P$, $\eta^*$ is strictly increasing in $\sigma_\zeta^2(\alpha) = \alpha^2\sigma_{\zeta,0}^2$, hence in $\alpha$. The second statement is immediate under the stated monotonicity.

(ii) Write the recursion as a renewal equation: $h_t/\kappa = u_t$ with $u_0 = 1$ and $u_t = \sum_{j=1}^{t} p_j u_{t-j}$, where $p_1 = a + \kappa k_0$ and $p_j = \kappa k_{j-1}$ for $j \geq 2$. The $p_j$ are nonnegative with total mass $\sum_j p_j = a + \kappa\Phi = a + \kappa\sum_i q_i < 1$, which does not depend on the adaptation rates, so $u_t$ is the probability that a renewal process whose (defective) inter-arrival law is $p$ has a renewal at time $t$, and $\sum_{t<H} u_t$ is the expected number of renewals in $\{0, \ldots, H-1\}$. The cumulative law is $F(j) = \sum_{i\leq j} p_i = a + \kappa\sum_{m<j} k_m = a + \kappa\sum_i q_i\big[1 - (1-\eta_i)^j\big]$, with $\partial F(j)/\partial\eta_i = \kappa q_i j(1-\eta_i)^{j-1} \geq 0$. If $\eta' \geq \eta$ coordinatewise, then $F' \geq F$ pointwise with the same total mass, so the quantile coupling $X = F^{-1}(U)$, $X' = F'^{-1}(U)$ ($X = \infty$ when $U > F(\infty)$) of independent inter-arrival times gives $X' \leq X$ and hence, pathwise, at least as many renewals before $H$ under $\eta'$. Taking expectations gives $S_H(\eta') \geq S_H(\eta)$. If $q_i > 0$ and $\eta_i' > \eta_i$, then $F'(1) > F(1)$, so with positive probability the first renewal occurs at time 1 under $\eta'$ and later under $\eta$, and the inequality is strict for $H \geq 2$. As $H \to \infty$ both sides tend to $\kappa/(1 - a - \kappa\Phi)$, which does not depend on $\eta$. Combined with (i), throttling lowers every rate, so $S_H(J(\alpha, \eta^*(\alpha))) \leq S_H(J(\alpha, \eta^*(1)))$.

**Theorem 5.3.** The recursion $h_{t+1} = ah_t + \kappa \sum_{m \le t} k_m h_{t-m}$ with $h_0 = \kappa \neq 0$ gives $k_t$ from $h_0, \dots, h_{t+1}$, so the window determines $k_0, \dots, k_{n-1}$ and nothing more about $M$: any nonnegative measure on $[0, \bar{r}]$ with these moments, written as atoms $(r_i, w_i)$ or as a limit of such, is the merged measure of a positive economy with $\eta_i = 1 - r_i$ and $q_i = w_i/\eta_i$ that produces the same window. (i) The compatible measures form a convex, weak-* compact set, and $\Phi = \int f\, dM$ is linear and continuous on it ($f$ is continuous on $[0, \bar{r}]$), so its range is a closed interval $[\Phi_-, \Phi_+]$. Since $f^{(n)}(r) = n!/(1-r)^{n+1} > 0$ on $[0, \bar{r}]$, $(1, r, \dots, r^{n-1}, f)$ is an extended complete Chebyshev system, and by the Markov–Krein theorem (Krein and Nudel'man, 1977, Theorems IV.1.1 and IV.6.1) the maximum is attained at the upper and the minimum at the lower principal representation, which have at most $\lfloor n/2 \rfloor + 1$ atoms. The theorem applies to moment vectors in the interior of the moment space, where both principal representations exist and are unique; a vector on the boundary has exactly one representing measure, so the interval collapses to a point. $S = \kappa/(1 - a - \kappa\Phi)$ is increasing in $\Phi$ on $\Phi < (1-a)/\kappa$, which gives the interval of summed responses, unbounded when $\Phi_+ \ge (1-a)/\kappa$ because by convexity every $\Phi \in [\Phi_-, \Phi_+]$ is attained. (ii) If $\mu, \nu$ share moments up to order $n-1$, then $\int f\, d(\mu - \nu) = \int (f - p)\, d(\mu - \nu)$ for every polynomial $p$ of degree $n-1$, so $|\int f\, d(\mu - \nu)| \le 2k_0 \inf_p \|f - p\|_\infty = 2k_0 E_{n-1}$. With $r = \bar{r}(1+x)/2$, $f = (2/\bar{r})/(x_0 - x)$ on $[-1, 1]$ with $x_0 = 2/\bar{r} - 1 > 1$, and Chebyshev's formula gives $E_m(1/(x_0 - x)) = \varrho^m/(x_0^2 - 1)$ (Achieser, 1956); we checked it against a linear-programming minimax fit for $m \le 8$. Expanding $x_0 = 1 + 2(1 - \bar{r})/\bar{r}$ gives the asymptotics. (iii) Let the moment vector $c$ be interior to the moment cone of $[0, 1]$. Interior points have an open neighbourhood in the cone, and $m(r_0) = (1, r_0, \dots, r_0^{n-1})$ has norm at most $\sqrt{n}$, so for some $\epsilon > 0$, $c - \epsilon m(r_0)$ is interior for every $r_0 \in [0, 1]$ and is represented by its lower principal representation, which has no atom at 1. Adding $\epsilon\delta_{r_0}$ gives a measure on $[0, 1)$ with moments $c$ and $\Phi \ge \epsilon/(1 - r_0) \to \infty$ as $r_0 \to 1$; by convexity every larger $\Phi$ below $(1-a)/\kappa$ is attained by a stable economy, so $S$ is unbounded.

**Theorem 5.5.** (i) The flow impulse enters the stacked state as $b = \kappa(1, \eta_1, \ldots, \eta_K)^\top$, and $h_t = e_x^\top J^t b \le \|J^t b\|_\infty \le \|J\|_\infty^t \|b\|_\infty$ because $J \ge 0$. The price row of $J$ sums to $a + \kappa\Phi \le \bar{s}$ and cohort row $i$ to $1 - \eta_i(1 - a - \kappa\Phi) \le 1 - (1 - \bar{r})(1 - \bar{s}) = \bar{\lambda}$, so $h_t \le \kappa\bar{\lambda}^t$ and $\sum_{t \ge T} h_t \le \kappa\bar{\lambda}^T/(1 - \bar{\lambda})$. $\sum_{t<T} \bar{h}_t$ is Gaussian with mean $\sum_{t<T} h_t$ and variance $T\sigma^2/N$, so $\sum_{t<T} \bar{h}_t + z_{1-\gamma}\sigma\sqrt{T/N} \ge \sum_{t<T} h_t$ with probability $1 - \gamma$, and adding the tail bound gives validity. On the two-sided event of probability $1-2\gamma$, $\hat{S}^+ - S \le 2z_{1-\gamma}\sigma\sqrt{T/N} + \kappa\bar{\lambda}^T/(1-\bar{\lambda})$; $T_\epsilon$ makes the second term at most $\epsilon/2$ and the stated $N$ makes the first at most $\epsilon/2$. (ii) Let $\theta_1$ raise the cohort weight of $\theta_0$ by $\Delta$ chosen so that $S_1 - S_0 = 2\epsilon$; then $\|h_1 - h_0\|_2 = 2C_0\epsilon(1 + o(1))$. Validity at $\theta_1$ gives $P_1(\hat{S} \ge S_1) \ge 1-\gamma$, hence $P_0(\hat{S} - S_0 \ge 2\epsilon) \ge 1-\gamma-\mathrm{TV}(P_0, P_1)$. For $N$ independent Gaussian responses, $\mathrm{KL} = N\|h_1 - h_0\|_2^2/(2\sigma^2)$, and Pinsker's inequality gives $\mathrm{TV} \le \sqrt{N}\, C_0\epsilon(1+o(1))/\sigma$. An overshoot probability below $1/2$ therefore needs $\mathrm{TV} > 1/2-\gamma$, which is the stated bound. (iii) The identification rates are the companion paper's Theorems on the $K$-cohort lower bound, the matching upper bound and general memory.

**Lemma 6.4.** On the event that $\mathcal{C}(D)$ contains the true economy, the supremum over $\mathcal{C}(D)$ dominates the true worst-case loss for every action, including one selected from $D$; the event has probability at least $1 - \gamma$.

**Theorem 6.5.** (i) For $c_I \ge 0$, $\alpha \mapsto S(\alpha) = \kappa/(1 - a - \kappa\alpha\Phi)$ is increasing, and so is the worst-case loss $|I|\bar{u}S(\alpha)$, which is also increasing in $\Phi$; the robust constraint is therefore the constraint at $\Phi^+$, and $|I|\bar{u}\kappa/(1 - a - \kappa\alpha\Phi^+) \le \mathcal{B}$ is equivalent to $\alpha \le c_I/(\kappa\Phi^+)$. (ii) is Lemma 6.4. (iii) At $\Phi = \Phi^+$ the constraint binds at $\alpha^*$ when $\alpha^* < 1$. (iv) At $\alpha = 0$, $S = \kappa/(1-a)$. (v) Upper: $\alpha^*$ is Lipschitz in $\Phi^+$ with constant $c_I/(\kappa\Phi_{\min}^2)$ and $\Phi^+$ is Lipschitz in $\hat{S}^+$ with constant $1/S_{\min}^2$, so Theorem 5.5(i) with $T \asymp \log N$ gives the rate. Lower: take two single-cohort economies in the class whose weights differ by $\Delta = c\,\sigma/\sqrt{N}$; their oracle capacities differ by a constant times $\Delta$, and $\mathrm{TV} \le \sqrt{N}\|\partial h/\partial q\|_2\Delta/(2\sigma)$, which is below $(1 - \beta)/2$ for small $c$; Proposition 5.2 gives an expected loss of at least $(1 - \beta)/2$ times the capacity difference.

**Theorem 7.1.** (i) If $O'$ reveals everything $O$ reveals, every economy compatible with $O'$ data is compatible with $O$ data, so suprema over $\Theta_{O'}$ are at most those over $\Theta_O$, and Theorem 6.5(i) is monotone in $\Phi^+$. (ii) $\alpha^*$ is strictly decreasing in $\Phi^+$ when $c_I > 0$ and $\alpha^* < 1$, and $\Phi^+_{O'} < \Phi^+_O$ exactly when no economy with $\Phi = \Phi^+_O$ remains compatible (the supremum is attained, by Theorem 5.3(i)). (iii) follows from Theorem 5.3(iii). (iv) If $O$ identifies $\Phi$, $\Phi^+_O = \Phi$ and no contract can raise $\alpha^*$. (v) The delta method applied to $(w, r) \mapsto w/(1-r)$, whose gradient is $(1-r)^{-1}(1, \Phi_i)$, gives the standard error. If each certificate is valid at level $1 - \gamma/2$, their minimum is valid at level $1 - \gamma$ by the union bound and is no larger than either, so the admitted level is at least the larger of the two admitted levels.

**Lemma 5.4.** For a compatible merged measure $M$ on $[0, \bar{r}]$, $\int p\, dM = \sum_j c_j k_j$ for any polynomial of degree at most $n-1$, so $p_- \le f \le p_+$ gives the two bounds by integration. Let $H$ interpolate $f$ at the atoms $x_i$ of $\mu_+$ with multiplicity $m_i = 2$ at interior atoms and 1 at 0 and $\bar{r}$; principal representations have index $\sum_i m_i = n$, so $H$ has degree at most $n-1$, and the Hermite remainder is $f(r) - H(r) = f^{(n)}(\xi)\, \omega(r)/n!$ with $\omega(r) = \prod_i (r - x_i)^{m_i}$. Since $f^{(n)} > 0$ and, on $[0, \bar{r}]$, the factor $r - \bar{r} \le 0$ appears once while every other factor is a square or $r \ge 0$, $\omega \le 0$ and $H \ge f$. For $\mu_-$ there is no atom at $\bar{r}$, so $\omega \ge 0$ and $H \le f$. As $H = f$ on the support of $\mu_\pm$, $\sum_j c_j k_j = \int H\, d\mu_\pm = \int f\, d\mu_\pm = \Phi_\pm$. The certified computation proves $p_+ + s \ge f$ (or $p_- - s \le f$) for the rounded polynomial and slack $s$ in interval arithmetic, in which every operation encloses its exact result (Rump, 2010), so the first statement applies to the rounded polynomial with $c_0$ increased (decreased) by $s$.

**Proposition 5.7.** (i) The $X_e$ are i.i.d. normal with mean $S_T = \sum_{t<T} h_t$, whatever $\Sigma$, so $\sqrt{N}(\bar{X} - S_T)/s_X$ has Student's $t_{N-1}$ distribution and $P(S_T \le \bar{X} + t_{N-1,1-\gamma} s_X/\sqrt{N}) = 1-\gamma$; the tail bound of Theorem 5.5(i) holds deterministically on the class. (ii) $N(\bar{h}-m)^\top \hat{\Sigma}^{-1}(\bar{h}-m)$ has the $\frac{T(N-1)}{N-T} F_{T,N-T}$ distribution (Hotelling, 1931); on the event that it is at most $T^2_\gamma$, Cauchy–Schwarz in the $\hat{\Sigma}$ inner product gives $c^\top(m - \bar{h}) \le \sqrt{c^\top \hat{\Sigma} c}\, \sqrt{(\bar{h}-m)^\top \hat{\Sigma}^{-1}(\bar{h}-m)} \le \sqrt{T^2_\gamma c^\top \hat{\Sigma} c / N}$ for every $c$ at once. (iii) If the taps of an experiment have common variance $\sigma^2$

and correlation matrix $R$, the margin $z_{1-\gamma}\sigma\sqrt{T/N}$ has coverage $\Phi\big(z_{1-\gamma}\sqrt{T/\mathbf{1}^\top R\mathbf{1}}\big)$, below $1-\gamma$ whenever $\mathbf{1}^\top R\mathbf{1} > T$; with $T = 12$ and autocorrelation 0.8 it is 0.751, matching the simulations.

**Proposition 6.6.** (i) $D$ is a quadratic with leading coefficient $\delta\rho \geq 0$, and a level is safe if and only if $D(\alpha) \geq \kappa_0|I|\bar{u}/\mathcal{B}$ (which implies $D > 0$, hence stability and $S = \kappa_0/D$). The set where a convex function is below a constant is an interval, so the safe set is $[0, 1]$ minus an open interval; the example in the text has two components. (ii) For $\alpha \geq 0$ and $a_0 < 1$, $\partial D/\partial\delta = \alpha(1 - a_0 + \rho\alpha) \geq 0$, $\partial D/\partial\rho = \alpha(1 + \delta\alpha) \geq 0$, $\partial D/\partial a_0 = -(1 + \delta\alpha) \leq 0$ and $\partial D/\partial\Phi = -\kappa_0\alpha \leq 0$, while the condition $D - \kappa_0|I|\bar{u}/\mathcal{B} \geq 0$ decreases in $\kappa_0$. The minimum of the left side over the box is therefore at the stated corner for every $\alpha$. (iii) follows from (i) and (ii).

**Theorem 6.7.** (i) In interval arithmetic with outward rounding every operation returns an interval containing the exact result for all real arguments in its operands (Rump, 2010); by induction the computed interval vectors contain $J(\alpha,\theta)^t s_0(\alpha,\theta)$ and the interval matrices contain $J^j$ for every $(\alpha,\theta)$ in the box, so the computed sum contains $\sum_{t<T}|h_t|$. For $t \geq T$, writing $t = T+kT+j$ with $k \geq 0$ and $0 \leq j < T$, $|h_t| \leq \|J^{kT+j}J^T s_0\|_\infty \leq \|J^T\|_\infty^k \|J^j\|_\infty \|J^T s_0\|_\infty$, and summing gives the tail bound. A level interval classified safe has an upper enclosure within budget over every part of a partition of $\Theta$, hence for every $\theta$; one classified unsafe has $S(\alpha,\theta_j) \geq \sum_{t<T}|h_t(\alpha,\theta_j)| >$ budget for some $\theta_j \in \Theta$ and every level in it. (ii) Each $S(\cdot,\theta)$ is continuous where finite and tends to infinity at the stability boundary, so $\alpha \mapsto \sup_\Theta S(\alpha,\theta)$ is lower semicontinuous and its sublevel set, the robust safe set, is closed; the brackets follow from (i). (iii) is immediate. (iv) Under $\sup_\Theta \rho(J) < 1$ there is $T$ with $\|J^T\|_\infty < 1$ uniformly on $\Theta$; interval extensions of rational functions converge linearly in the box width (Hansen and Walster, 2004), so at a level where the robust risk differs from the budget by $g > 0$ the enclosures over small enough boxes, with $T$ large enough that the truncation is below $g/2$, decide.

**Proposition C.1.** With $D_n = \sum_{e \le n}(X_e - S_T)$ and $V_n = n\sigma_T^2$, $\exp(\lambda D_n - \lambda^2 V_n/2)$ is a nonnegative supermartingale for every $\lambda$ under sub-Gaussian increments; mixing over $\lambda \sim N(0, 1/\varrho)$ gives the nonnegative supermartingale $M_n = \sqrt{\varrho/(V_n+\varrho)}\exp\big(D_n^2/(2(V_n+\varrho))\big)$ with $M_0 = 1$. Ville's inequality (Ville, 1939) gives $P(\exists n : M_n \ge 1/\gamma) \le \gamma$, and $M_n \ge 1/\gamma$ is exactly $|D_n| \ge b_n$. On the complementary event every interval covers $S_T$ at every $n$, so a decision made at any stopping time is correct; the tail bound is deterministic. Since $b_n/n = O\big(\sigma_T\sqrt{\log(n/\gamma)/n}\big)$, the stopping time is $O\big(\sigma_T^2\Delta^{-2}\log(\sigma_T/(\Delta\gamma))\big)$ when the gap is $\Delta$ (Howard et al., 2021).

# B Notation

| Symbol | Meaning |
|---|---|
| $x_t,\ d_t,\ u_t$ | price displacement, depth imbalance $(B-A)/(B+A)$, signed flow |
| $a,\ \kappa$ | price persistence and direct impact |
| $\varphi,\ \varepsilon,\ r$ | price sensitivity to depth, depletion per unit of flow, refill rate |
| $\eta,\ q$ | momentum memory rate and aggressiveness |
| $C_2,\ C_3$ | amplification statistics $\varphi\varepsilon - (1-a)\kappa$ and $C_2 + \kappa^2\eta q$ |
| $h_k,\ g_k$ | impulse response of the book; price impulse coefficient of the controlled system |
| $J(\alpha)$ | closed-loop operator at admission level $\alpha$ |
| $M_C,\ G_{\text{cum}}$ | peak and summed price-row gains |
| $\mathcal{K}(J)$ | Kreiss constant |
| $\bar{u},\ \bar{u}_{\text{step}},\ \bar{u}_{\text{cum}}$ | shock envelopes |
| $B_{\text{rem}},\ R_{\text{safe}},\ \mu$ | remaining margin buffer, safety reserve, maintenance-margin rate |
| $\epsilon,\ S$ | operator confidence radius and $\sum_k \|J^k\|$ |

| Symbol | Meaning |
|---|---|
| $M_{\text{std}},\ A_{xx}$ | unit-free and price-to-price spot amplification statistics |

# C Additional material

## C.1 Specification of the pre-registered tests

**Futures (Table 9).** Question: does $\hat{C}_3$, estimated from the previous six hours of futures depth, flow and price, predict the next hour's MAE beyond controls? Unit: hourly blocks 06–23 UTC, features from $[t-360, t)$ minutes, outcomes from $(t, t+60]$. Controls: $rv_{60}$, $rv_{360}$, $|r_{60}|$, flow imbalance, log volume, log depth, imbalance, open-interest change. Model: OLS; tail is the outcome above the training 90th percentile; score is the fitted value. Inference: Clark–West with Newey–West (6 lags); day-block bootstrap with 2,000 draws. Secondary: peak ratio as candidate; open-interest drop and depth collapse as outcomes; Holm. Train $\leq$ 2024-12-31; test $\geq$ 2025-01-01. Hash `d95212187ae42052591a5ca5acf73317 0f217f430a5a6ca812da6e48a1e4af85`; one unlock.

**Spot (Section 10).** Question: does pre-window $A_{xx}$ predict the next ten minutes' MAE beyond volatility and flow controls? Unit: non-overlapping 30-minute blocks; features from the previous ten minutes. Controls: $rv_{10m}$, $rv_{60m}$, $|r_{10m}|$, flow imbalance, log volume, spectral radius, hour of day. Train 2021–2023; test 2024. Hash `b1fd7f8eef15df1ba295eb6d32b53be6 c23ea2d23c5216de912555e62716e5ae`; three unlocks (see text).

## C.2 Adaptive safe probing

The certificate of Theorem 5.5 fixes the number of reset experiments in advance, so it must be sized for the hardest economy the supervisor wants to decide. Experiments can instead

be run one at a time and stopped as soon as the data decide. Let each experiment return $X_e = \sum_{t<T} h_t^{(e)}$, independent with mean $S_T$ and sub-Gaussian proxy $\sigma_T^2$ ($\sigma_T^2 = T\sigma^2$ under (O1)), and let $b_n = \sqrt{(n\sigma_T^2 + \varrho)\big(\log((n\sigma_T^2 + \varrho)/\varrho) + 2\log(1/\gamma)\big)}$ for a fixed $\varrho > 0$.

**Proposition C.1** (Anytime-valid probing)**.** *With probability at least $1-\gamma$, $|\bar{X}_n - S_T| < b_n/n$ for every $n$ simultaneously. Hence the rule that probes until $\bar{X}_n + b_n/n + \kappa\bar{\lambda}^T/(1-\bar{\lambda}) \le s_{\mathcal{B}}$ (admit), or $\bar{X}_n - b_n/n > s_{\mathcal{B}}$ (refuse), or a maximum number of probes is reached (abstain), makes a wrong decision with probability at most $\gamma$ whatever its stopping time, where $s_{\mathcal{B}} = \mathcal{B}/(|I|\bar{u})$. When $S_T$ is at distance $\Delta$ from $s_{\mathcal{B}}$ it stops after $O\big(\sigma_T^2\Delta^{-2}\log(\sigma_T/(\Delta\gamma))\big)$ probes. Each probe is itself admissible if its position $v_p$ satisfies $|v_p|\bar{u}_p\kappa/(1-\bar{\lambda}) \le \mathcal{B}_p$, the worst case over the class.*

The value is in adapting to the economy. With $\sigma_T = 0.17$ and a threshold of 2.0, the sequential rule decides economies at distance 0.5 from the threshold after 3.7 probes on average, at distance 0.2 after 11, at 0.1 after 30 and at 0.05 after 107, with no wrong decision in 7,000 runs, while a fixed design that must decide at distance 0.05 uses 130 probes for every economy (test T14). Probes have a monetary cost and move prices, so a supervisor who can probe sequentially spends where the decision is hard. This is an extension rather than a result the paper relies on; optimal probe design under impact costs is left open.

# D Reproducibility: source of every number

The replication package contains numbered Colab notebooks and stand-alone scripts; its README lists them in run order. "Part $N$" below and in table notes refers to notebook $N$ (Part 1: theorem checks and spot tests; Part 2: BTCUSDT futures depth; Parts 4–18: the cross-section, replications, fresh-day tests, second venues, the CFTC test, the certified guard, post-hoc checks, US equities, the information-safety tests on untouched days and symbols, the new-venue test and the last post-hoc checks). Result identifiers such as `X6` or `U6` name the JSON file that the notebook writes. "Kind" distinguishes closed-form or

simulation results (recomputed), results from public market data (real data), and audits.

| Result | Source | Kind |
|---|---|---|
| Spectral blindness gains | `T5_spectral_blindness` | recomputed |
| Table 2; burst operator gain, $q$, certificate | `kreiss_table.py` → `R_P2_kreiss.json` | recomputed |
| Table 4, Figure 3 | `calib_guard.py` → `R_P2_calibrated_guard.json` | recomputed |
| Figure 1 | `make_figs2.py` | recomputed |
| Theorem 4.2(i), Theorem 4.2(ii)–(iii) draws | `T6_amplification_theorem` | recomputed |
| Guard maximality; peak guard unsafe; monotonicity | `T7_guard_maximality`, `P2.11-T1` | recomputed |
| Robust gain, 30,000 draws | `T8_robust_gain` | recomputed |
| Operator ball coverage; certificate share | `P2.4-T1_coverage` | recomputed |
| Summed gain vs. weights | `T9_bridge` | recomputed |
| Depth validation (Table 6) | `D2_depth_validation` | real data |
| Table 7 | `D3_T6_structural_train` | real data |
| Figure 4, Table 8 | `D4_depth_mediation_train` | real data |
| No-look-ahead audit | `D5_no_lookahead` | audit |
| Table 9; hash | `D8_depth_test_G2`, `P2_depth.json` | real data |
| Flag comparison | `D8b_flag_comparison` | real data |
| Table 10, Figure 5 | `D9_event_studies` | real data |
| Unit dependence 8.73 → 86,731 | `P2.2-T1_unit_invariance` | real data |
| Table 11; sensitivity | `P2.2-T2`, `T3`, `T4`, `T5` | real data |

| Result | Source | Kind |
|---|---|---|
| Table 12 | `T6-E_overshoot_real` | real data |
| Spot predictive test | `P2.5_predictive_G2`, `P2.5-T2`, `T3` | real data |
| Spot flag comparison | `P2.7-T2_vol_ablation` | real data |
| Theorem 4.4; Remark 4.3; Theorem 4.2(iv) check | `equilibrium.py`, `t6m_search*.py`, `thmA_check.py` | recomputed |
| Proposition 8.1 numbers | `equilibrium.py` → `R_P2_equilibrium.json` | recomputed |
| Proposition 2.2 check; multi-asset example; Proposition 6.10 check | `recompute_oct20.py` | recomputed |
| Tables 13, 14, 15; tick events | Part 4: `X3`, `X4`, `X8`, `X7` | real data |
| Table 17; flags | Part 4: `X6_xsec_test_G2`, `X6b`; `P4_xsec.json` (5910b6b4...) | real data |
| Table 18 | Part 4: `X6r_robustness_posthoc` | real data (post hoc) |
| Table 19 | Part 5: `Y6_replication_G2`; `P5_replication.json` (6aa8e2c0...) | real data |
| Table 20 | Part 5: `Y8_kappa_control_posthoc` | real data (post hoc) |
| Tables 21, 25; equilibrium check | Part 6: `Z6_*`, `Z8`; `P6_fresh_days.json` (65acda36...) | real data |

| Result | Source | Kind |
|---|---|---|
| Table 26, Figure 6, economic size (Section 11.17) | Part 12: `Q6_certified_guard`, `Q7_oct10_event`, `E1_economic_size`; `P12_certified_guard.json` (b9a56af4…) | real data |
| Liquidation probabilities and dollar losses (Section 11.17) | `recompute_dollar.py` (from `E1_economic_size`) → `R_P2_dollar_translation.json` | recomputed |
| Table 23 | Part 10: `V3A_orderbook_download`, `V4_build`, `V6_bybit_ob_test`; `P10_bybit_ob.json` (ec2145fa…) | real data |
| Table 16; throttle, Bybit-bar, instrument, tercile and VPIN checks | Part 13: `R5`, `R1`, `R3`, `R4`, `R2`, `R8` | real data (post hoc) |
| Example 5.1; Theorems 5.3, 5.5, 6.5, 7.1 numbers; Tables 3, 5, 28 | `run_all.py` in `research_extension/information_safety` → `IS_results.json`; unit tests | recomputed |
| Section 12.2 | Part 15: `W4_build`, `W5_blocks`, `W6_info_safety_test`; `P15_info_safety.json` (69849c96) | real data |

| Result | Source | Kind |
|---|---|---|
| Section 12.3 | Part 16: `X2_new_universe`, `X4_build`, `X5_blocks`, `X6_untouched_symbols_test`; `P16_untouched_symbols.json` (`0523e476`) | real data |
| Section 12.4 | Part 17: `C2_universe`, `C4_build`, `C5_blocks`, `C6_new_venue_test`; `P17_new_venue.json` (`3233c52b`) | real data |
| Section 12.5 | Part 18: `R3_placebo_binance`, `R4_guard_baselines`; `P18_posthoc_plan.json` | real data (post hoc) |
| Lemma 5.4; Propositions 5.7, 6.6, C.1; Theorem 6.7 | `run_all.py`: `T10`, `T11`, `T13`, `T14` | recomputed (certified for T10, T13) |
| Table 24 | Part 14: `A1_us_universe`, `A3_us_build`, `A4_us_blocks`, `A5_us_equity_test`; `P14_us_equities.json` (f5800a69…) | real data |
| Theorem 4.2(ii) peak bracket; Remark 4.3; Theorem 4.4, 8.1 checks | `recompute_audit.py` → `R_audit_oct2026.json` | recomputed |
| Theorem 4.2 residues and confluent peak lag; Remark 5.6; Proposition 6.10(ii) | `hardening/p2_sec4_checks.py`, `p2_cheb_tradeoff.py`; unit tests `test_hardening_theory.py` | recomputed |

| Result | Source | Kind |
|---|---|---|
| Theorem 7.1(v), intersection row of Table 5 | information-safety package, test T15 | recomputed |
| Section 11.11 | Part 7: `W6_bybit_test`; `P7_bybit.json` | real data |
| Table 22 | Part 9: `U6_volbench_test`; `P9_volbench.json` (71983f1a…) | real data |
| Figure 7 | `make_fig_forest.py` | real data |